

**Edirisinghe & Co.
Chartered Accountants**

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INDEPENDENT AUDITORS' REPORT**TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC****Report on the Audit of the Financial Statements****Opinion**

We have audited the financial statements of Alliance Finance Company PLC (the "Company") and the consolidated financial statements of the Company and its subsidiary (the "Group"), which comprise the Statements of financial position as at 31 March, 2020 and the Statements of profit or loss, Statements of other comprehensive income, Statements of changes in equity and Statements of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March, 2020 and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, we have provided a description of how our audit procedures addressed the matter in that context.



INDEPENDENT AUDITORS' REPORT (CONTINUED.....)

Key Audit Matters (Continued....)

Key audit matter	How our audit procedures addressed the key audit matter
Impairment allowances of loans and advances The accounting policy relating to provisioning of impairment for loans and advances is described in note 4.4.7, the detail relating to impairment charges for the year ended 31 March 2020 is included in note 11 and details of provisions carried at 31 March 2020 are included in note 23, 24 and 25. The assessment of impairment of loans requires significant judgment by the Company may have a significant impact on the financial statements. Given the subjectivity and reliance on estimates and judgements inherent in the determination of the provision for impairment and historical issues in relation to classifying of loans as non-performing advances (NPAs) and insufficient provisioning, we determined this to be a matter of most significance to our audit. Impairment allowances represent management's best estimate of the losses incurred within the loan portfolios at the reporting date. They are calculated on a collective basis for portfolios of loans of a similar nature (the collective impairment model) and on an individual basis for significant loans (individual impairment model). Both models used by the Company utilize arrears as the primary impairment trigger; however, there is a risk that other impairment triggers are not identified on a timely basis. For the collective impairment model, impairment is calculated on a modeled basis for portfolios of loans and advances. This is because loans and advances considered under this model comprise of large numbers of accounts with relatively small individual balances. The key assumptions and judgments made by the Company underlie the calculation of impairment. Key assumptions and judgments include the calculation of the average loss percentage once a loan is identified as default.	Our procedures included the following: Impairment of loans and advances • We obtained an understanding of management's process and tested controls over credit origination, credit monitoring and credit remediation. • We assessed the appropriateness of the accounting policies and loan impairment methodologies applied by comparing these to the requirements of SLFRS 9: Financial Instruments. • We evaluated the adequacy of the financial statement disclosures, including disclosures of - key assumptions, judgments and sensitivities. Where credit losses were calculated on a modelled basis we performed the following audit procedures: • We compared and confirmed the consistency of the model used by the management for the purpose of determining the impairment provision as at 31 March 2020. This included testing the consistency of key judgements and assumptions applied in the calculation of individual and portfolio provisions. We tested input data and re-performed model calculations to ascertain the accuracy of calculations performed by management. • Assessed the consistency and reasonableness of forward-looking information incorporated into the credit loss calculations considering multiple economic scenarios selected and the weighting applied to each scenario. • We assessed the impact arising from the relief measures introduced by Government of Sri Lanka to the expected cash flows factored in to the calculation of LGDs. • Further, we assessed the appropriateness of management application of temporary practical expedients introduced by CA Sri Lanka in relation to determination of ECL.



INDEPENDENT AUDITORS' REPORT (CONTINUED.....)

Key Audit Matters (Continued.....)

Key audit matter	How our audit procedures addressed the key audit matter
Management assessment of material uncertainty relating to impact of COVID-19 The financial statements have been prepared on a going concern basis. In adopting the going concern basis of preparation of financial statements, the directors have reviewed the Group's cash flow projections for next 12 months. The cashflow projections were based on management's assumptions and estimation of future cash inflows and outflows, taking into consideration the potential impact of COVID 19 pandemic. Note 2.10.1 and note 50 to the financial statements, described the impact of COVID- 19 outbreak to the current year financial statements and possible effects to Group's future projections, performance and cashflows. Further the management considered it is appropriate to adopt the going concern basis of accounting in preparing them and their identification of any material uncertainties to the Group's ability to continue to do so over a period of at least twelve months from the end of the financial year. We identified the management assessment of the potential impact of COVID- 19 event and related disclosures as a key audit matter because the cash flow projections referred to above involves consideration of future events and circumstances which are inherently uncertain, and effect of those uncertainties may significantly impact the resulting accounting estimates.	Our audit procedures included following; • Assessed the director's assessment of the Group's ability to continue as going concern including challenging the underlying data and key assumptions used to make the assessment, and evaluated the plans for future actions in relation to the going concern assessment. • Obtained Group's cash flow projections covering the period of not less than twelve months from reporting date and challenged these key assumptions used in preparing the projections. • Evaluated the sensitivity of the projected liquidity positions by considering downside scenario together with reasonably. • Assessed the adequacy of disclosures in the financial statements in relation to the going concern basis of accounting reference to requirements of prevailing accounting standards and potential impact of the COVID-19 outbreak.



INDEPENDENT AUDITORS' REPORT (CONTINUED.....)

Other information

Directors are responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors and Those Charged with Governance for the Financial Statements

The Directors are responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal control as the Directors determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The Directors and those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuS will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.



INDEPENDENT AUDITORS' REPORT (CONTINUED.....)

Auditor's Responsibility for the Audit of the Financial Statements (Continued.....)

- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3337.



Edirisinghe & Co.,
Chartered Accountants

Colombo

29-June-2020



Alliance Finance Company PLC

STATEMENT OF PROFIT OR LOSS

For the year ended 31st March 2020

		Company 2020	2019	Group 2020	2019
	Notes	Rs.	Rs.	Rs.	Rs.
Gross Income	6	7,679,217,661	7,243,598,369	7,738,764,376	7,324,060,190
Interest income		7,212,017,278	6,832,724,997	7,214,750,962	6,835,674,145
Interest expenses		(3,321,169,317)	(3,244,034,169)	(3,321,169,317)	(3,244,034,169)
Net Interest Income	7	3,890,847,961	3,588,690,828	3,893,581,645	3,591,639,976
Fee and commission income		180,002,654	180,053,256	236,811,281	257,538,486
Fee and commission expenses		(178,059,341)	(214,596,424)	(178,073,741)	(214,822,571)
Net Fee and Commission Income	8	1,943,313	(34,543,168)	58,737,540	42,715,915
Net gain/(loss) from trading	9	49,512,493	(4,062,314)	49,512,493	(4,062,314)
Other operating income (net)	10	237,685,236	234,882,430	237,689,640	234,909,873
Total Operating Income		4,179,989,003	3,784,967,776	4,239,521,318	3,865,203,450
Impairment charges for loans and other losses	11	(1,112,357,328)	(813,494,810)	(1,112,357,328)	(813,494,810)
Net Operating Income		3,067,631,675	2,971,472,966	3,127,163,990	3,051,708,640
Operating Expenses					
Personnel expenses	12	(821,722,767)	(780,351,399)	(831,086,788)	(802,968,838)
Other operating expenses	13	(1,283,645,436)	(1,224,682,084)	(1,290,134,774)	(1,244,382,252)
Depreciation and amortization	14	(131,646,655)	(136,086,759)	(131,782,247)	(136,213,766)
Total operating expenses		(2,237,014,858)	(2,141,120,242)	(2,253,003,809)	(2,183,564,856)
Operating Profit before Taxes on Financial Services		830,616,817	830,352,725	874,160,181	868,143,785
Taxes on financial services	15	(296,140,836)	(221,190,685)	(296,140,836)	(221,190,685)
Operating Profit after Taxes on Financial Services		534,475,981	609,162,040	578,019,345	646,953,100
Share of profit/(loss) from associate		(2,842,382)	(8,893,804)	(2,842,382)	(8,893,804)
Profit before Taxation from Operations		531,633,599	600,268,236	575,176,963	638,059,296
Provision for income taxation	16	(323,000,000)	(294,096,680)	(334,797,494)	(304,370,093)
Profit for the year		208,633,599	306,171,556	240,379,469	333,689,203
Profit attributable to :					
Equity holders of the company		208,633,599	306,171,556	228,931,908	323,766,338
Non controlling interest		-	-	11,447,561	9,922,865
Profit for the year		208,633,599	306,171,556	240,379,469	333,689,203
Basic Earnings Per Share	17	6.19	9.09	6.79	9.61
Dividend Per Share	18	-	1.00	-	1.00

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC

STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31st March 2020

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Profit for the year	208,633,599	306,171,556	240,379,469	333,689,203
Other Comprehensive Income				
Other Comprehensive Income to be Reclassified to Profit or Loss	-	-	-	-
Other Comprehensive Income not to be Reclassified to Profit or Loss				
Actuarial gains /(losses) on defined benefit plans	12,086,651	8,681,427	12,076,162	8,760,704
Deferred tax effect on above	(2,900,796)	(2,430,800)	(2,900,796)	(2,430,800)
Equity investments at FVOCI - net change in fair value	(61,455,160)	-	(61,455,160)	-
Net Other Comprehensive Income not be Classified to Profit or Loss	(52,269,305)	6,250,627	(52,279,794)	6,329,904
Total Comprehensive Income for the year	156,364,294	312,422,183	188,099,675	340,019,107
Attributable to:				
Equity holders of the company	156,364,294	312,422,183	176,295,289	330,067,655
Non controlling interest	-	-	11,804,386	9,951,452
Total Comprehensive Income for the year	156,364,294	312,422,183	188,099,675	340,019,107

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC
STATEMENT OF FINANCIAL POSITION
As at 31st March 2020

As at 31st March		Company 2020 Rs.	2019 Rs.	Group 2020 Rs.	2019 Rs.
	Notes				
Assets					
Cash and cash equivalents	21	986,553,659	281,584,736	1,027,324,614	290,719,999
Repurchase agreements		350,388,985	210,053,286	350,388,985	210,053,286
Placements with banks & financial institutions		915,617,034	732,163,843	915,617,034	732,163,843
Financial assets recognised through profit or loss	22	1,550,282,902	1,807,179,090	1,550,282,902	1,807,179,087
Loans and advances - at amortised cost	23	6,184,304,979	6,512,027,536	6,184,454,429	6,512,165,856
Lease rentals receivable & stock out on hire - at amortised cost	24	20,055,543,842	18,842,072,665	20,055,543,842	18,842,072,665
Hire purchase rentals receivable & stock out on hire - at amortised cost	25	4,527,976	12,349,092	4,527,976	12,349,092
Financial assets- fair value through other comprehensive income	26	137,940,332	579,250	137,940,332	579,250
Other trading stocks	27	207,388,189	402,218,369	207,388,189	402,218,369
Other financial assets	28	459,367,873	405,850,825	535,032,270	446,862,407
Other non financial assets	29	176,524,164	217,142,825	176,999,477	217,142,819
Investments in associates	30	45,626,717	48,469,100	94,434,188	84,731,550
Investments in subsidiaries	31	16,924,038	16,924,038	-	-
Investment property	32	549,000,000	549,000,000	549,000,000	549,000,000
Property, plant & equipment	33	1,694,020,530	1,746,403,417	1,694,141,728	1,746,660,210
Intangible assets	34	55,957,723	56,523,495	55,957,723	56,523,495
Right of use asset	35	259,039,810	-	259,039,810	-
Retirement benefit Assets	43	1,046,687	-	-	-
Deferred tax assets	44	295,240,407	291,123,246	295,790,313	291,667,571
Total Assets		33,945,295,847	32,131,664,813	34,093,863,812	32,202,089,499
Liabilities					
Due to banks	36	15,424,806,029	12,589,469,582	15,453,081,167	12,589,469,582
Due to depositors - at amortised cost	37	12,347,296,849	12,493,682,808	12,347,296,849	12,493,682,808
Debt instruments issued and other borrowed funds	38	-	819,062,771	-	819,062,771
Other financial liabilities	39	791,703,913	781,933,240	810,353,917	781,537,579
Other non financial liabilities	40	26,266,583	56,531,752	26,266,583	56,531,752
Derivative financial liabilities	41	59,836,277	99,770,779	59,836,277	99,770,779
Income tax liabilities	42	152,139,514	142,874,259	155,059,678	145,940,743
Retirement benefit liabilities	43	-	30,699,249	1,244,584	32,643,265
Deferred tax liabilities	44	530,275,376	607,383,605	530,283,797	607,459,177
Total Liabilities		29,332,324,541	27,621,408,045	29,383,422,851	27,626,098,456
Shareholders' Funds					
Stated capital	45	613,980,000	613,980,000	613,980,000	613,980,000
Retained earnings	46	1,777,742,345	1,655,299,368	1,833,953,692	1,691,222,896
Reserves	47	2,221,248,961	2,240,977,401	2,221,248,961	2,240,977,401
Total Equity Attributable to Equity Holders of the Company		4,612,971,306	4,510,256,769	4,669,182,653	4,546,180,297
Non controlling interest		-	-	41,258,308	29,810,747
Total Equity		4,612,971,306	4,510,256,769	4,710,440,961	4,575,991,044
Total Liabilities and Shareholders' Funds		33,945,295,847	32,131,664,813	34,093,863,812	32,202,089,499

Contingent Liabilities and Commitments	49	339,910,381	312,100,000	339,910,381	312,100,000
Net assets value per share (Rs.)	19	137	134	139	135

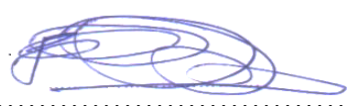
Accounting policies & notes to the accounts form an integral part of these Financial Statements.

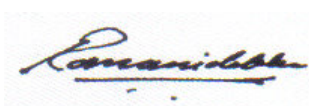
Certification

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.

..  ..
Chamindra de Silva
Chief Financial Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board by,

 ..
Kusal Jayawardana
Director Finance & Operations
29-Jun-20
Colombo

 ..
R.K.E.P. de Silva
Deputy Chairman & Managing Director

Alliance Finance Company PLC

STATEMENT OF CHANGES IN EQUITY

For the year ended 31st March 2020

Company	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	Available for Sale Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balances as at 31st March 2018	613,980,000	773,074,800	1,018,409,546	388,258,055	5,358,466	-	-	1,499,994,909	4,299,075,776
Impact of adopting SLFRS 9	-	-	-	-	(5,358,466)	5,358,466	-	(20,066,724)	(20,066,724)
Restated opening balance under SLFRS 9	613,980,000	773,074,800	1,018,409,546	388,258,055	-	5,358,466	-	1,479,928,185	4,279,009,052
Profit for the year	-	-	-	-	-	-	-	306,171,556	306,171,556
Other comprehensive income, net of tax	-	-	-	-	-	-	-	6,250,627	6,250,627
Reclassified to profit or loss as per SLFRS 09	-	-	-	-	-	(5,358,466)	-	-	(5,358,466)
Transfer to statutory reserve	-	61,235,000	-	-	-	-	-	(61,235,000)	-
Dividend paid	-	-	-	-	-	-	-	(75,816,000)	(75,816,000)
Balances as at 31st March 2019	613,980,000	834,309,800	1,018,409,546	388,258,055	-	-	-	1,655,299,368	4,510,256,769
Balance as at 1st April 2019	613,980,000	834,309,800	1,018,409,546	388,258,055	-	-	-	1,655,299,368	4,510,256,769
Impact on adoption of SLFRS 16								(19,953,757)	(19,953,757)
Profit for the year	-	-	-	-	-	-	-	208,633,599	208,633,599
Other comprehensive income, net of tax									-
Net actuarial gain/(loss) on defined benefit plan	-	-	-	-	-	-	-	9,185,855	9,185,855
Equity investments at FVOCI - net change in fair value	-	-	-	-	-	(61,455,160)	-	-	(61,455,160)
Transfer to statutory reserve	-	41,726,720	-	-	-	-	-	(41,726,720)	-
Dividend paid	-	-	-	-	-	-	-	(33,696,000)	(33,696,000)
Balances as at 31st March 2020	613,980,000	876,036,520	1,018,409,546	388,258,055	-	(61,455,160)	-	1,777,742,345	4,612,971,305

Alliance Finance Company PLC

STATEMENT OF CHANGES IN EQUITY

For the year ended 31st March 2020

Group	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	Available for Sale Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balances as at 31st March 2018	613,980,000	773,074,800	1,018,409,546	388,258,055	5,358,466	-	19,859,296	1,518,272,964	4,337,213,127
Impact of adopting SLFRS 9	-	-	-	-	(5,358,466)	5,358,466	-	(20,066,724)	(20,066,724)
Restated opening balance under SLFRS 9	613,980,000	773,074,800	1,018,409,546	388,258,055	-	5,358,466	19,859,296	1,498,206,240	4,317,146,403
Profit for the year	-	-	-	-	-	-	9,922,865	323,766,338	333,689,203
Other comprehensive income, net of tax	-	-	-	-	-	-	28,587	6,301,317	6,329,904
Reclassified to profit or loss as per SLFRS 09	-	-	-	-	-	(5,358,466)	-	-	(5,358,466)
Transfer to statutory reserve	-	61,235,000	-	-	-	-	-	(61,235,000)	-
Dividend paid	-	-	-	-	-	-	-	(75,816,000)	(75,816,000)
Balances as at 31st March 2019	613,980,000	834,309,800	1,018,409,546	388,258,055	-	-	29,810,747	1,691,222,896	4,575,991,044
Balance as at 1st April 2019	613,980,000	834,309,800	1,018,409,546	388,258,055	-	-	29,810,747	1,691,222,896	4,575,991,044
Impact on adoption of SLFRS 16	-	-	-	-	-	-	-	(19,953,757)	(19,953,757)
Restated opening balance under SLFRS 16	613,980,000	834,309,800	1,018,409,546	388,258,055	-	-	29,810,747	1,671,269,139	4,556,037,287
Profit for the year	-	-	-	-	-	-	11,447,560	228,931,908	240,379,468
Other comprehensive income, net of tax - Net actuarial gain/(loss) on defined benefit plan	-	-	-	-	-	-	-	9,175,366	9,175,366
Equity investments at FVOCI - net change in fair value	-	-	-	-	-	(61,455,160)	-	-	(61,455,160)
Transfer to statutory reserve	-	41,726,720	-	-	-	-	-	(41,726,720)	-
Dividend paid	-	-	-	-	-	-	-	(33,696,000)	(33,696,000)
Balances as at 31st March 2020	613,980,000	876,036,520	1,018,409,546	388,258,055	-	(61,455,160)	41,258,308	1,833,953,692	4,710,440,961

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC

STATEMENT OF CASH FLOWS

For the year ended 31st March 2020

As at 31st March	Company 2020	2019	Group 2020	2019
Cash Flows From / (Used in) Operating Activities	Rs.	Rs.	Rs.	Rs.
Profit before Income Tax Expense	531,633,599	600,268,236	575,176,963	638,059,296
Adjustments for;				
Depreciation of property, plant & equipment	122,791,253	127,514,906	122,926,845	127,641,913
Amortization of intangible assets	8,855,402	8,571,853	8,855,402	8,571,853
Amortization of Right of use asset	75,954,501	-	75,954,501	-
Impairment (reversal)/provision	651,044,667	436,855,346	651,044,667	436,855,346
Interest on fixed deposits, commercial paper & treasury bills	(118,946,904)	(105,930,809)	(121,680,588)	(108,879,957)
(Profit) /loss on sale of securities	(7,446,395)	4,076,301	(7,446,395)	4,076,301
Fair value (gain)/loss on equity investments (FVTPL)	(939,142)	1,129,628	(939,142)	1,129,628
Fair value gain on investment property	-	(60,909,500)	-	(60,909,500)
Previous year WHT written-off	-	10,546	-	10,546
Bad debt written-off	461,312,661	376,639,464	461,312,661	376,639,464
Diminution/(appreciation) in value of investments	(14,108,468)	39,152,075	(14,108,468)	39,152,075
Diminution/(appreciation) in value of treasury bonds	2,566,699	(5,862,896)	2,566,699	(5,862,896)
Loss/(profit) on disposal of property, plant & equipment	(21,293,820)	(912,208)	(21,293,820)	(912,208)
Provision/(reversal) for defined benefit plans	28,944,650	32,693,185	29,391,316	33,121,699
Dividend received	(4,317,948)	(5,635,045)	(4,317,948)	(5,635,045)
Share of loss/(profit) from associates	2,842,382	8,893,804	2,842,382	8,893,804
Operating Profit before Working Capital Changes	1,718,893,137	1,456,554,885	1,760,285,075	1,491,952,318
(Increase)/decrease in trading stock	194,830,180	(260,869,694)	194,830,180	(260,869,694)
(Increase)/decrease in loans and advances	118,483,740	1,007,521,857	118,472,611	1,007,510,236
(Increase)/decrease in lease rentals receivable & stock out on hire	(2,116,276,583)	(1,752,643,849)	(2,116,276,583)	(1,752,643,849)
(Increase)/decrease in hire purchase rentals receivable & stock out on	7,508,010	30,908,072	7,508,010	30,908,072
(Increase)/decrease in fixed deposits & repurchase agreements	(323,788,890)	173,113,680	(323,788,890)	173,113,680
(Increase)/decrease in other financial assets	(53,517,048)	(82,301,404)	(88,169,863)	(97,224,026)
(Increase)/decrease in other non financial assets	(219,182,358)	(102,166,888)	(219,657,677)	(101,719,371)
Increase/(decrease) in amounts due to depositors	(146,385,959)	(763,268,623)	(146,385,959)	(763,268,623)
Increase/(decrease) in derivative financial liabilities	(39,934,502)	60,532,390	(39,934,502)	60,532,390
Increase/(decrease) in other financial liabilities	9,770,675	325,670,462	28,816,338	307,848,373
Increase/(decrease) in other non financial liabilities	(30,265,169)	19,608,727	(30,265,169)	20,439,642
Cash generated from/(used in) Operations	(879,864,767)	112,659,615	(854,566,430)	116,579,148
Retirement benefit liabilities paid	(14,889,015)	(26,065,445)	(14,998,915)	(26,065,445)
Investment in gratuity fund	(33,714,921)	(31,843,394)	(33,714,921)	(31,843,394)
Taxes paid	(397,860,929)	(121,674,674)	(409,877,470)	(131,410,137)
Net cash generated from/(used in) operating activities	(1,326,329,632)	(66,923,898)	(1,313,157,736)	(72,739,828)
Cash Flows from Investing Activities				
Acquisition of property, plant & equipment	(78,139,072)	(198,964,496)	(78,139,072)	(199,054,496)
Acquisition of ROU	(12,180,000)	-	(12,180,000)	-
Acquisition of Intangible Assets	(8,289,630)	(8,348,481)	(8,289,630)	(8,348,481)
Investment in unquoted equities	-	-	(12,545,020)	(17,214,060)
Proceeds from sales of property, plant & equipment	29,024,526	7,904,944	29,024,526	7,904,944
Net sales/ (purchases) of financial investments -FVTPL/FVOCI	78,007,252	(718,825,274)	78,007,249	(718,825,274)
Dividend received	4,317,948	5,635,045	4,317,948	5,635,045
Interest on fixed deposits, commercial paper & treasury bills	118,946,904	105,930,809	121,680,588	108,879,957
Net cash generated from investing activities	131,687,928	(806,667,453)	121,876,589	(821,022,365)
Cash flows from / (used in) financing activities				
Settlement of operating Lease liabilities	(82,967,050)	-	(82,967,050)	-
Increase in borrowed funds	(819,062,771)	(826,737,147)	(819,062,771)	(826,737,147)
Net increase /(decrease) in other borrowings	2,837,253,658	1,554,607,570	2,865,528,794	1,542,725,052
Net increase /(decrease) in finance lease	(1,917,211)	(7,242,528)	(1,917,211)	(7,242,528)
Dividend paid	(33,696,000)	(75,816,000)	(33,696,000)	(75,816,000)
Net cash generated from/(used in) financing activities	1,899,610,626	644,811,895	1,927,885,762	632,929,377
Net increase/(decrease) in cash and cash equivalents	704,968,923	(228,779,455)	736,604,615	(260,832,816)
Cash and cash equivalents at the beginning of the year	281,584,736	510,364,191	290,719,999	551,552,815
Cash and cash equivalents at the end of the year	986,553,659	281,584,736	1,027,324,614	290,719,999
Movement in Cash and Cash Equivalent	704,968,923	(228,779,455)	736,604,615	(260,832,816)

Note : Reporting cash flows from operating activities

The Company reports cash flows from operating activities by using the indirect method. The indirect method – whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows – is shown in the above.

Certain industries are affected due to the COVID -19 and now being gradually recovering. End of the fourth quarter cash flow from operations has been reduced. Therefore, the group has reassessed and borrowed cash from banks to maintain sound liquidity position.

1. CORPORATE INFORMATION

1.1 General

Alliance Finance Company PLC (the 'Company') is a public limited liability Company listed on the Colombo Stock Exchange and incorporated on July 18, 1956 under the Companies Ordinance No 51 of 1938 and domiciled in Sri Lanka. It is a Registered Finance Company regulated under the Finance Business Act No.42 of 2011 and amendments thereto. The Company is re-registered under the new Companies Act No 7 of 2007. The registered office of the Company and the principal place of business are both situated at No.84, Ward Place, Colombo 07.

1.2 Consolidated Financial Statements

Consolidated Financial Statements of the Group for the year ended 31st March 2020 comprises the Company and its Subsidiaries (together referred to as the “Group” and individually as ‘Group entities’). The subsidiary company of the Group as at 31st March 2020 was Alfinco Insurance Brokers (Pvt) Ltd.

All the Group entities are limited liability Companies, incorporated and domiciled in Sri Lanka.

1.3 Principal Activities and Nature of Operations

1.3.1 The Company

During the year under review, the Company provides a comprehensive range of financial services encompassing accepting deposits, lease financing, hire purchase financing, mortgage loans, pawning, term loans and other credit facilities, operating leases, vehicle hiring, consumer credit, micro financing activities and other financial services.

1.3.2 Subsidiary

Ownership of Subsidiary as on 31st March 2020 is given below

Subsidiary	Principal Activities	Ownership %
Alfinco Insurance Brokers (Pvt.) Ltd	Insurance Brokering	63.94

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The Financial Statements of the Group and the separate Financial Statements of the Company, have been prepared and presented in accordance with Sri Lanka Accounting Standards comprising of Sri Lanka Financial Reporting Standards (SLFRS s) and Sri Lanka Accounting Standards (LKASs), laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Finance Business Act No. 42 of 2011 and amendments thereto, and provides appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange (CSE).

Financial Statements comprised of the Statement of Financial Position, Statement of Profit or Loss, Statement of Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flow, together with the accounting policies and notes.

2.2 Responsibility for Financial Statements

The Board of Directors of the Company is responsible for the preparation and presentation of the Financial Statements of the Group and the Company as per Sri Lanka Accounting Standards (SLFRSs and LKASs) and the provisions of the Companies Act No. 7 of 2007.

2.3 Date of Authorization for Issue

The Financial Statements for the year ended 31st March 2020, were approved and authorized for issue in accordance with a resolution of the Board of Directors on 29th June 2020.

2.4 Basis of Measurement

The Consolidated Financial Statements have been prepared on the historical cost basis, except for the following material items in the Statements of Financial Position.

- Financial assets held at Fair Value Through Other Comprehensive Income (FVTOCI) (Note 26)
- Financial assets recognized Fair Value Through Profit or Loss (FVTPL) are measured at fair value (Note 22)
- Retirement benefit obligation measured at difference between present value of defined benefit plan asset and the present value of defined benefit plan liability (Note 43).
- Land and buildings which are measured at cost at the time of acquisition, subsequently measured at revalued amounts, which are the fair values at the date of revaluation (Note 33).
- Investment property measured at fair value (Note 32).

2.5 Functional and Presentation Currency

The Financial Statements are presented in Sri Lankan Rupees which is the Group's functional and presentation currency of the primary economic environment in which Alliance Finance PLC operates. All financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee, unless otherwise stated.

2.6 Presentation of Financial Statements

The Group presents its Statement of Financial Position broadly in order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in note 54.3.

2.7 Materiality & Aggregation and Offsetting

In compliance with LKAS 01 on Presentation of Financial Statements, each material class of similar items are presented separately in the Financial Statements. Items of dissimilar nature or functions are presented separately, unless they are immaterial.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretations, and as specifically disclosed in the accounting policies.

2.8 Comparative Information

The Consolidated Financial Statements provide comparative information in respect of the previous financial year. The presentation and classification of assets and liabilities in the Financial Statements of the previous financial year have been amended, where relevant for better presentation and to be comparable with those of the current year except in the following instance;

With the initial application of SLFRS – 16 ; “Leases”; the Group has adopted modified retrospective method from 1st April 2019, without restating comparatives for 2018/19 reporting period, as permitted under the specific transitional provisions in the standard.

Therefore, the Comparative information recorded under Sri Lanka Accounting Standard – LKAS 17 on “Leases” (LKAS 17) is not comparable to the information presented for 2018/19.

2.9 Statement of Cash Flows

Statement of Cash Flows has been prepared by using the 'Indirect Method', as stipulated in Sri Lanka Accounting Standard - LKAS 7 'Statement of Cash Flows', whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows. Cash and cash equivalents comprise short term highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The Cash and cash equivalent include cash in hand, balances with banks, placements with banks money at call and short notice.

2.10 Use of Significant Accounting Judgments, Estimates and Assumptions

In preparing Financial Statements of the Group in conformity with Sri Lanka Accounting Standards (SLFRSs and LKASs), requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Due to the inherent uncertainty involved with estimates, actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about critical judgments, estimates and assumptions in applying accounting policies that could have a significant effect on the Financial Statements of the Group are as follows:

2.10.1 Going concern

In determining the basis of preparing the financial statements for the year ended 31 March 2020, based on available information, the management has assessed the existing and anticipated effects of COVID-19 on the Group and the appropriateness of the use of the going concern basis. Further management considers the effect of COVID -19 is short to medium term and taken adequate measures to mitigate the possible effects. Detailed discussion is given in the notes to the financial statements.

The Directors have made an assessment of its ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Directors are not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Group. Therefore, the Financial Statements continue to be prepared on a going concern basis.

2.10.2 Fair value of financial instruments

The determination of fair values of financial assets and financial liabilities which recorded on the Statement of Financial Position for which there is no observable market price are determined using a

variety of valuation techniques that include the use of mathematical models. The Group measures fair value using the fair value hierarchy that reflects the significant of input used in making measurements.

COVID – 19 pandemic has created a situation where the volume of activities for several assets and liabilities being curtailed resulting their values to significantly reduce along with the reduced market activities in an active manner. As per the guidelines issued by CA Sri Lanka and the provisions in SLFRS13–Fair value measurement, there is an impossibility to derive the fair value of financial assets as at 31 March 2020 due to unavailability of reliable information and distress prices.

As per the Guidance Notes on Accounting Considerations of the COVID 19 Outbreak (updated on 11th May 2020) by CA Sri Lanka, It is permitted to apply an appropriate valuation technique to measure the fair value of financial assets. However, such values calculated and used as the fair value in the financial statements for the period 2019/2020 by using different valuation techniques are not expected to exceed the market value reported as at 31st December 2019

Accordingly Company has used the last traded market prices on 20th March 2020 for the fair valuation of quoted equity securities

2.10.3 Impairment losses on loans and receivables

The measurement of impairment losses across the categories of financial assets under Sri Lanka Accounting Standard – SLFRS 9 on “Financial Instruments” (SLFRS 9) requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses.

Accordingly, the Group reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided in the Statement of Profit & Loss. In particular, the Management’s judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. In estimating these cash flows, Management makes judgements about a borrower’s financial situation and the net realisable value of any underlying collateral. Each impaired asset is assessed on its merits, and the workout strategy and estimate of cash flows considered recoverable. These estimates are based on assumptions about a number of factors and hence actual results may differ, resulting in future changes to the impairment allowance made.

A collective impairment provision is established for:

- Groups of homogeneous loans and advances that are not considered individually significant; and
- Groups of assets that are individually significant but that were not found to be individually impaired.

As per SLFRS 9, the Group’s Expected Credit Loss (ECL) calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their

interdependencies. Elements of the ECL model that are considered accounting judgements and estimates include:

- The Group's criteria for qualitatively assessing whether there has been a significant increase in credit risk and if so allowances for financial assets measured on a Life time expected credit loss (LTECL) basis;
- The segmentation of financial assets when their ECL is assessed on a collective basis;
- Development of ECL models, including the various statistical formulas and the choice of inputs;
- Determination of associations between macro-economic inputs, such as GDP growth, inflation, interest rates and unemployment and the effect on Probability of Default (PDs), Exposure At Default (EAD) and Loss Given Default (LGD);
- Selection of forward-looking macro-economic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

It has been the Group's policy to regularly review its models in the context of actual loss experience and adjust when necessary. The above assumptions and judgments are discussed in detail under note 4.4.7 to the Financial Statements.

The accuracy of the provision depends on the model assumptions and parameters used in determining the ECL calculations.

CA Sri Lanka in its Guidance Notes on Accounting Considerations of the COVID 19 Outbreak (updated on 11th May 2020) has decided to provide certain temporary practical expedients in the application of certain provisions in SLFRS 9, considering the insufficiency of updated information, uncertainty relating to borrowers repayment ability, resource constraints and various government relief measures as a result of the outbreak, even though circumstances require reassessment of all the factors for the preparation of financial statements for the reporting on 31 March 2020 financial statements and thereon. Accordingly, an entity may continue using the information used for Probability of Default (PD), Loss Given Default (LGD), Economic Factor Adjustment (EFA) and cash flow assumptions in 31 December 2019 during the January to March period subject to appropriate adjustments being incorporated, when the information become available subsequently.

Accordingly, The Company continued the same staging that exist as of lower of 31st March 2020 and 29th February 2020 and Economic factor adjustment used in 31st December 2019 for the ECL Computations due to uncertainties and lack of sufficient information available to make any adjustments to factor the impact of COVID 19. Further, the Company has increased the weightage assigned to worst case scenario by transferring the weightage from base case to capture potential impact on COVID 19.

2.10.4 Taxation

The Group is subject to income taxes and other taxes including VAT on financial services, Debt repayment levy and Nations Building Tax. Significant judgement was required to determine the total

provision for current, deferred and other taxes pending the issue of tax guidelines on the treatment of the adoption of SLFRS in the Financial Statements and the taxable profit for the purpose of imposition of taxes. Uncertainties exist, with respect to the interpretation of the applicability of tax laws at the time of the preparation of these financial statements.

The Group recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income, deferred and tax amounts in the period in which the determination is made.

2.10.5 Deferred tax assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against such tax losses which can be set-off. Judgement is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and level of future taxable profits, together with the future tax-planning strategies.

2.10.6 Defined benefit plans

The cost of defined benefit plans are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates etc.

Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Group.

2.10.7 Revaluation of property and equipment

The Group measures land and buildings at revalued amounts with changes in fair value being recognised in Equity through Other Comprehensive Income (OCI). The Group engages independent professional valuers to assess fair value of land and buildings in terms of Sri Lanka Accounting Standard – SLFRS 13 on “Fair Value Measurement” (SLFRS 13).

2.10.8 Useful life-time of the property and equipment

The Group review the residual values, useful lives and methods of depreciation of assets at each reporting date. Judgement of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.10.9 Commitment and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent Liabilities are not recognized in the Statement of Financial Position but are disclosed unless its occurrence is remote. All discernible risks are accounted for in determining the amount of all known liabilities. Details of commitments and contingencies are given in Note no. 49.

2.10.10 Impairment of Other Financial Assets

The Group reviews its debt securities classified as FVOCI / amortised cost, at each reporting date to assess whether they are impaired. From 1st April 2018, with the adoption of SLFRS 9 equity investments are not subjective for impairment assessment.

2.10.11 Classification and valuation of investment property

Management requires using its judgements to determine whether a property qualifies as an Investment Property. A property that is held to earn rentals or for capital appreciation or both and which generates cash flows largely independently of the other assets held by the Group are accounted for as investment properties. Fair valuation of the investment property is ascertained by independent valuations carried out by Chartered valuation surveyor, who has recent experience in valuing properties of similar location and category. They have made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The key assumptions used to determine the fair value of investment property are provided in detail in Note 32.

2.11 Events after the Reporting Period

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue. In this regard, all material and important events that occurred after the reporting period have been considered and appropriate disclosures are made in Note 50 where necessary.

3. NEW AMENDMENTS TO ACCOUNTING STANDARDS APPLICABLE FROM 1ST APRIL 2019

In these Financial Statements, the Group has applied SLFRS 16, which is effective for the annual reporting periods beginning on or after April 1, 2019 for the first time. The Group has not early adopted any other accounting standard, interpretation or amendment that has been issued but not effective.

SLFRS 16 – Leases

With effect from April 1, 2019, the Group applies this standard to contracts that were previously identified as leases applying LKAS 17 and IFRIC 4. For the contracts entered on or after the effective date of transition, the Group assesses at the inception of a contract, whether a contract contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration as per the guidelines of SLFRS 16. This assessment considers whether, throughout the period of use, the lessee has both the right to obtain all of the economic benefits from the use of the identified asset and the right to direct how and for what purpose the identified asset is used.

After the assessment of whether a contract is, or contains, a lease, the Group determines whether it contains additional lease or non-lease (service) components based on the detailed guidance provided in SLFRS 16.

3.1.1 As a Lessor

Lessor accounting under SLFRS 16 is substantially unchanged from LKAS 17. Lessor will continue to classify leases as either operating lease or finance leases using similar approach as in LKAS 17. Therefore SLFRS 16 does not have an impact for leases where Group is the lessor.

3.1.2 As a Lessee

As a lessee Group previously classified operating lease and the finance lease based on its assessment of whether the assessment lease transferred significantly all risk and rewards incidental to ownership of the underlying assets to the Group. Under SLFRS 16, The Group determines whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration

The Group adopted SLFRS 16 using the modified retrospective method of adoption with the date of initial application being April 1, 2019. Under this method, the standard is applied retrospectively with the cumulative effect of initially identified in the statement of changes in equity. Accordingly the comparative information has not been restated and continued to be reported under LKAS 17.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, and the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group recognises a lease liability at the date of initial application for leases previously classified as operating leases applying LKAS 17. The lessee shall measure that lease liability at the present value of the lease payments, discounted using the Company's cost of fund rate at the date of initial application date.

The Group recognises as right-of-use asset at the date of initial application for leases previously classified as operating leases applying LKAS 17. The Group selected to measure the right-of-use asset at an amount equal to the lease liability, on a lease-by-lease basis, adjusted by the amount of any prepaid or accrued lease payments relating to that lease recognised in the Statement of Financial Position immediately before the date of initial application.

The Group used a number of practical expedients when applying SLFRS 16 to leases previously classified as operating leases under LKAS 17. In particular, the Group:

- did not recognise right-of-use assets and liabilities for leases for which the lease term ends within 12 months.
- did not recognise right-of-use assets and liabilities for leases of low-value assets
- excluded initial direct costs from measuring the right-of-use asset at the date of initial application
- Applied a single discount rate to a portfolio of leases with similar characteristics
- Used hindsight when determining the lease term if the contract contains option to extend or terminate the lease

The Group presents right-of-use assets and lease liabilities separately in the Statement of Financial Position.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies applied by the Group in preparation of the Financial Statements are included below. The accounting policies set out below have been applied consistently to all periods presented in these Financial Statements of the Group, unless otherwise indicated.

4.1 Basis of Consolidation

The Group's Financial Statements comprise, Consolidated Financial Statements of the Company and its Subsidiaries in terms of the Sri Lanka Accounting Standard – SLFRS 10 on “Consolidated Financial Statements” (SLFRS 10) and the proportionate share of the profit or loss and net assets of its Associates in terms of the Sri Lanka Accounting Standard – LKAS 28 on “Investments in Associates and Joint Ventures” (LKAS 28).

4.1.1 Business combinations and goodwill

Business combinations are accounted for using the acquisition method as per the requirements of Sri Lanka Accounting Standard – SLFRS 03 (Business Combinations).

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred including the recognized amount of any non-controlling interests in the acquire, less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognized immediately in Profit or Loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interest at its fair value, or at its proportionate share of the recognized amount of the identifiable net assets, at the acquisition date.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognized in Profit or Loss.

Transactions costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

4.1.2 Subsidiaries

Subsidiaries are those enterprises controlled by the Company. Control exists when the Company (the Parent) holds more than 50% of the voting rights and/or has the power, directly or indirectly, to govern the financial and operational policies of an enterprise to obtain benefits from its activities.

The Financial Statements of Subsidiaries are fully consolidated from the date on which control is transferred to the Company and continue to be consolidated until the date when such control ceases.

The Financial Statements of all subsidiaries in the Group have a common financial year which ends on March, 31.

The cost of an acquisition is measured at fair value of the consideration, including contingent consideration, given on the date of transferring the title. The acquired identifiable assets, liabilities and contingent liabilities are measured at their fair values at the date of acquisition. Subsequent to the initial measurement the Company continues to recognize the investments in Subsidiaries at cost.

The total assets and liabilities of the Subsidiaries as at the reporting date are included in the Consolidated Statements of Financial Position. The total Profit or Loss for the year of the subsidiaries is included in the Consolidated Statements of Profit or Loss.

The non-controlling interest is presented in the Consolidated Statements of Financial Position within equity; separately from the equity attributable to the equity holders of the Company. Non-controlling interest in the Profit or Loss of the Group is disclosed in the Consolidated Statement of Comprehensive Income. Total Comprehensive Income is allocated to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Where subsidiaries have been acquired or sold during the year, their operating results have been included from the date of acquisition or to the date of disposal.

Upon the loss of control, the Group derecognized the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in the Statement of Changes in Equity. If the group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for an equity-accounted investee or in accordance with the Group's accounting policy for financial instruments depending on the level of influence retained.

4.1.3 Associates and Jointly control entities

Associates

Associates are those entities which the Group has significant influence, but not control or power to govern the financial and operating policies of the entities so as to obtain benefits from their activities.

The Group Financial Statements include the Group's share of the total recognized gains and losses of associates on an equity accounted basis from the date that significant influence commences until the date that significant influence ceases.

Accordingly, under the equity method, investment in associates are carried at cost plus post-acquisition changes in the Group's share of net assets of the associates and are reported as a separate line item in the Statement of Financial Position. The Statement of Profit or Loss reflects the share of current year's Profit or Loss of the Associates.

When the Group and Associate's share of losses exceed the carrying amount of the associate, the carrying amount is reduced to nil and recognition of further losses are discontinued except to the extent that the Group has incurred obligations or has made payments on behalf of the investee.

Jointly controlled entities

Jointly controlled entities are those entities where the Group has entered into a contractual agreement to share the control over strategic, financial and operating decisions relating to economic activities of the entities through unanimous consent of other parties sharing control.

4.1.4 Transactions eliminated on consolidation

Intra-group balances and any income and expenses arising from intra- group transactions are eliminated in preparing the Consolidated Financial Statements. Unrealized losses are eliminated in the same way as unrealized gains (except that they are only eliminated to the extent that there is no evidence of impairment).

4.2 Foreign Currency Transactions and Balances

Monetary assets and liabilities denominated in foreign currencies have been translated into local currency as per the exchange ruling at the date of the Statement of Financial Position while all non-monetary items are reported at the rate prevailing at the time transactions were affected.

4.3 Cash and Cash Equivalents

Cash and cash equivalents comprise cash in hand, balances with banks and money at call & short notice.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

They are brought to Financial Statements at their face values or the gross values, where appropriate. Cash and cash equivalents are carried at amortized cost in the Statement of Financial Position.

4.4 Financial Instruments – Initial recognition, classification and subsequent measurement

4.4.1 Date of recognition

All financial assets and liabilities are initially recognised on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. Loans and advances to customers are recognised when funds are transferred to the customers' accounts. The Group recognizes balances due to customers when funds are transferred to the Group.

4.4.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at Fair Value through Profit or Loss.

Transaction cost in relation to financial assets and financial liabilities at fair value through Profit or Loss are dealt through the Statement of Profit or Loss.

4.4.2.1 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Group immediately recognises the difference between the transaction price and fair value (a 'Day 1' Profit or Loss) in 'Net trading income'.

4.4.3 Financial Assets and Liabilities

Group only measures loans and advances to customers and other financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding.

The details of these conditions are outlined below.

4.4.3.1 (a) Business Model Assessment

The Company determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective. The Company's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel.
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected).

The business model assessment is based on reasonably expected scenarios without taking into account "worse case" or "stress case" scenarios. If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

4.4.3.1 (b) The SPPI Test

As a second step of its classification process the Company assesses the contractual terms of the financial assets to identify whether they meet the SPPI test. "Principal" for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount). The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms that introduce a volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.

4.4.4 Derivative financial instruments

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, commodity prices, foreign exchange rate, credit risk and indices. Derivatives are categorised as trading unless they are designated as hedging instruments.

All derivatives are initially recognised and subsequently measured at fair value, with all revaluation gains recognised in Statement of Profit or Loss (except where cash flow or net investment hedging has been achieved, in which case the effective portion of changes in fair value is recognised within other comprehensive income). Fair values may be obtained from quoted market prices in an active markets, recent market transactions and valuation techniques, including discounted cash flow models and option pricing models as appropriate, where the initially recognised fair value of a derivative contract is based on a valuation model that uses the inputs that are not observable in the market, it follows the same initial recognition accounting policy as for other financial assets and liabilities. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

Certain derivatives embedded in other financial instruments such as the conversion option in a convertible bond holds, are valued as separate derivatives when their economic characteristics and risks are not closely related to those of the host contract and the host contract is not carried at fair value through Profit or Loss. These embedded derivatives are measured at fair value with changes in fair value recognised in the Statement of Profit or Loss. Embedded derivatives continue to be presented with the host contract and are not separately disclosed or included within derivatives. The group did not have separate embedded derivatives as at 31st March 2020.

4.4.5 Reclassification of financial assets

From 1st April 2018, with the adoption of SLFRS 9, the Group reclassifies its financial assets subsequent to the initial recognition when an only when the business model for managing such financial assets is changed. Such reclassifications is applied prospectively from the reclassification date. Financial liabilities are never reclassified.

If a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in Statement of Profit or Loss. If the reclassification takes place out of the fair value through profit or loss category into the amortised cost measurement category, its fair value at the reclassification date becomes the new gross carrying amount.

If the reclassification takes place out of the amortised cost measurement category and into the fair value through other comprehensive income measurement category, fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in other comprehensive income.

The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

In terms of SLFRS 9.4.1.4, presenting subsequent changes in fair value in other comprehensive income for equity instruments that would otherwise be measured at fair value through profit or loss is an irrevocable election at initial recognition. However, as a result of COVID 19 if an entity decides to change its business model as at 1 January 2020, a one off option (no further reclassification thereon) is provided to reclassify equity portfolio. Accordingly, if the equity portfolio is reclassified to FVTOCI, the gain or loss on disposal will also be recognised in OCI. There will not be an option given for subsequent reclassifications.

In considering the significant volatility in the market conditions, the Company has decided to reclassify its Equity portfolio under Fair Value through Other Comprehensive Income w.e.f 01 January 2020.

4.4.6 Derecognition of financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired;
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:

- The Group has transferred substantially all the risks and rewards of the asset; or
- The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amounts of the asset and consideration received and any cumulative gain or loss that had been recognised in the Other Comprehensive Income is recognised in the Profit or Loss. When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. In that case, the Group also recognises an associated liability.

The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

4.4.7 Impairment of financial assets

Overview of the ECL principles

SLFRS 9 presents a “three-stage” model for estimating expected losses on the basis of changes in credit quality since initial recognition.

Stage 1: When loans are originated, the Group recognises an allowance based on 12 months ECL and performed assessment collectively. Stage 1 loans also contain the facilities which are reclassified from Stage 2 since the credit risk has improved.

Stage 2: When a loan credit risk increases significantly, the Group records an allowance for the Life Time Expected Credit Loss (LTECL), which performed collective basis. Stage 2 loans also include facilities, which are reclassified from stage 3 since the credit risk has improved.

Stage 3: When a loan is considered to be credit impaired, contain objective evidences of incurred loss, the Group records an allowance for the LTECL. Stage 3 assessment performed either individually or collectively.

Under SLFRS 9, loss allowances measured on either of the following bases:

- 12 month ECLs: these are ECLs that result from possible default events within the 12 months after the reporting date; and
- Lifetime ECLs: these are ECLs that result from all possible default events over the expected life of a financial instrument.

Lifetime ECL measurement applies if the credit risk of a financial asset at the reporting date has increased significantly since initial recognition. Twelve months ECL measurement applies if it has not increased an entity may determine that a financial asset's credit risk has not increased significantly if the asset has low credit risk at the reporting date. However, lifetime ECL measurement always applies for trade receivables and contract assets without a significant financing component.

Based on the computations:

- The Group believes that impairment losses are likely to increase and become more volatile for assets in the scope of the SLFRS 9 impairment model.
- The estimated ECLs were calculated based on actual credit loss experience over the past five years.
- The Group performed the calculation of ECL rates separately for each product types.

Exposures within each group were segmented based on common credit risk characteristics such as product type, delinquency status, age of relationship and type of product purchased.

The Group to be performed an assessment, at the end of each reporting period to identify whether a financial instrument's credit risk has increased significantly since initial recognition.

Definition of default and cure

The Group considers a financial instrument as defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 180 days past due on its contractual payments.

As a part of a qualitative assessment of whether an individually significant customer is in default, the Group also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the Group carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate.

It is the Group's policy to consider a financial instrument as "cured" and therefore reclassified out of Stage 3 when none of the default criteria have been present and the borrower is no longer considered as non performing in accordance with the Directives of the Central Bank.

Once cured, the decision whether to classify an asset as Stage 2 or Stage 1 largely depends on the days past due, at the time of the cure. The Group's criterion for 'cure' for rescheduled / restructured loans is more stringent than ordinary loans.

Significant increase in credit risk

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Group assesses whether there has been a significant increase in the credit risk since initial recognition. The Group considers an exposure to have a significantly increase in the credit risk when it is past due for more than 90 days.

Calculation of ECL

The Group calculates ECL based on three probability-weighted scenarios to measure the expected cash shortfall (the base case, best case and worst case), discounted at an approximation to the EIR. Each of these is associated with different loss rates. The assessment of multiple scenarios incorporates how defaulted loans are expected to be recovered, including the probability that the loans will cure and the value of collateral or the amount that might be received for selling the asset.

Key elements of the ECL calculations are outlined below:

- **Probability of default (PD)**

Probability of default is computed using transition matrix for last five years and computed average matrix from year 1 to 5. To minimize the sum of squared errors between average matrix and empirical matrix for that year computed a credit index. Regress macro-economic/ other variables to forecast future indexes.

- **Exposure at default computation (EAD)**

The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments.

- **Loss Given Default (LGD)**

The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

Actual credit loss experience will be adjusted by scalar factors to reflect differences between economic conditions during the period over which the historical data was collected, current conditions and the Group's view of economic conditions over the expected lives of the receivables. Scalar factors were based on GDP and unemployment rate forecasts and industry outlook.

Calculation of ECLs for Individually significant loans

The Group first assesses ECLs individually for financial assets that are individually significant to the Group. In the event the Group determines that such assets are not impaired (Not in stage 3), it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. However, assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment.

If the asset is impaired, the amount of the loss is measured by discounting the expected future cash flows of a financial asset at its original effective interest rate and comparing the resultant present value with the financial asset's current carrying amount. The impairment on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment is only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

When ECLs are determined for individually significant financial assets, following factors are considered:

- Aggregate exposure to the customer including any undrawn exposures;
- The amount and timing of expected receipts and recoveries;
- The realisable value of security (or other credit mitigants) and likelihood of successful repossession; and
- The likely deduction of any costs involved in recovery of amounts outstanding;

Grouping financial assets measured on collective basis

The Group calculates ECLs either on a collective or an individual basis. The Group categorise the collective impairment exposures into smaller homogeneous portfolios, based on a combination of internal and external characteristics of the loans, as described below:

- Product type
- Type of collateral
- Industry of the borrower

The PD estimation Process

PD estimation for loans and advances to other customers under SLFRS 9 is largely based on the Days Past Due (DPD) of the customers which is common for most Companies in the country at present.

Accordingly, exposures are categorised among 8 groups based on the DPD as follows.

- Zero days past due
- 1 – 30 days past due
- 31 - 60 days past due
- 61 – 90 days past due
- 91-120 days past due
- 121 – 150 days past due

- 151 – 180 days past due
- Above 180 days past due

Exposure at Default

The exposure at default (EAD) represents the gross carrying amount of the financial instrument subject to the impairment calculation, addressing both the client's ability to increase its exposure while approaching default and potential early repayments too.

To calculate the EAD for a Stage 1 loan, the Group assesses the possible default events within 12 months. However, if a Stage 1 loan that is expected to default within the 12 months from the balance sheet date is also expected to cure and subsequently default again, then all linked default events are taken into account. For Stage 2 and stage 3 financial assets and credit impaired assets at origination, events over the lifetime of the instruments are considered. The Group determines EADs by modelling the range of possible exposure outcomes at various points in time, corresponding the multiple scenarios. The SLFRS 9 PDs are then assigned to each economic scenario based on the outcome of Group's models.

Loss given default

LGD values are assessed at least annually for each material collateral type. The Group segregates its customer loan book based on following major types of collaterals when calculating the LGD,

- Secured against immovable property
- Secured against motor vehicles and other movable properties
- Secured against gold
- Secured against lease receivables

These LGD rates take into account the expected EAD in comparison to the amount expected to be recovered or realised from any collateral held. Historically collected loss data is used for LGD calculation and involves a wider set of transaction characteristics. The LGD rates, where possible, are calibrated through back testing against recent recoveries.

Forward looking information

In its ECL models, the Group relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth
- Unemployment rates
- Interest rates
- Treasury bill rate
- Inflation rate

The inputs and models used for calculating ECL may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material. To ensure completeness and accuracy, the Group obtains the above data from third party sources (Central Bank, World Bank and etc).

Write-off of loan & advances, leases and hire purchases

Loans, advances, leases and hire purchases (the related impairment allowance was accounted) are normally written off, either partially or in full, when there are no realistic prospects of recovery. Where such balances are secured, these are generally after receipt of any proceeds from the realisation of security.

Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the impairment allowance account accordingly. The write-back is recognised in the Statement of Profit or Loss.

Collateral valuation

The Group seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, gold, real estate, receivables, and other non-financial assets. The fair value of the collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

Non-financial collateral such as real estate, is valued based on data provided by third parties such as independent valuers and other independent sources.

Collateral repossessed

The Group's policy is to determine whether a repossessed asset is best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

Material Judgments and uncertainties

Company has made significant judgment as at period end to determine which events and circumstances relate and which do not. Typically, the shorter the period of time between period end and the information becoming available (e.g. a borrower defaulting on a loan shortly after period end), the more likely it is that the information confirms events and conditions as at period end, and therefore, ought to be reflected in ECL calculations.

A movement from stage 1 to either stage 2 or 3 will typically result in a higher ECL, as the probability of default ('PD') over the lifetime of a financial asset will be at least equal to or higher than the PD over the next 12 months. However, the assessment of whether there has been a significant increase in credit risk (SICR) for a financial asset is carried out on the basis of the expected life of the financial asset, the severe effects of COVID-19 will be during the second and third quarters of 2020 and that there will be significant initial government support followed by a significant economic recovery from late 2020/early 2021 onwards, then there may not be a SICR for many financial asset.

Allowance for expected credit losses (ECL)

The effects of COVID-19 are generally a 'non-adjusting' subsequent event as at 31 March 2020. Significant government action and intervention began to take place on 15 March 2020 when the World Health Organization declared coronavirus to be a global health emergency, which generally triggers the recognition of the broad economic effects of the outbreak in financial statements. Hence the impairment calculations had prepared earlier than the financial year end date for operational and practical reasons. Company had prepared substantial amount of its impairment calculations as at 29 February 2020. Assuming that the delays in payment may occur due to government intervention, and depending on the circumstances, may not result in a significant increase in credit risk.

Forward Looking and Probability of Default

IFRS 9 recognizes that information relevance decreases as the forecast horizon increases and emphasizes the relevance of historical information. In this regard, the IFRS 9 provisions lead to the conclusion that where there is no reliable evidence for specific forecasts, long-term macroeconomic outlooks will provide the most relevant basis for estimation. Hence company has used available historical information as on 31st December 2019, but only as far as this information is representative for the long-term horizon and free of bias; where historical information depends on macroeconomic variables, consider information covering at least one or more full economic cycles or that is otherwise adjusted to avoid biases. And further, scenario based analysis has improved and Worst case has been given 1/3 of weighting when determine the forward looking and probability of default.

4.6.2 Repurchase Agreements

Securities purchased under agreements to resell at a specified future date are not recognised in the Statement of Financial Position. The consideration paid including accrued interest, is recorded in the Statement of Financial Position, under 'Other Financial Assets which reflects the transaction's economic substance as a loan by the Group. The difference between the purchase and resale prices is recorded in 'Net interest income' and is accrued over the life of the agreement using the EIR.

If securities purchased under agreement to resell, are subsequently sold to third parties, the obligation to return the securities is recorded as a short sale within 'Financial liabilities Held for Trading' and measured at fair value with any gains or losses included in 'Net trading income'.

4.7 Non – Financial Asset

4.7.1 Investment Property

Recognition and measurement

Investment properties are properties held either to earn rental income or for capital appreciation or both but not for sale in the ordinary course of business, based in the production or supply of goods or services or for administrative purposes. Investment properties are recognised if it is probable that future economic benefits that are associated with the investment property will flow to the Group and cost of the investment property can be reliably measured. Where the Group provides ancillary services to the occupants of a property it holds, the Group treats such a property as investment property if the services are insignificant to the arrangement as a whole.

If an owner-occupied property becomes an investment property that will be carried at fair value, an entity shall apply LKAS 16 "Property, plant and equipment" up to the date of change in use. When the use of property changes from owner-occupied to investment property, the property is remeasured to fair value and classified as Investment Property. The entity shall treat any difference at that date between the carrying amount of the property in accordance with LKAS 16 "Property, plant and equipment "and its fair value in the same way as a revaluation in accordance with LKAS 16 "Property, plant and equipment ".The land is non-depreciated. Accordingly, land and building classified as investment properties are stated at fair value.

The Group obtains the services of independent valuers who are not connected with the Company, in order to determine the fair value of its investment properties annually, for disclosure purposes and such fair values have been disclosed as required by Sri Lanka Accounting Standard - LKAS 40 on "Investment Property".

De-recognition

Investment properties are de-recognised when disposed of, or permanently withdrawn from the use since no future economic benefits are expected. Gains or losses arising from de-recognition of an investment property are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit or loss.

4.7.2 Property, plant and equipment

Property, plant & equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially Property, Plant & Equipment are measured at its cost.

Recognition and measurement

Cost Model

Property, Plant and Equipment is stated at cost except land and building, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the equipment when that cost is incurred, if the recognition criteria are met.

Revaluation Model

Land and buildings are measured at fair value, less depreciation on buildings and impairment charged subsequent to the date of the revaluation. Valuations are performed every 3 to 5 years to ensure that the fair value of revalued asset does not differ materially from its carrying amount.

Any revaluation surplus is credited to the Revaluation Reserve included in the Equity of the Statement of Financial Position except to the extent that it reverses a revaluation decrease of the same asset previously recognised in Statement of Profit or Loss. In which case the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss except that a deficit directly offsetting a previous surplus on the same asset is directly offset against the surplus in the asset Revaluation Reserve.

Subsequent Cost

These are costs that are recognised in the carrying amount of an asset if it is probable that the future economic benefits embodied within that part of the cost will flow to the Group and it can be reliably measured. The costs of the day-to-day servicing of property and equipment are recognised in Profit or Loss as incurred.

Depreciation

The company has reassessed useful life time and changed the depreciation policy from reducing balance to the straight line method from 1st April 2016, further company has applied this changes accordance with LKAS 8-“Accounting Policies and Change in Accounting Estimates and Errors”.

The group provides depreciation from the date the assets are available for use and up to the date of disposal at the following rates on straight line basis over the periods appropriate to the estimated useful lives based on the pattern in which the asset’s future economic benefits are expected to be consumed by the Group.

Category of Asset	Expected useful life time in years
Building	20
Office Equipment	5
Plant & Machinery	5
Furniture & Fittings	8
Cutlery & Crockery	5
Motor Vehicles	5
Computers	3

Freehold lands are not depreciated. Depreciation of an asset ceases at the earlier of the date that the asset is classified as Held for Sale or the date that the asset is derecognised.

Depreciation does not cease when the asset becomes idle or is retired from active use unless the asset is fully depreciated.

Derecognition

Property, Plant and Equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other Operating Income' in the Statement of Profit or Loss in the year the asset is derecognised.

4.7.2 Intangible assets

The Group's intangible assets include the value of computer software.

Basis of recognition

An intangible asset is recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with the Sri Lanka Accounting Standards LKAS 38 on 'Intangible Assets'.

Intangible assets acquired separately are measured on initial recognition at cost. Intangible assets are stated in the Statement of Financial Position at cost less accumulated amortisation and accumulated impairment losses, if any.

Expenditure of internally developed software is recognised as an asset when the Group is able to demonstrate its intention and ability to complete the development and use the software in a manner that will generate future economic benefits and can be reliably measured the costs to complete the development.

Subsequent expenditure

Subsequent expenditure on Intangible Assets is capitalised only when it increases the future economic benefits embedded in the specific asset to which it relates. All other expenditures are expensed as incurred.

Amortisation

Group owned intangible assets are amortised over the period of 10 years unless otherwise stated.

Derecognition of intangible assets

The carrying amount of an item of an intangible asset is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset, is included in the Statement of Profit or Loss when the item is derecognised.

There were no restrictions on the title of the intangible assets as at the reporting date. Further there were no items pledged as securities for liabilities.

Intangible assets reported in note No. 34 only included computer software and cost of licences.

4.7.3 Impairment of non-financial assets

The Group assess at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or CGU's fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

For assets, an assessment is made at each reporting date as to whether there are any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss.

4.7.4. Finance and operating leases

Operating Leases

With effect from April 1, 2019, the Group applies SLFRS 16 to contracts that were previously identified as leases applying LKAS 17 and IFRIC 4, without reassessing whether a contract contains a lease at the date of initial application as a practical expedient. For the contracts entered on or after the effective date of transition, the Group assesses at the inception of a contract, whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration as per the guidelines of SLFRS 16. This assessment considers whether, throughout the period of use, the lessee has both the right to obtain all of the economic benefits from the use of the identified asset and the right to direct how and for what purpose the identified asset is used.

After the assessment of whether a contract is, or contains, a lease, the Group determines whether it contains additional lease or non-lease (service) components based on the detailed guidance provided in SLFRS 16. Accordingly, the right to use of an identifying asset is a separate lease component if the lessee can benefit from the use of underlying asset either on its own or together with other resources readily available to the lessee and the underlying asset is neither highly dependent on, nor highly interrelated with, the other underlying assets in the contract.

4.7.4.1 Group as a lessee

At the commencement date, the Group recognises right-of-use of an asset and a lease liability which is measured at the present value of the lease payments that are payable on that date. Lease payments are discounted using the cost of fund rate of the Group.

After initial recognition, the Group applies cost model for the right-of-use of an asset and depreciate the asset from commencement date to the end of the useful life of the underlying asset. Where the right does not transfer the ownership of the asset, the Group depreciates it from commencement date to the earlier of the end of the useful life of the right-of-use asset or end of the lease term. In addition, interest expense on the lease liability is recognised in the profit or loss.

Details of “Right-of-use asset” and “Lease liability” are given in Note no. 35 to the financial statements

4.7.4.2 Group as a lessor

As per SLFRS 16, a lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset. The Group recognises lease payments from operating leases as income on straight-line basis. Initial direct costs incurred in

negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income.

4.7.4.3 Application as per LKAS 17 (Applicable up to 31st March 2019)

Operating leases – Group as a lessee

As per LKAS 17, assets held under leases other than finance leases are classified as operating leases and are not recognised in the Group's SOFP. Payments made under operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease. Contingent rental payable is recognized as an expense in the period in which they are incurred.

Operating leases – Group as a lessor

Assets leased under leases other than finance leases are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

Finance lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as Finance Leases. When the Group is a lessor under finance leases the amounts due under the leases after deduction of unearned charges, are included in 'Lease Receivables to Group's or 'Loans and advances to customers', as appropriate. The finance income receivable is recognised in 'Net Interest Income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

When the Group is a lessee under finance leases, the leased assets are capitalised and included in 'Property, Plant and Equipment' and the corresponding liability to the lessor is included in 'Other Liabilities'. A finance lease and its corresponding liability are recognised initially at the fair value of the asset or, if lower, the present value of the minimum lease payments. Finance charges payable are recognised in 'Net Interest Income' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining balance of the liability.

4.8. Financial Liabilities

4.8.1 Initial recognition and measurement

As per SLFRS 9, the Group classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories:

- Financial liabilities at fair value through profit or loss, and within this category as –
 - Held-for-trading; or

- Designated at fair value through profit or loss;
- Financial liabilities measured at amortised cost.

The subsequent measurement of financial liabilities depends on their classification.

4.8.1.1 Financial liabilities at fair value through profit or loss (FVTPL)

Financial liabilities at FVTPL include financial liabilities held-for-trading and financial liabilities designated as such upon initial recognition as at fair value through profit or loss. Subsequent to initial recognition, financial liabilities at FVTPL are measured at fair value, and changes there in recognized in the Statement of Profit or Loss.

Upon initial recognition, transaction costs are directly attributable to the acquisition, are recognized in Statement of Profit or Loss as incurred. The criteria for designation of financial liabilities at FVTPL upon initial recognition are the same as those of financial assets at FVTPL.

Changes in fair value are recorded in “Net fair value gains/ (losses) from financial instruments at fair value through profit or loss” with the exception of movements in fair value of liabilities designated at FVTPL due to changes in the Companies’ own credit risk. Interest paid/payable is accrued in “Interest expense”, using the EIR. The Group has not designated any financial liabilities as at fair value through profit or loss as at the end of the reporting period.

4.8.1.3 Financial liabilities at amortised cost

Financial liabilities issued by the Group that are not designated at FVTPL are classified as financial liabilities at amortised cost under “Due to banks”, “Due to depositors” “Other borrowings” as appropriate, where the substance of the contractual arrangement results in the Group having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares. The Group classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in “Interest expense” in the Statement of Profit & Loss. Gains and losses too are recognised in the Statement of Profit & Loss when the liabilities are derecognised as well as through the EIR amortisation process.

4.8.2 Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of

a new liability. The difference between the carrying value of the original financial liability and the consideration paid are recognised in Statement of Profit or Loss.

4.8.3 Reclassification of financial liabilities

Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

4.9 Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made for the amount of the obligation. The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date after taking in to account the risks and uncertainties surrounding the obligation as at that date. The expense relating to any provision, is presented in the Statement of Profit or Loss net of any reimbursement.

4.10. Retirement Benefit Obligations

4.10.1 Gratuity

All the employees of the Group are eligible for gratuity under the Payment of Gratuity Act No. 12 of 1983.

Employees those who have resigned or whose services are terminated other than by retirement are eligible to receive the terminal gratuity under the Payment of Gratuity Act No. 12 of 1983 at the rate of half of the gross salary applicable to the last month of the financial year in which the employment is terminated or resigned for each year of completed service, for those who have served in excess of 5 years.

The Group operates an approved non-contributory Gratuity Fund to facilitate the Gratuity payments to the retiring employees of the Group. The Group determines the adequacy of gratuity liability in terms of Payment of Gratuity Act No.12 of 1983. In order to meet this liability, the Group carries forward a provision in the Statement of Financial Position based on:

- Half a month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have complete service 5 to 10 years,
- One month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who completed the service over 10 years but not exceeding 15 years,

- One and half month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have completed the service over 15 years but not exceeding 25 years.

- Two months' salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have completed the service over 25 years.

An actuarial valuation is carried out as every year end to ascertain the full liability under gratuity. The valuation was carried out as at 31st March 2020 by M/s Actuarial & Management Consultants (Pvt) Limited, a firm of professional actuaries based on the Projected Unit Credit Method recommended by the actuarial present value of the defined benefit obligation (PV-DBO) under the PUC method.

Recognition of actuarial losses / gains

The Group recognized the total actuarial gain and losses that arose in calculating the Group's obligation in respect of gratuity in Other Comprehensive Income during the period which it occurred.

Recognition of past service cost (applicable only when a plan has been changed)

Past service cost are recognized as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the instruction of, or changes to the plan, past service costs are recognized immediately.

Management of the fund's assets

The assets of the Gratuity Fund and the Employees' Provident Fund are held separately from those of the Group and are independently administered by a separate management team appointed by the Group. As at 31st March 2020 fair value of plan assets is Rs. 297,000,040/- (2019 – Rs. 246,528,429/-).

4.10.2 Employees' provident fund (EPF)

The Parent company and employees contribute 20% and 10% respectively of the employee's monthly gross salary to the Employees' Provident Fund.

The subsidiary company and employee's contribute 12% and 8% respectively of the employee's monthly gross salary to the Employees' Provident Fund.

The Group operates an approved private fund to manage EPF and managed by the committee of management.

4.10.3 Employees' trust fund (ETF)

The Group contributes 3% of the employee's monthly gross salary excluding overtime to the Employees' Trust Fund maintained by the Employees Trust Fund Board.

4.11. Taxation

As per the Sri Lanka Accounting Standard – LKAS 12 on ‘Income Taxes’ tax expense (Tax income) is the aggregate amount included in determination of Profit or Loss for the period in respect of current and deferred taxes. Income tax expense is recognised in the Statement of Profit or Loss except to the extent it relates to items recognised directly in Equity or in Other Comprehensive Income (OCI), in which case it is recognised in the Statement of Changes in Equity or in OCI.

4.11.1 Current taxation

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted by the end of the reporting period. Accordingly, provision for taxation is made on the basis of the accounting profit for the year as adjusted for the taxation purpose in accordance with the provisions of the Inland Revenue Act No. 27 of 2017 and the amendments thereto.

4.11.2 Changes proposed to Income Tax from Government Tax Proposals

As per the Notice to tax payers and withholding agents on “Implementation of Proposed Changes to the Inland Revenue Act No. 24 of 2017” dated February 12, 2020 issued by the Department of Inland Revenue, Income Tax rates of Corporates has been revised to 24% from 28% effective from January 1, 2020, pending formal amendments to be made to the Inland Revenue Act .

The Company's management having applied significant judgment to the said proposed revision of income tax rates, have determined that it is probable that formal amendments to the IRA will be made. The management concluded that Circular No. PN/IT/2020-03 (Revised) is more likely to be enacted in the near future and therefore, income tax rates and proposed basis of quantifying current income tax stipulated in the said Circular to be effective from 1 January 2020 have been used to calculate the last quarter income tax provision of the 2019/20 financial year of the Company. Accordingly, the Company has decided to apply the revised income tax rates with effective from 1 January 2020

4.11.3 Deferred tax

Deferred tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax assets are recognised for all deductible differences carrying forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profits will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised. The carrying amount of a deferred tax asset is reviewed at end of the reporting period and reduced to the extent it is no longer probable that sufficient taxable profit will

be available to allow all or part of the deferred tax asset to be utilised.

Unrecognised deferred tax asset are reassessed at the end of the reporting period and are recognised to the extent that it is probable that the future taxable profit will allow the deferred tax asset to be recovered. Deferred tax assets and liabilities are measured at the tax rate that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates and tax laws that have been enacted or subsequently enacted at end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Due to the end of owner occupation of the freehold land and building have been transferred to investment property, the differed tax impact on such adjustment has reversed to the statement of other comprehensive income.

4.11.4 Value Added Tax on Financial Services (FVAT)

VAT on Financial Services is calculated in accordance with VAT Act No. 14 of 2002 and subsequent amendment thereto. The value base for the computation of Value Added Tax on Financial Services is calculated by adjusting the depreciation computed on rates prescribed by the Department of Inland Revenue to the accounting profit before Income Tax and emoluments payable.

4.11.5 Crop Insurance Levy (CIL)

As per the provisions of the Section 14 of the Finance Act No.12 of 2013, the CIL was introduced with effect from April 01, 2013 and is payable to the National Insurance Trust Fund. Currently CIL is payable at 1% of the profit after tax.

4.11.6 Withholding Tax on Dividends

Dividend distributed out of taxable profit of the subsidiaries attracts WHT at source and is not available to set off against the tax liability of the Company. Thus, the WHT deducted at source, on the dividends distributed by the subsidiaries is charged to the Consolidated Statement of Profit or Loss as a consolidation adjustment.

Withholding tax that arises from the distribution of dividends by the Group is recognised at the time of the liability is payable.

4.11.7 Nation Building Tax (NBT) on Financial Services

With effect from 01st January 2014, NBT rate of 2% was introduced on supply of financial services via an amendment to the NBT Act No. 09 of 2009. NBT is chargeable on the same base used for

calculation of VAT on Financial Services. NBT has been abolished with effect from 1 December 2019 subject to Parliamentary approval for amendments to Nation Building Tax Act

4.11.8 Economic Service Charge (ESC)

As per provisions of the Economic Service Charge (ESC) Act No. 13 of 2006 and amendments thereto. ESC paid on aggregate turnover of the Company at 0.5% and is deductible from income tax payable. Unclaimed ESC, if any, can be carried forward and set off against the income tax payable in the three subsequent years including the current year of assessment. ESC has been abolished with effect from 1 January 2020 subject to Parliamentary approval for amendments to ESC Act.

4.11.9 Debt Repayment Levy (DRL) on financial services

DRL of 7% was introduced on the value addition attributable to the supply of financial services by each financial institution. DRL is chargeable on the same base used for calculation of VAT on financial services. DRL has been abolished with effect from 1 January 2020 subject to Parliamentary approval for amendments to Finance Act.

4.12 Recognition of Income

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

4.12.1 Interest income

Interest income is recorded using effective interest rate (EIR) method for all financial instruments measured at amortised cost and financial instruments designed at FVTPL. Interest income on interest bearing financial assets measured at FVOCI under SLFRS 9 is also recorded by using the EIR method. EIR is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instruments or, when appropriate, a shorter period to the net carrying amount of the financial asset.

EIR (and therefore, the amortised cost of the assets) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Group recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages and other characteristics of the product life cycles (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial assets are revised for reasons other than credit risk, the adjustments is booked as a positive or negative adjustment to the carrying amount of the asset in the Statement of Financial Position with an increase or reduction of interest income. The adjustment is subsequently amortised through interest and similar income in the Statement of Profit and Loss.

When a financial asset becomes credit-impaired, and is therefore regarded as “Stage 3”, the Group calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset, if the financial asset cures and is no longer credit-impaired, the Group reverts to calculating interest income on a gross basis.

Interest income on all trading assets and financial assets mandatorily required to be measured at FVTPL is recognised using the contractual interest rate under net interest income.

Based on the Debt Moratoriums as per the Circular No.’s 4 and 5 of 2020 issues by Monetary Board, Central Bank of Sri Lanka extension of payment holidays granted to borrowers in specific industries. Accordingly, for not credit impaired receivables, interest has to be accrued throughout the period applying the original Effective Interest Rate(EIR) in accordance with SLFRS 9.5.4.1 and SLFRS 9.5.4.2 applied the gross carrying amount of the financial assets. Consequently, the modification gain or loss shall be charged to profit or loss immediately. This is on the basis that the modification is not substantial. If there is a substantial modification, that would result in recognition of the financial assets consequently a new asset would be recognized and the EIR would be restated based on the pre modification carrying value and revised cash flows.

For the credit impaired receivables, interest revenue shall be accrued in the financial statements for the credit impaired assets by applying the original EIR on the net carrying value, after adjusting for Expected Credit Loss.

Currently Company has accounted the interest income based on SLFRS 9 and in the process of finalizing the customer debt relief applications in order to identify whether the modification terms are substantial or not.

4.12.2 Net Fee and Commission Income

Service Income

Revenue from rendering of services is recognized in the accounting period in which the services are rendered or performed

Fee and Commission Income

The Group earns fee and commission income from a diverse range of services, it provides to its customers. Fee and commission income relates mainly to transactions and services fees which are charged from customers to provide relevant financial services. It mainly include CRIB verification charges, Yard fees, Loan processing fees and vehicles transfer fees, income account on cash basis.

Fee and Commission Expense

Fee and commission expense mainly relates to transactions and services fees which are expensed to third parties on behalf of customers. These expenses mainly includes RMV expenses and Insurance expenses. Fee and commission expenses are recognised on an accrual basis.

4.12.3 Dividend Income

Dividend income is recognised when the right to receive the payment is established. Usually, this is the ex-dividend date for equity securities. Dividends are presented in the ‘Other Operating Income’ in Statement of Profit or Loss.

4.12.4 Net Trading Income

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities ‘Held for Trading’ other than interest income.

4.12.5 Other Income

The recognition of other income is accounted based on accrual basis.

4.13 Dividends on Ordinary Shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Group’s shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the Group. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

4.14 Earnings per Share

The Group presents basic Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the period.

4.15 Operating Segments

A business segment is a distinguishable component of the Group, engaged in providing products or services subject to risks and returns that are different from those of other business segments. Operating results of those segments are reviewed regularly by the Board of Directors to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

The primary business format is based on the core business activities of the Group, namely, lease, hire purchase & consumer durable, loans, pawning, hiring of vehicles, investing in shares, investing in government securities, collaboration finance & others. The management uses its judgment in determining the compositions of these core business activities by taking into account the objective of reporting financial information by segment as set forth in Sri Lanka Accounting Standard, SLFRS 8 “Operating Segments”, segment reporting and qualitative characteristics of financial statements as identified in the Framework for the Preparation and Presentation of Financial Statements.

The Group's business activities are carried out in Sri Lanka. Consequently, the economic environment in which the Group operates in, is not subject to risk and returns that are significantly deferent on a geographical basis. Hence, disclosure by geographical region has not been provided. For the purpose of segment reporting disclosures, the information presented in respect of the Group's business segments is based on the Group's management and internal reporting structure.

Income recognised in segments is an income which is directly identified and reported in those segments and expenses directly identified to a particular segment are charged accordingly and expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period. Unallocated items mainly comprise of head office expenses. Measurement of segments assets, liabilities, segment revenue and results are based on the group accounting policies. Segments revenue, results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segments assets that are expected to be used for more than one accounting period.

5 NEW ACCOUNTING STANDARDS ISSUED BUT NOT YET APPLICABLE AS AT 31ST MARCH 2020

The Institute of Chartered Accountants of Sri Lanka has issued the following new Sri Lanka Accounting Standards (SLFRSs/ LKASs) which will become applicable for financial periods beginning after 1 January 2020. Accordingly, the Group has not applied the following new standards in preparing these Consolidated Financial Statements. The following amended standards are not expected to have a significant impact on the Group's Consolidated Financial Statements.

- Amendments to references to conceptual framework in Sri Lanka Financial Reporting Standards.
- Definition of a business (Amendments to SLFRS 3)
- Interest rate benchmark reforms.(Amendments to SLFRS 9,LKAS 39, and SLFRS 7)

Alliance Finance Company PLC

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For the year ended 31st March 2020

6 GROSS INCOME

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Interest income (Note 7.1)	7,212,017,278	6,832,724,997	7,214,750,962	6,835,674,145
Fee & commission income (Note No. 8)	180,002,654	180,053,256	236,811,281	257,538,486
Net trading income (Note No 9)	49,512,493	(4,062,314)	49,512,493	(4,062,314)
Other operating income (Note No. 10)	237,685,236	234,882,430	237,689,640	234,909,873
	<u>7,679,217,661</u>	<u>7,243,598,369</u>	<u>7,738,764,376</u>	<u>7,324,060,190</u>

7 NET INTEREST INCOME

7.1 Interest Income

Financial investments - recognised through profit or loss	140,052,484	125,922,024	140,052,484	125,922,024
Loans and advances (Note No. 7.1.1)	1,409,951,283	1,931,855,938	1,409,951,283	1,931,855,938
Lease rentals receivable	5,364,574,730	4,529,533,148	5,364,574,730	4,529,533,148
Hire purchase & consumer durables	594,195	4,586,859	594,195	4,586,859
Repurchase agreements	15,174,804	13,542,238	15,174,804	13,542,238
Placements with banks & other financial institutions	80,374,300	63,526,721	83,107,984	66,475,869
Interest income accrued on impaired loans & receivables	201,295,482	163,758,069	201,295,482	163,758,069
Total interest income	<u>7,212,017,278</u>	<u>6,832,724,997</u>	<u>7,214,750,962</u>	<u>6,835,674,145</u>

7.1.1 Interest Income from Loans & Advances

Interest income from loans	604,092,475	698,387,181	604,092,475	698,387,181
Interest income from pledge loan	184,276,033	239,402,225	184,276,033	239,402,225
Interest income from gold loan	467,743,660	369,534,321	467,743,660	369,534,321
Interest income from micro finance	153,839,115	624,532,211	153,839,115	624,532,211
	<u>1,409,951,283</u>	<u>1,931,855,938</u>	<u>1,409,951,283</u>	<u>1,931,855,938</u>

Interest Income recognized for the year ended as at 31st March 2020 based on the SLFRS 9.

Due to the COVID-19, considerable amount of moratorium applications received and sorted based on eligibility criteria's. The system will be modified by extending the tenure of contract. During the moratorium period concessionary interest will be changed. Management expect reduction in interest income for the next financial year.

7.2 Interest Expenses

Due to banks	1,476,790,502	1,255,747,782	1,476,790,502	1,255,747,782
Due to depositors	1,551,265,288	1,642,290,238	1,551,265,288	1,642,290,238
Debt instruments issued and other borrowed funds	55,737,229	137,575,959	55,737,229	137,575,959
Other financial liabilities	237,376,298	208,420,190	237,376,298	208,420,190
Total interest expenses	<u>3,321,169,317</u>	<u>3,244,034,169</u>	<u>3,321,169,317</u>	<u>3,244,034,169</u>
Net interest income	<u>3,890,847,961</u>	<u>3,588,690,828</u>	<u>3,893,581,645</u>	<u>3,591,639,976</u>

8 FEE AND COMMISSION INCOME

8.1 Fees and Commission Income

Commission income	-	-	56,808,627	87,985,749
Service charges	132,972,945	134,405,904	132,972,945	123,905,385
Transfer fees	33,537,623	35,504,261	33,537,623	35,504,261
Other fees	13,492,086	10,143,091	13,492,086	10,143,091
Total fee and commission income	<u>180,002,654</u>	<u>180,053,256</u>	<u>236,811,281</u>	<u>257,538,486</u>

8.2 Fee and Commission Expenses

Brokerage	(124,510,580)	(89,245,684)	(124,510,580)	(89,245,684)
Credit related fees	(53,548,761)	(125,350,740)	(53,563,161)	(125,576,887)
Total fee and commission expenses	<u>(178,059,341)</u>	<u>(214,596,424)</u>	<u>(178,073,741)</u>	<u>(214,822,571)</u>
Net Fee and Commission Income	<u>1,943,313</u>	<u>(34,543,168)</u>	<u>58,737,540</u>	<u>42,715,915</u>

Alliance Finance Company PLC
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For the year ended 31st March 2020

9	NET GAINS /(LOSSES) FROM TRADING	Company		Group	
		2020	2019	2020	2019
		Rs.	Rs.	Rs.	Rs.
	Profit /(loss) on sale of financial investments -FVTPL	7,446,395	(4,076,301)	7,446,395	(4,076,301)
	Profit /(loss) on sale of foreign currencies	9,127,480	3,690,318	9,127,480	3,690,318
	Income from trust investment	32,938,618	-	32,938,618	-
	Impairment adjustment on unquoted investment reclassified to profit or loss	-	(3,676,331)	-	(3,676,331)
		<u>49,512,493</u>	<u>(4,062,314)</u>	<u>49,512,493</u>	<u>(4,062,314)</u>
10	OTHER OPERATING INCOME				
	Income from financial investment - FVTPL	4,317,948	5,635,045	4,317,948	5,635,045
	Fair value gain/(loss) on financial investments - FVTPL	15,047,610	(40,281,703)	15,047,610	(40,281,703)
	Fair value gain / (loss) on treasury bonds	(2,566,699)	-	(2,566,699)	-
	Fair value gain on treasury bond reclassified to profit or loss	-	9,539,227	-	9,539,227
	Profit/(loss) on disposal of property, plant & equipment	21,293,820	912,208	21,293,820	912,208
	Fair value gain on investment property	-	60,909,500	-	60,909,500
	Profit on sale of vehicles	44,375,348	68,443,282	44,375,348	68,443,282
	Rental income from hiring vehicles	28,138,105	27,463,131	28,138,105	27,463,131
	Income from sale of tiles & furniture	5,994,624	3,413,430	5,994,624	3,413,430
	Bad debt recoveries	38,462,446	33,790,120	38,462,446	33,790,120
	Others	82,622,034	65,058,190	82,626,438	65,085,633
	Total Other Operating Income	<u>237,685,236</u>	<u>234,882,430</u>	<u>237,689,640</u>	<u>234,909,873</u>
11	IMPAIRMENT CHARGES FOR LOANS AND OTHER LOSSES				
	Impairment Charges / (Write Back)				
	Lease rentals receivable	484,102,848	134,982,865	484,102,848	134,982,865
	Hire purchase rentals receivable	73,505	(24,993,983)	73,505	(24,993,983)
	Loans and advances	166,868,314	326,866,464	166,868,314	326,866,464
		<u>651,044,667</u>	<u>436,855,346</u>	<u>651,044,667</u>	<u>436,855,346</u>
	Bad Debts Written off				
	Lease rentals receivable	418,702,558	292,046,622	418,702,558	292,046,622
	Hire purchase rentals receivable	239,601	18,268,907	239,601	18,268,907
	Loans and advances	42,370,502	66,323,935	42,370,502	66,323,935
		<u>461,312,661</u>	<u>376,639,464</u>	<u>461,312,661</u>	<u>376,639,464</u>
		<u>1,112,357,328</u>	<u>813,494,810</u>	<u>1,112,357,328</u>	<u>813,494,810</u>
11.1	IMPAIRMENT CHARGE / (REVERSAL) TO THE INCOME STATEMENT				
		3/31/2020			
		IFRS 09			
		Stage 01	Stage 02	Stage 03	Total
		Rs.	Rs.	Rs.	Rs.
	Loans and advances - at amortised cost				
	- Collective impairment	78,744,798	(25,256,064)	45,633,312	99,122,046
	- Individual impairment	-	-	67,746,268	67,746,268
	Lease rentals receivable & stock out on hire - at amortised cost				
	- Collective impairment	246,830,865	49,442,347	25,462,181	321,735,393
	- Individual impairment	-	-	162,367,455	162,367,455
	Hire purchase rentals receivable & stock out on hire - at amortised cost				
	- Collective impairment	(103,833)	(74,135)	(336,350)	(514,318)
	- Individual impairment	-	-	587,823	587,823
		<u>325,471,830</u>	<u>24,112,148</u>	<u>301,460,689</u>	<u>651,044,667</u>
12	PERSONNEL EXPENSES				
		Company		Group	
		2020	2019	2020	2019
		Rs.	Rs.	Rs.	Rs.
	Salaries and bonus	616,246,985	570,406,203	623,561,408	591,105,743
	Gratuity charge for the year	28,944,650	32,690,685	29,391,316	33,119,199
	Employer's contribution to EPF	114,164,866	113,776,567	114,968,907	114,574,185
	Employer's contribution to ETF	17,124,730	17,067,629	17,325,740	17,267,034
	Staff welfare	27,875,896	30,863,068	28,366,277	31,328,469
	Other allowances & staff related expenses	17,365,640	15,547,247	17,473,140	15,574,208
		<u>821,722,767</u>	<u>780,351,399</u>	<u>831,086,788</u>	<u>802,968,838</u>

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13	OTHER OPERATING EXPENSES	Company		Group	
		2020	2019	2020	2019
13.1		Rs.	Rs.	Rs.	Rs.
	Auditors' remuneration				
	Audit fee	1,175,000	1,050,065	1,298,000	1,162,565
	Non audit fees and expenses	225,000	253,000	283,000	305,500
	Directors emoluments and other expenses (13.2)	64,425,475	59,293,719	66,025,475	60,893,719
	Professional fees	27,025,926	8,981,274	27,025,926	8,981,274
	Office administration & establishment expenses	397,071,733	392,279,805	398,714,418	398,874,142
	Advertising & business promotion expenses	101,182,427	100,474,297	101,253,297	108,840,527
	Motor vehicle running & maintenance	581,459,100	547,089,050	584,453,883	550,063,651
	Others	111,080,775	115,260,874	111,080,775	115,260,874
		<u>1,283,645,436</u>	<u>1,224,682,084</u>	<u>1,290,134,774</u>	<u>1,244,382,252</u>
13.2	Directors emoluments and other expenses represent the fees, salaries, allowances and other expenses (except gratuity provision) of both Executive and Non-Executive Directors of the Company.				
14	DEPRECIATION AND AMORTIZATION	Company		Group	
		2020	2019	2020	2019
		Rs.	Rs.	Rs.	Rs.
	Depreciation of property, plant and equipment	122,791,253	127,514,906	122,926,845	127,641,913
	Amortization of intangible assets	8,855,402	8,571,853	8,855,402	8,571,853
		<u>131,646,655</u>	<u>136,086,759</u>	<u>131,782,247</u>	<u>136,213,766</u>
15	TAXES ON FINANCIAL SERVICES	Company		Group	
		2020	2019	2020	2019
		Rs.	Rs.	Rs.	Rs.
	Value added tax	191,540,821	163,627,044	191,540,821	163,627,044
	Nation building tax	16,507,076	19,235,821	16,507,076	19,235,821
	Debt repayment levy	88,092,939	38,327,820	88,092,939	38,327,820
		<u>296,140,836</u>	<u>221,190,685</u>	<u>296,140,836</u>	<u>221,190,685</u>
16	TAXATION	Company		Group	
		2020	2019	2020	2019
		Rs.	Rs.	Rs.	Rs.
	Income Tax expense for the year	258,152,884	294,096,680	269,950,378	304,370,093
	Provisions for contingent tax liabilities	64,847,116	-	64,847,116	-
	Total Income Tax expense for the year	<u>323,000,000</u>	<u>294,096,680</u>	<u>334,797,494</u>	<u>304,370,093</u>
16.1	The Major Components of Income Tax Expense	Company		Group	
		2020	2019	2020	2019
		Rs.	Rs.	Rs.	Rs.
	Current Income Tax Expenses				
	Current tax on profit for the year (Note No. 16.2)	342,279,069	245,322,833	354,149,295	256,492,414
	Under/ (over) provision of current taxes in respect of prior years	-	(5,788,748)	-	(6,619,664)
		<u>342,279,069</u>	<u>239,534,085</u>	<u>354,149,295</u>	<u>249,872,750</u>
	Deferred Tax Expenses				
	Deferred taxation charge/ (reversal) (Note No. 16.4)	(84,126,185)	54,562,595	(84,198,917)	54,497,343
		<u>258,152,884</u>	<u>294,096,680</u>	<u>269,950,378</u>	<u>304,370,093</u>
	Current Tax on Profit for the Year - Subsidiary				
	Alfinco Insurance Brokers (Pvt) Ltd			11,797,494	10,273,414
				<u>11,797,494</u>	<u>10,273,414</u>
16.2	Reconciliation of Accounting Profit and Taxable Income	Company		Group	
		2020	2019	2020	2019
		Rs.	Rs.	Rs.	Rs.
	Accounting profit before income taxation	531,633,599	600,268,236	575,176,963	638,059,296
	Tax effect of non deductible expenses	4,051,951,155	5,579,056,797	4,049,802,296	5,581,246,593
	Tax effect of other allowable credits	(2,375,929,712)	(3,615,019,561)	(2,376,094,100)	(3,618,058,204)
	Tax effect of exempt income	(303,691,111)	(940,363,640)	(300,957,427)	(937,414,492)
	Tax effect of Tax losses claimed	(648,463,164)	(747,788,858)	(648,463,164)	(747,788,858)
		<u>1,255,500,767</u>	<u>876,152,974</u>	<u>1,299,464,568</u>	<u>916,044,335</u>
	Income Tax for the first 09 months	263,655,161	28%	272,887,559	28%
	Income Tax for the last 03 months	75,330,046	28%	77,967,874	28%
	Income tax for the year @ 24% & 28%	338,985,207	245,322,833	350,855,433	256,492,414
	Tax on Unit Trust investment income	3,293,862	-	3,293,862	-
	Total Income Tax for the year	<u>342,279,069</u>	<u>245,322,833</u>	<u>354,149,295</u>	<u>256,492,414</u>
16.3	Applicable Income Tax Rates	Company		Group	
		2020	2019	2020	2019
		Rs.	Rs.	Rs.	Rs.
	Alfinco Insurance Brokers (Pvt) Ltd -				
	Income Tax for the first 09 months			28%	28%
	Income Tax for the last 03 months			24%	28%
	Macbertan (Pvt) Ltd				
	Income Tax for the first 09 months			28%	28%
	Income Tax for the last 03 months			18%	

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For the year ended 31st March 2020

16.4 Deferred Tax Expense/(Reversal)

The following table shows deferred tax expense recorded in the profit or loss due to changes in the deferred tax assets and liabilities.

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Deferred Tax Liabilities				
Defined benefit obligation - Profit or Loss	8,595,790	9,723,450	8,590,209	9,625,665
Other temporary differences	(20,516,677)	346,630,801	(20,516,677)	346,630,801
Accelerated depreciation - Leased assets	(4,724,133)	1,439,630	(4,724,133)	1,439,630
Accelerated depreciation - Own assets	(24,753,028)	27,674,701	(24,820,179)	27,707,234
	<u>(41,398,048)</u>	<u>385,468,582</u>	<u>(41,470,780)</u>	<u>385,403,330</u>
Deferred Tax Assets				
Lease rentals	39,827,341	328,475,187	39,827,341	328,475,187
	<u>39,827,341</u>	<u>328,475,187</u>	<u>39,827,341</u>	<u>328,475,187</u>
Total Deferred tax expense / (reversal)	<u>(81,225,389)</u>	<u>56,993,395</u>	<u>(81,298,121)</u>	<u>56,928,143</u>
Defined benefit obligation - other comprehensive income	(2,900,796)	(2,430,800)	(2,900,796)	(2,430,800)
Deferred tax expense adjusted through profit or loss	<u>(84,126,185)</u>	<u>54,562,595</u>	<u>(84,198,917)</u>	<u>54,497,343</u>

17 EARNINGS PER ORDINARY SHARE

Basic earnings per share is calculated by dividing the net profit for the year attributable to ordinary shareholders by weighted average number of ordinary shares outstanding during the year, as per LKAS 33- Earnings Per Share.

	Company		Group	
For the year ended 31 st March	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Amounts Used as the Numerators:				
Net profit for the year attributable to equity shareholders for basic earnings per ordinary share	208,633,599	306,171,556	228,931,908	323,766,338
Number of Ordinary Shares Used as Denominators for Basic Earnings per share				
Weighted average number of ordinary shares in issue	33,696,000	33,696,000	33,696,000	33,696,000
Basic earnings per ordinary share (Rs.)	6.19	9.09	6.79	9.61

The company diluted EPS is equal to the Basic Earning per Ordinary Share since the Company does not have any convertible securities as at the reporting date.

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For the year ended 31st March 2020

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
18 DIVIDENDS				
18.1 Declared and Paid During the Year				
Dividends on ordinary shares:				
First and final dividend for 2019 Rs1/- per share	-	33,696,000	-	33,696,000
	-	33,696,000	-	33,696,000
Dividend Per Share (Rs.)	-	1.00	-	1.00
Dividend Yield	-	1.87	-	1.87
19 NET ASSETS VALUE PER ORDINARY SHARE				
As at 31st March,				
	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Amount used as the numerator				
Total equity attributable to equity holders of the Company	4,612,971,306	4,510,256,769	4,669,182,653	4,546,180,297
Number of ordinary shares used as the denominator				
Total number of ordinary shares	33,696,000	33,696,000	33,696,000	33,696,000
Net assets value per ordinary share	137	134	139	135

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As at 31st March 2020

20 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of Significant Accounting Policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognized. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 on 'Financial Instrument Recognition & Measurement' under the headings of the Statement of Financial Position.

20.1 Company

As at 31st March 2020	Fair Value Through Profit or Loss	Amortised Cost	Fair Value Through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	986,553,659	-	986,553,659
Repurchase agreements	-	350,388,985	-	350,388,985
Placements with banks & financial institutions	-	915,617,034	-	915,617,034
Financial assets recognised through profit or loss - measured at fair value	1,550,282,902	-	-	1,550,282,902
Loans and advances - at amortised cost	-	6,184,304,979	-	6,184,304,979
Lease rentals receivable - at amortised cost	-	20,055,543,842	-	20,055,543,842
Hire purchase rentals receivable - at amortised cost	-	4,527,976	-	4,527,976
Financial assets - fair value through other comprehensive income	-	-	137,940,332	137,940,332
Other financial assets	-	459,367,873	-	459,367,873
Total Financial Assets	1,550,282,902	28,956,304,348	137,940,332	30,644,527,582
			Other Financial Liabilities at amortised cost	Total
			Rs.	Rs.
Financial Liabilities				
Due to banks			15,424,806,029	15,424,806,029
Due to depositors			12,347,296,849	12,347,296,849
Derivative financial liabilities			59,836,277	59,836,277
Other financial liabilities			791,703,913	791,703,913
Total Financial Liabilities			28,623,643,068	28,623,643,068

20.2 Company

As at 31st March 2019	Fair Value Through Profit or Loss	Amortised Cost	Fair Value Through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	281,584,736	-	281,584,736
Repurchase agreements	-	210,053,286	-	210,053,286
Placements with banks & financial institutions	-	732,163,843	-	732,163,843
Financial assets recognised through profit or loss - measured at fair value	1,807,179,090	-	-	1,807,179,090
Loans and advances - at amortised cost	-	6,512,027,536	-	6,512,027,536
Lease rentals receivable - at amortised cost	-	18,842,072,665	-	18,842,072,665
Hire purchase rentals receivable - at amortised cost	-	12,349,092	-	12,349,092
Financial assets - fair value through other comprehensive income	-	-	579,250	579,250
Other financial assets	-	405,850,825	-	405,850,825
Total Financial Assets	1,807,179,090	26,996,101,983	579,250	28,803,860,322
			Other Financial Liabilities at amortised cost	Total
			Rs.	Rs.
Financial Liabilities				
Due to banks			12,589,469,582	12,589,469,582
Due to depositors			12,493,682,808	12,493,682,808
Debt Instruments issued and other borrowed funds			819,062,771	819,062,771
Derivative financial liabilities			99,770,779	99,770,779
Other financial liabilities			56,531,752	56,531,752
Total Financial Liabilities			26,058,517,692	26,058,517,692

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
As at 31st March 2020
20.3 Group

As at 31st March 2020	Fair Value Through Profit or Loss	Amortised Cost	Fair Value Through Other Comprehensive Income	Total
Financial Assets	Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	-	1,027,324,614	-	1,027,324,614
Repurchase agreements	-	350,388,985	-	350,388,985
Placements with banks & financial institutions	-	915,617,034	-	915,617,034
Financial assets recognised through profit or loss -measured at fair value	1,550,282,902	-	-	1,550,282,902
Loans and advances - at amortised cost	-	6,184,454,429	-	6,184,454,429
Lease rentals receivable - at amortised cost	-	20,055,543,842	-	20,055,543,842
Hire purchase rentals receivable - at amortised cost	-	4,527,976	-	4,527,976
Financial assets - fair value through other comprehensive income	-	-	137,940,332	137,940,332
Other financial assets	-	535,032,270	-	535,032,270
Total Financial Assets	1,550,282,902	29,072,889,150	137,940,332	30,761,112,384
			Other Financial Liabilities at Amortised Cost	Total
Financial Liabilities			Rs.	Rs.
Due to banks			15,453,081,167	15,453,081,167
Due to depositors			12,347,296,849	12,347,296,849
Derivative financial liabilities			59,836,277	59,836,277
Other financial liabilities			810,353,917	810,353,917
Total Financial Liabilities			28,670,568,210	28,670,568,210

20.4 Group

As at 31st March 2019	Fair Value Through Profit or Loss	Amortised Cost	Fair value through Other Comprehensive Income	Total
Financial Assets	Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	-	290,719,999	-	290,719,999
Repurchase agreements	-	210,053,286	-	210,053,286
Placements with banks & financial institutions	-	732,163,843	-	732,163,843
Financial assets recognised through profit or loss -measured at fair value	1,807,179,087	-	-	1,807,179,087
Loans and advances - at amortised cost	-	6,512,165,856	-	6,512,165,856
Lease rentals receivable - at amortised cost	-	18,842,072,665	-	18,842,072,665
Hire purchase rentals receivable - at amortised cost	-	12,349,092	-	12,349,092
Financial assets - fair value through other comprehensive income	-	-	579,250	579,250
Other financial assets	-	217,142,819	-	217,142,819
Total Financial Assets	1,807,179,087	26,816,667,560	579,250	28,624,425,896
			Other Financial Liabilities at Amortised Cost	Total
Financial Liabilities			Rs.	Rs.
Due to banks			12,589,469,582	12,589,469,582
Due to depositors			12,493,682,808	12,493,682,808
Debt Instruments issued and other borrowed funds			819,062,771	819,062,771
Derivative financial liabilities			99,770,779	99,770,779
Other financial liabilities			99,770,779	99,770,779
Total Financial Liabilities			26,101,756,719	26,101,756,719

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2020

21 CASH AND CASH EQUIVALENTS	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Cash in hand	60,605,677	57,302,252	60,605,677	57,302,252
Balances with banks	925,947,982	224,282,484	966,718,937	233,417,747
	<u>986,553,659</u>	<u>281,584,736</u>	<u>1,027,324,614</u>	<u>290,719,999</u>
22 FINANCIAL INVESTMENTS - RECOGNISED THROUGH PROFIT OR LOSS				
Government of Sri Lanka treasury bills	1,205,125,799	1,242,399,963	1,205,125,799	1,242,399,963
Government of Sri Lanka treasury bonds	287,807,781	400,476,681	287,807,781	400,476,681
Investments in Unit Trusts	57,349,322	-	57,349,322	-
Quoted equity securities (Note 23.1)	-	164,302,446	-	164,302,443
	<u>1,550,282,902</u>	<u>1,807,179,090</u>	<u>1,550,282,902</u>	<u>1,807,179,087</u>

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As at 31st March 2020

23 LOANS AND ADVANCES

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Term loan receivable	3,365,959,121	3,109,714,400	3,365,959,121	3,109,714,400
Gold loans	2,103,646,725	1,315,671,113	2,103,646,725	1,315,671,113
Pledge loans	992,874,760	1,488,717,679	992,874,760	1,488,717,679
Micro finance loans	466,097,824	1,172,537,357	466,097,824	1,172,537,357
Loans against fixed deposits	136,228,278	137,312,571	136,228,278	137,312,571
Staff loans (Note 23.3)	3,073,747	3,100,447	3,223,197	3,238,767
	7,067,880,455	7,227,053,567	7,068,029,905	7,227,191,887
Less : Allowance for impairment losses (Note 23.1, 23.2 & 23.4)	(883,575,476)	(715,026,031)	(883,575,476)	(715,026,031)
Net loans and advances	6,184,304,979	6,512,027,536	6,184,454,429	6,512,165,856

23.1 Allowances for Impairment Losses

As at 01st April	715,026,031	380,787,620	715,026,031	380,787,620
Impact on adoption of SLFRS 9 as at 1st April 2018	-	(35,493,437)	-	(35,493,437)
Charge / (Reversal) for the year	166,868,314	326,866,464	166,868,314	326,866,464
Interest income accrued on impaired loans and receivables	1,681,131	42,865,384	1,681,131	42,865,384
As at 31 st March	883,575,477	715,026,031	883,575,476	715,026,031

23.2 Loan Category wise Allowances for Impairment Losses

Term loan receivable	259,092,977	158,350,817	259,092,977	158,350,817
Gold loans	24,678,304	4,789,329	24,678,304	4,789,328
Pledge loans	310,196,519	276,960,761	310,196,519	276,960,762
Micro finance loans	289,607,676	274,925,123	289,607,676	274,925,123
	883,575,476	715,026,030	883,575,476	715,026,030

23.3 Staff Loans Include Loans Granted to Company Officers, the Movement of Which is as Follows :

As at the beginning of the year	3,100,447	4,151,358	3,238,767	4,278,058
Loans granted during the year	22,996,445	20,314,385	23,493,845	20,722,385
Repayments during the year	(22,770,884)	(20,850,721)	(23,257,154)	(21,247,101)
Provision for staff loan	(252,261)	(514,575)	(252,261)	(514,575)
As at the end of the year	3,073,747	3,100,447	3,223,197	3,238,767

23.4 Analysis of the Impairment for Expected Credit Losses, Based on the Staging of the Underlying Loans is Given Below:

	Stage 1	Stage 2	Stage 3	Total
	Rs.	Rs.	Rs.	Rs.
Gross loans and advances 31st March 2020	4,935,205,314	571,413,594	1,561,261,548	7,067,880,456
Less: Provision for collective impairment	(194,438,700)	(60,937,974)	(291,864,689)	(547,241,363)
Less: Provision for individual impairment	-	-	(336,334,113)	(336,334,113)
	4,740,766,614	510,475,620	933,062,746	6,184,304,980
Gross loans and advances 31st March 2019	5,591,109,830	475,627,833	1,160,315,904	7,227,053,567
Less: Provision for collective impairment	(115,693,903)	(86,194,038)	(289,096,761)	(490,984,702)
Less: Provision for individual impairment	-	-	(224,041,329)	(224,041,329)
	5,475,415,927	389,433,795	647,177,814	6,512,027,536

Term loan receivables include receivables amounting to Rs. 242,228,632/- that have been assigned under a securitization funding arrangement.

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24 LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Gross rentals receivables				
- Lease rentals	27,053,348,434	25,664,367,129	27,053,348,434	25,664,367,129
- Amounts receivable from hirers	2,224,030,738	1,265,525,727	2,224,030,738	1,265,525,727
	29,277,379,172	26,929,892,856	29,277,379,172	26,929,892,856
Less: Unearned income	(8,159,455,679)	(7,552,650,617)	(8,159,455,679)	(7,552,650,617)
Net rentals receivables	21,117,923,493	19,377,242,239	21,117,923,493	19,377,242,239
Less : Allowance for impairment losses (Note 24.1 & 24.3)	(1,062,379,651)	(535,169,574)	(1,062,379,651)	(535,169,574)
Total net rentals receivable (Note 24.2 & 24.3)	20,055,543,842	18,842,072,665	20,055,543,842	18,842,072,665
24.1 Allowances for Impairment Losses				
As at 01st April	535,169,574	353,453,060	535,169,574	353,453,060
Impact on adoption of SLFRS 9 as at 1st April 2018	-	37,507,140	-	37,507,140
Charge / (Reversal) for the year	484,102,848	134,982,865	484,102,848	134,982,865
Interest income accrued on impaired loans and receivables	43,107,229	9,226,509	43,107,229	9,226,509
As at 31st March	1,062,379,651	535,169,574	1,062,379,651	535,169,574

24.2 Analysis of the impairment for expected credit losses, based on the staging of the underlying leases is given below:

Company & Group

	Stage 1	Stage 2	Stage 3	Total
	Rs.	Rs.	Rs.	Rs.
Gross lease and receivables 31st March 2020	17,646,655,647	2,242,457,374	1,228,810,472	21,117,923,493
Less: Provision for collective impairment	(353,782,304)	(172,265,335)	(174,620,124)	(700,667,763)
Less: Provision for individual impairment	-	-	(361,711,888)	(361,711,888)
	17,292,873,343	2,070,192,039	692,478,460	20,055,543,842
Gross lease and receivables 31st March 2019	16,420,209,600	1,982,777,416	974,255,223	19,377,242,239
Less: Provision for collective impairment	(106,951,439)	(122,822,988)	(158,384,452)	(388,158,879)
Less: Provision for individual impairment	-	-	(147,010,695)	(147,010,695)
	16,313,258,161	1,859,954,428	668,860,076	18,842,072,665

24.3 Company & Group

As at 31st March 2020

	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
Gross rentals receivables				
- Lease rentals	10,834,020,705	16,219,053,169	274,560	27,053,348,434
- Amounts receivable from hirers	2,224,030,738	-	-	2,224,030,738
	13,058,051,443	16,219,053,169	274,560	29,277,379,172
Less: Unearned income	(4,155,500,912)	(4,003,934,076)	(20,691)	(8,159,455,679)
Net rentals receivables	8,902,550,531	12,215,119,093	253,869	21,117,923,493
Less : Allowance for impairment losses				(1,062,379,651)
Total net rentals receivable				20,055,543,842

Company & Group

As at 31st March 2019

	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
Gross rentals receivables				
- Lease rentals	1,316,061,360	24,344,945,288	3,360,481	25,664,367,129
- Amounts receivable from hirers	322,966,856	942,603,770	(44,899)	1,265,525,727
	1,639,028,216	25,287,549,058	3,315,582	26,929,892,856
Less: Unearned income	(132,813,295)	(7,418,452,038)	(1,385,284)	(7,552,650,617)
Net rentals receivables	1,506,214,921	17,869,097,020	1,930,298	19,377,242,239
Less : Allowance for impairment losses				(535,169,574)
Total net rentals receivable				18,842,072,665

Lease rental receivables include receivables amounting to Rs. 11,372,057,544/- that have been assigned under a securitization funding arrangement.

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
As at 31st March 2020

25 HIREPURCHASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Gross Rentals Receivables	-	4,972,689	-	4,972,689
- Amounts receivable from hirers	4,707,961	7,928,525	4,707,961	7,928,525
	4,707,961	12,901,214	4,707,961	12,901,214
Less: Unearned income	-	(217,362)	-	(217,362)
Net rentals receivables	4,707,961	12,683,852	4,707,961	12,683,852
Less : Allowance for impairment losses (Note 25.1)	(179,985)	(334,760)	(179,985)	(334,760)
Total net rentals receivable (Note 25.2 & 25.3)	4,527,976	12,349,092	4,527,976	12,349,092

25.1 Allowance for Impairment Losses

As at 01st April	334,760	4,545,386	334,760	4,545,386
Impact on adoption of SLFRS 9 as at 1st April 2018	-	25,856,747	-	25,856,747
Charge / (Reversal) for the year	73,505	(24,993,983)	73,505	(24,993,983)
Interest income accrued on impaired loans and receivables	(228,280)	(5,073,390)	(228,280)	(5,073,390)
As at 31 st March	179,985	334,760	179,985	334,760

25.2 Analysis of the impairment for expected credit losses, based on the staging of the underlying leases is given below:

	Stage 1	Stage 2	Stage 3	Total
	Rs.	Rs.	Rs.	Rs.
Gross lease rental receivable 31st March 2020	(773,694)	-	5,481,655	4,707,961
Less: Provision for collective impairment	-	-	-	-
Less: Provision for individual impairment	-	-	(179,985)	(179,985)
	(773,694)	-	5,301,670	4,527,976
Gross lease rental receivable 31 March 2019	3,470,016	1,231,640	7,982,196	12,683,852
Less: Provision for collective impairment	(103,833)	(74,135)	4,737,040	4,559,072
Less: Provision for individual impairment	-	-	(4,893,832)	(4,893,832)
	3,366,183	1,157,505	7,825,404	12,349,092

25.3 Company & Group

	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
As at 31st March 2020				
Gross rentals receivables				
- Hire purchase rentals	-	-	-	-
- Amounts receivable from hirers	4,707,961	-	-	4,707,961
	4,707,961	-	-	4,707,961
Less: Unearned income	-	-	-	-
Net rentals receivables	4,707,961	-	-	4,707,961
Less : Allowance for impairment losses				(179,985)
Total net rentals receivable				4,527,976
As at 31st March 2019				
Gross rentals receivables				
- Hire purchase rentals	4,972,689	-	-	4,972,689
- Amounts receivable from hirers	7,928,525	-	-	7,928,525
	12,901,214	-	-	12,901,214
Less: Unearned income	(217,362)	-	-	(217,362)
Net rentals receivables	12,683,852	-	-	12,683,852
Less : Allowance for impairment losses				(334,760)
Total net rentals receivable				12,349,092

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2020

26 FINANCIAL INVESTMENTS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Quoted equity securities (Note 26.1)	137,361,082	-	137,361,082	-
Unquoted equities (Note 26.2)	579,250	579,250	579,250	579,250
	137,940,332	579,250	137,940,332	579,250

As per the guidelines issued by CA Sri Lanka a one-off option is provided to reclassify equity portfolio as at 1, January 2020.

Accordingly the Company has reclassified equity portfolio held under fair value through profit or loss to fair value through other comprehensive income.

26.1 Quoted Equities

	2020			2019		
	No of	Company & Group		No of	Company & Group	
	Shares	Cost of Investment	Fair Value	Shares	Cost of Investment	Fair Value
		Rs.	Rs.		Rs.	Rs.
<u>Banks, Finance & Insurance</u>						
Central Finance Co PLC	31,560	4,135,882	2,556,360	31,272	4,111,690	2,642,484
Ceylinco Insurance PLC - non voting	1,500	602,749	1,185,000	1,500	602,749	1,350,600
Commercial Bank - non voting	81	9,513	4,739	81	9,513	6,804
Hatton National Bank PLC	30,226	6,742,309	3,176,753	29,783	6,652,663	5,212,025
Hatton National Bank PLC - non voting	6,260	895,180	627,878	-	-	-
Merchant Bank of Sri Lanka PLC	385	718,750	2,156	385	718,750	4,120
National Development Bank PLC	28,165	3,557,522	1,864,523	16,369	2,289,695	1,541,960
People's Leasing Company PLC	545,843	12,271,734	6,659,285	529,800	12,043,920	7,099,320
People's Insurance PLC	299,883	6,893,033	5,127,999	299,883	6,893,033	5,667,789
Sanasa Development Bank	39,836	6,046,150	1,872,292	39,836	6,046,150	2,390,160
Seylan Bank PLC	187,952	17,393,566	6,296,392	140,964	15,267,359	8,852,539
Seylan Bank PLC - non voting	73,113	4,220,294	1,615,797	52,773	3,772,483	1,974,060
Sinhaputhra Finance PLC -preference sha	50,000	125,000	120,000	50,000	125,000	335,000
LB Finance PLC	20,000	3,200,000	2,410,000	-	-	-
Union Bank PLC	296,680	5,146,220	2,403,108	91,764	2,366,190	1,009,404
		71,957,902	35,922,282		60,899,195	38,086,265
<u>Land & Property</u>						
East West Properties PLC	100,000	1,443,960	580,000	2,149,885	32,440,675	37,622,988
		1,443,960	580,000		32,440,675	37,622,988
<u>Hotels & Travels</u>						
Amaya Leisure PLC	24	1,121	600	24	1,121	893
Ceylon Hotels Corporation PLC	53,331	2,139,964	453,314	53,331	2,139,964	490,645
Dolphin Hotels PLC	135,000	7,245,218	2,470,500	135,000	7,245,218	3,577,500
Hotel Sigiriya PLC	35,000	3,539,200	1,274,000	35,000	3,539,200	2,065,000
Jetwing Symphony PLC	750,000	8,250,000	6,375,000	750,000	8,250,000	7,275,000
Mahaweli Reach Hotels PLC	71,928	2,970,734	863,136	71,928	2,970,734	978,221
The Nuwara Eliya Hotels Company PLC	327	455,040	273,078	327	455,040	408,750
Serendib Hotels PLC -non voting	14,510	334,376	159,610	14,510	334,376	182,826
Sigiriya Village Hotels PLC	64,902	6,779,287	1,706,923	64,902	6,779,287	3,030,923
Renuka City Hotel PLC	220	58,300	42,020	-	-	-
Tal Lanka Hotels PLC	17,800	997,893	137,060	17,800	997,893	167,320
Tangerine Beach Hotels PLC	7,516	630,813	263,812	7,516	630,813	305,150
		33,401,946	14,019,053		33,343,646	18,482,228

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2020

26.1 Quoted Equities (continued)

	2020 Company & Group			2019 Company & Group		
	No of Shares	Cost of Investment Rs.	Fair Value Rs.	No of Shares	Cost of Investment Rs.	Fair Value Rs.
<u>Manufacturing</u>						
ACL Cables PLC	16,300	997,465	506,930	10,000	635,515	323,000
Central Industries PLC	200,000	11,764,452	6,560,000	200,000	11,764,452	5,640,000
Kelani Tyres PLC	20,000	1,000,000	662,000	-	-	-
Regnis Lanka PLC	29,410	3,622,634	1,758,718	29,410	3,622,634	1,841,066
Teejay Lanka PLC	77,296	3,401,024	1,800,997	-	-	-
Tokyo Cement PLC	6,550	353,700	147,375	-	-	-
Tokyo Cement PLC - non voting	56,124	1,806,175	1,122,480	26,400	498,319	472,560
		22,945,450	12,558,500		16,520,920	8,276,626
<u>Trading</u>						
Singer Sri Lanka PLC	91,215	3,675,127	1,842,543	91,215	3,675,127	2,371,590
		3,675,127	1,842,543		3,675,127	2,371,590
<u>Investment Trusts</u>						
Lee Hedges PLC	284,800	17,621,544	18,512,000	284,800	17,621,544	19,936,000
Renuka Holdings PLC	674,529	23,042,074	9,106,142	674,529	23,042,074	9,038,689
		40,663,618	27,618,142		40,663,618	28,974,689
<u>Diversified Holdings</u>						
Aitken Spence PLC	546,700	45,947,578	16,783,690	354,551	36,661,167	14,536,591
Hayleys PLC	35,000	12,386,795	4,326,000	35,000	12,386,795	5,880,000
John Keells Holdings PLC	105	19,025	12,117	105	19,025	16,380
		58,353,398	21,121,807		49,066,987	20,432,971
<u>Plantations</u>						
Horana Plantations PLC	25,000	1,873,625	425,000	25,000	1,873,625	425,000
Kegalle Plantations PLC	37,100	8,266,496	1,513,680	37,100	8,266,496	2,040,500
		10,140,121	1,938,680		10,140,121	2,465,500
<u>Construction & Engineering</u>						
Access Engineering PLC	731,723	16,863,025	9,658,744	21,500	500,038	288,100
Colombo Dockyard PLC	6,580	1,232,107	240,170	6,580	1,232,107	348,740
		18,095,132	9,898,914		1,732,145	636,840
<u>Power & Energy</u>						
Lanka IOC PLC	75,000	2,337,426	1,185,000	25,000	1,302,426	442,500
Mackwoods Energy PLC	100,000	1,399,997	120,000	100,000	1,399,997	-
		3,737,423	1,305,000		2,702,423	442,500
<u>Motors</u>						
C M Holding PLC	2,285	800,794	97,113	2,285	800,794	82,489
Diesel & Motor Engineering PLC	17,500	19,143,781	4,375,000	17,500	19,143,781	5,332,251
United Motors PLC	6,819	668,851	309,583	6,819	668,851	455,509
		20,613,426	4,781,696		20,613,426	5,870,249
<u>Telecommunications</u>						
Dialog Axiata PLC	200,000	2,660,000	1,700,000	-	-	-
		2,660,000	1,700,000		-	-
<u>Chemicals & Pharmaceuticals</u>						
CIC Holdings PLC	27,199	1,681,279	951,965	25,000	1,320,665	640,000
CIC Holdings PLC -non voting	25,000	1,320,665	722,500	-	-	-
Haycarb PLC	15,000	2,834,828	2,400,000	-	-	-
		5,836,772	4,074,465		1,320,665	640,000
Total Investment		293,524,275	137,361,082		273,118,948	164,302,446

As per the guidelines issued by CA Sri Lanka and the provisions in SLFRS13–Fair value measurement, there is a difficulty to compute the fair value of financial assets as at 31 March 2020 due to unavailability of reliable information and distress prices. Accordingly Company has used the 20th March 2020 the last traded market prices for the fair valuation of quoted equity securities.

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
As at 31st March 2020

26.2 Unquoted Equities

Company & Group	Company 2020		Group 2019	
	Cost of Investment	Fair Value	Cost of Investment	Fair Value
	Rs.	Rs.	Rs.	Rs.
Comp trust Equity Fund	200,500	200,500	200,500	200,500
Commercial Fund Management	1,500	1,500	1,500	1,500
Shaw Wallace Ceylon Ltd	11,544	11,544	11,544	11,544
Alliance Agencies Ltd	75,300	75,300	75,300	75,300
Ceylon Japan Industries Ltd	1	1	1	1
Orient Food Processing (Lanka) Ltd	1	1	1	1
Trigem Knitwear Ltd	1	1	1	1
Credit Information Bureau of Sri Lanka	25,400	25,400	25,400	25,400
Finance House Consortium (Pvt) Ltd	200,000	200,000	200,000	200,000
Orient Hotels Ltd	1	1	1	1
Ranwelli Holiday Resorts Ltd	65,001	65,001	65,001	65,001
Nation Lanka Equities (Pvt) Ltd	8,785,740	1	8,785,740	1
Total	9,364,989	579,250	9,364,989	579,250

Directors of the Company assessed that fair value of the unquoted share investments held by the Company as at 31st March 2020 and concluded that the carrying value as at that date is a reasonable approximation of fair value.

Investments in equity accounted investees are carried at cost less any accumulated impairment losses. The Group has not determined impairment as at the reporting date due to the COVID -19 pandemic.

27 OTHER TRADING STOCKS

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Real estates	21,376,500	21,376,500	21,376,500	21,376,500
Vehicles stock	186,011,689	380,841,869	186,011,689	380,841,869
	207,388,189	402,218,369	207,388,189	402,218,369

28 OTHER FINANCIAL ASSETS

Collaboration debtors	36,248,097	41,239,434	36,248,097	41,239,434
Differed expenses	315,913,269	221,002,704	315,913,269	221,002,704
Other receivables	107,206,507	143,608,687	182,870,904	184,620,269
	459,367,873	405,850,825	535,032,270	446,862,407

29 OTHER NON FINANCIAL ASSETS

Pre-paid expenses	169,690,056	213,385,659	169,690,055	213,385,665
Stationery stock account	2,619,961	3,757,166	2,619,952	3,757,154
VAT recoverable	4,214,147	-	4,689,470	-
	176,524,164	217,142,825	176,999,477	217,142,819

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
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30 INVESTMENT IN ASSOCIATES

Company					
	% Holding	Carrying Value 01.04.2019 Rs.	Share of profit/(loss) Rs.	Change of Interest Rs.	Carrying Value 31.03.2020 Rs.
a) Equity Method					
Company					
Macbertan (Pvt) Ltd	22.45%	48,469,100	(2,842,382)	-	45,626,718
		<u>48,469,100</u>	<u>(2,842,382)</u>	<u>-</u>	<u>45,626,718</u>
Group					
	% Holding	Carrying Value 01.04.2019 Rs.	Share of profit/(loss) Rs.	New Investment Rs.	Carrying Value 31.03.2020 Rs.
Macbertan (Pvt) Ltd	22.45%	84,731,550	(2,842,382)	12,545,020	94,434,188
		<u>84,731,550</u>	<u>(2,842,382)</u>	<u>12,545,020</u>	<u>94,434,188</u>

Alliance Finance Company PLC's shareholding of Macbertan (Pvt) Ltd has changed from 11.80% to 9.18% during the year 2019, due to issue of new shares to other investors. However Company remains significant influence over the associate and from 2018, the Company started to identify its holding based on Group effective rate. Which is changed from 23.36% to 22.45%.

		2020 Rs.	2019 Rs.
b) Cost Method	No. of Ordinary Shares	Cost of Investment Rs.	Cost of Investment Rs.
Macbertan (Pvt) Ltd	1,720,000	17,200,000	17,200,000
		<u>17,200,000</u>	<u>17,200,000</u>

Summary of Financial Information of the Investment in Associates

	2020 Rs.	2019 Rs.
Total assets	613,716,826	749,459,558
Total liabilities	271,114,248	435,896,044
Net assets	342,602,578	313,563,514
Revenue	581,049,025	771,812,001
Loss	(12,660,946)	(38,069,502)

31 INVESTMENT IN SUBSIDIARIES

	Principal Activity	% Holding	Cost of Investment Rs.
Alfinco Insurance Brokers (Pvt) Ltd	Insurance Brokering	63.94%	16,924,038
Alfinco Insurance Brokers (Pvt) Ltd not quoted in Colombo Stock Exchange.			

Summarized Financial Information of Subsidiary

As at 31st March	2020 Rs.	2019 Rs.
Alfinco Insurance Brokers (Pvt) Ltd		
Net operating income	92,071,524	91,798,090
Less: operating expenses	<u>(51,841,728)</u>	<u>(54,007,026)</u>
Profit before taxes	40,229,796	37,791,064
Less: Taxes	<u>(14,375,254)</u>	<u>(10,273,414)</u>
Profit after tax	<u>25,854,542</u>	<u>27,517,650</u>
Assets	146,416,670	126,450,612
Liabilities	26,962,047	35,238,581
Equity	<u>119,454,623</u>	<u>91,212,031</u>

Investments in subsidiaries are carried at cost less any accumulated impairment losses. The Group has not determined impairment as at the reporting date due to the COVID-19 pandemic.

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2020

32 INVESTMENT PROPERTY

Company & Group

	Balance As at 01.04.2019	Additions	Fairvalue gain	Balance As at 31.03.2020
	Rs.	Rs.	Rs.	Rs.
Gross Carrying Amounts				
Land & buliding	549,000,000	-	-	549,000,000
	549,000,000	-	-	549,000,000
	Balance As at 01.04.2018	Additions	Fairvalue gain	Balance As at 31.03.2019
	Rs.	Rs.	Rs.	Rs.
Gross Carrying Amounts				
Land & buliding	488,090,500	-	60,909,500	549,000,000
	488,090,500	-	60,909,500	549,000,000

32.1 Revaluation of Investment property

The Company revalued its investment properties as at 31st March 2020, adopting an open market comparable basis of valuation by Mr. M.T.H Farook being independent, professional valuer with recent experience in the location category of the property being valued.

Details of investment properties Stated at Valuation

Location	Date of valuation	Net book Value at valuation Rs.	Revaluation amount Rs.	Revaluation Gain Recognised in P & L Rs.
No.199/11, Rajagiriya Road, Rajagiriya	31.03.2020	480,000,000	480,000,000	-
No.199/10, Rajagiriya Road, Rajagiriya	31.03.2020	69,000,000	69,000,000	-
		549,000,000	549,000,000	-

32.2 Details of investment properties as at 31st March 2020

Location	Land extent (perches)	Value of investment property Rs.
No.199/11, Rajagiriya Road, Rajagiriya	160	480,000,000
No.199/10, Rajagiriya Road, Rajagiriya	23	69,000,000
		549,000,000

Fair Value

The following table shows the valuation technique used in measuring the fair value of investment property, as well as the significant unobservable inputs used:

Valuation Technique	Significant Unobservable Inputs	Interrelationship between Key Unobservable Inputs and Fair Value Measurements
Land value is based on the market prices of each land respectively.	Market value of Land (Price per Perch)	The estimated fair value would increase/ (decrease), when market value per perch was higher (lower)

As a result of the COVID-19 outbreak in Sri Lanka during the last part of the quarter ended 31st March 2020, a reassessment of the valuation was obtained by the same independent professional value who determined no significant change to the revalued carrying amount provided as at 31st March 2019.

Consequently, as at the reporting date, the value reflected represents the best estimate based on the market conditions that prevailed, which in values considered opinion, meets the requirements in SLFRS 13 fair Value Measurements.

32.3 Title restriction on Investment properties

There were no restriction on the title of land and building categories as investment properties as at 31st March 2020.

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

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33 PROPERTY, PLANT AND EQUIPMENT

33.1 Company

Gross Carrying Amounts	Balance As at 01.04.2019	Additions	Disposals	Transfers	Balance As at 31.03.2020
	Rs.	Rs.	Rs.	Rs.	Rs.
Cost / Valuation					
Freehold Assets					
Land	1,179,529,965	-	-	-	1,179,529,965
Buildings	187,187,061	5,600,000	-	-	192,787,061
Furniture & fittings	77,038,616	4,720,107	-	-	81,758,723
Equipment	237,912,499	40,881,823	(4,321,602)	(37,100)	274,472,720
Motor vehicles & accessories	370,125,238	17,755,330	(35,396,408)	-	352,484,160
Computers	127,800,504	9,181,812	(2,304,521)	37,100	134,677,795
Antiques	25,580	-	-	-	25,580
	<u>2,179,619,463</u>	<u>78,139,072</u>	<u>(42,022,531)</u>	<u>-</u>	<u>2,215,736,004</u>
Depreciation					
Freehold Assets					
Land	-	-	-	-	-
Buildings	17,208,770	9,546,020	-	-	26,754,790
Furniture & fittings	27,867,455	9,954,322	-	-	37,821,777
Equipment	110,600,224	52,726,631	(1,623,859)	-	161,702,995
Motor vehicles & accessories	170,597,405	38,760,969	(30,363,443)	-	178,994,932
Computers	106,942,192	11,803,309	(2,304,521)	-	116,440,980
Antiques	-	-	-	-	-
	<u>433,216,046</u>	<u>122,791,251</u>	<u>(34,291,823)</u>	<u>-</u>	<u>521,715,474</u>
Net book value					
Land	1,179,529,965				1,179,529,965
Buildings	169,978,291				166,032,271
Furniture & fittings	49,171,161				43,936,946
Equipment	127,312,275				112,769,725
Motor vehicles & accessories	199,527,833				173,489,228
Computers	20,858,312				18,236,815
Antiques	25,580				25,580
	<u>1,746,403,417</u>				<u>1,694,020,530</u>

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

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33 PROPERTY, PLANT AND EQUIPMENT (Continued)

33.2 Group

	Balance As at 01.04.2019 Restated Rs.	Additions Rs.	Disposals Rs.	Transfers Rs.	Balance As at 31.03.2020 Rs.
Gross Carrying Amounts					
Cost / Valuation					
Freehold Assets					
Land	1,179,529,965	-	-	-	1,179,529,965
Buildings	187,187,061	5,600,000	-	-	192,787,061
Furniture & fittings	78,027,770	4,720,107	-	-	82,747,877
Equipment	240,309,573	40,881,823	(4,321,602)	(37,100)	276,832,693
Motor vehicles & accessories	370,125,238	17,755,330	(35,396,408)	-	352,484,160
Computers	128,930,634	9,181,812	(2,304,521)	37,100	135,845,025
Antiques	25,580	-	-	-	25,580
	<u>2,184,135,820</u>	<u>78,139,072</u>	<u>(42,022,531)</u>	<u>-</u>	<u>2,220,252,361</u>
Depreciation					
Freehold Assets					
Land	-	-	-	-	-
Buildings	17,208,770	9,546,020	-	-	26,754,790
Furniture & fittings	28,828,980	9,976,705	-	-	38,805,685
Equipment	112,953,544	52,749,384	(1,623,859)	-	164,079,069
Motor Vehicles & accessories	170,597,404	38,760,969	(30,363,443)	-	178,994,931
Computers	107,886,912	11,893,767	(2,304,521)	-	117,476,158
Antiques	-	-	-	-	-
	<u>437,475,610</u>	<u>122,926,845</u>	<u>(34,291,823)</u>	<u>-</u>	<u>526,110,633</u>
Net book value					
Land	1,179,529,965				1,179,529,965
Buildings	169,978,291				166,032,271
Furniture & fittings	49,198,790				43,942,192
Equipment	127,356,028				112,753,624
Motor vehicles & accessories	199,527,834				173,489,229
Computers	21,043,722				18,368,867
Antiques	25,580				25,580
	<u>1,746,660,210</u>				<u>1,694,141,728</u>

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
As at 31st March 2020

33.3 Revaluation of Fixed Assets

Freehold land and buildings of the Group are revalued by independent professional valuers once in every three years or more frequently to ensure that the carrying amount does not differ materially from that which would be determined using the fair value at the end of the reporting period. The Group revalued its entire class of freehold land and buildings as of 31st March 2017.

The Company revalued its land and buildings, adopting an open market comparable basis of valuation by Ms. W.A.T.I.P.Jayathilake & Company and Ms. K.T.Nihal & Company being independent, professional valuers with recent experience in the location category of the property being valued.

33.3.1 Details of Company's Land Stated at Valuation

Location	Date of valuation	Net book Value at valuation	Revaluation amount	Revaluation Gain/(Loss) Recognised in OCI
		Rs.	Rs.	Rs.
No.84, Ward Place, Colombo 7	15.02.2017	275,000,000	708,500,000	433,500,000
No.98, Ward Place, Colombo 7	01.04.2017	83,105,564	224,770,000	141,664,436
		358,105,564	933,270,000	575,164,436

33.3.2 Details of Company's Buildings Stated at Valuation

Location	Date of valuation	Net book Value at valuation	Revaluation amount	Revaluation Gain/(Loss) Recognised in OCI
		Rs.	Rs.	Rs.
No.84, Ward Place, Colombo 7	15.02.2017	18,132,452	8,187,200	(9,945,252)
No.98, Ward Place, Colombo 7	01.04.2017	13,835,963	31,472,700	17,636,737
		31,968,415	39,659,900	7,691,485

33.3.3 Valuation Technique and Significant Unobservable Inputs

The following table shows the valuation technique used in measuring the fair value of property, as well as the significant unobservable inputs used:

Valuation Technique	Significant Unobservable Inputs	Interrelationship between Key Unobservable Inputs and Fair Value Measurements
Land value is based on the market prices of each land respectively.	Market value of Land (Price per Perch)	The estimated fair value would increase/ (decrease) if - Market value per perch was higher (Lower)

33.3.4 Carrying value at cost

The carrying amount of Company's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation would be as follows;

As at 31st March 2020	Cost Rs.	Accumulated Depreciation Rs.	Net Book Value Rs.
Freehold lands	91,940,792	-	91,940,792
Freehold buildings	30,806,880	19,760,581	11,046,299
	122,747,672	19,760,581	102,987,091

33.3.5 Carrying value at revaluation

The carrying amount of Company's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation, would be as follows:

As at 31st March 2020	Revalued Amount Rs.	Accumulated Depreciation Rs.	Net Book Value Rs.
Land	933,270,000	-	933,270,000
Building	39,659,900	5,948,985	33,710,915
	972,929,900	5,948,985	966,980,915

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2020

33.4 Details of Freehold Land and Buildings as at 31st March 2020

Location	Land extent (Perches)	Cost or Revaluation of Land Rs.	Buildings (Square Feet)	Cost or Revaluation of Building Rs.	Total Value Rs.
No 84 Ward Place Colombo - 7	37.33	708,500,000	6,967	8,187,200	716,687,200
No.98, Ward Place, Colombo - 7	19.41	224,770,000	8,460	31,472,700	256,242,700
No.152, Batapadura Watta Road, Siyambalagoda	28.00	732,470	-	-	732,470
No.720, Kotte Road, Rajagiriya	33.85	130,253,800	-	-	130,253,800
No.722, Kotte Road, Rajagiriya	23.26	89,503,793	16,660	142,285,564	231,789,357
No.29, Kotugoda Road, Seeduwa	80.00	25,769,902	2,712	5,241,598	31,011,500
Freehold Land and Building		1,179,529,965		187,187,062	1,366,717,027

33.5 During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs.78,139,071.88 /- (2018/19 - Rs. 198,964,496 /-) and payment made by cash.

33.6 The cost of the fully depreciated / amortised property, plant and equipment and intangible assets of the Company which are still in use as at the end of the reporting date is as follows:

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Motor vehicles	83,319,484	53,148,354	83,319,484	53,148,354
Office Equipment		-	2,292,074	2,275,574
Furniture & Fittings		-	869,794	2,800,459
Computers	99,988,068	84,070,450	100,899,748	84,964,631
Software - Intangible assets	9,141,825	6,808,933	9,141,825	8,361,933
	192,449,377	144,027,737	196,522,925	151,550,951

33.7 Title restriction on Property Plant and Equipment

There were no restriction on the title of property, plant and equipment as at 31st March 2020.

33.8 Property Plant and Equipment pledged as security for liabilities

Property	Mortgaged with	Value
No.722, Kotte Road, Rajagiriya	Public Bank	550 mn

36.9 Measurement of fair values

The fair value measurement for freehold lands have been categorized as a Level 3 fair value based on the input to the valuation technique used.

36.10 The Group does not foresee indications of Impairment of Fixed assets as at the reporting date due to the COVID-19 pandemic and each business unit functions under the respective business continuity plans.

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2020

34 INTANGIBLE ASSETS

34.1 Company

	Balance As at 31.03.2019 Rs.	Additions Rs.	Disposals / Transfers	Balance As at 31.03.2020 Rs.
Gross Carrying Amounts of Freehold and Leasehold Assets				
Cost / Valuation				
Computer software - Freehold	70,044,017	8,655,331	25,812,658	104,512,006
Computer software - Leasehold	26,251,500	-	(26,251,500)	-
	96,295,517	8,655,331	(438,842)	104,512,006
Amortization				
Computer software - Freehold	32,334,097	6,230,252	9,989,936	48,554,284
Computer software - Leasehold	7,437,926	2,625,150	(10,063,076)	-
	39,772,023	8,855,402	(73,140)	48,554,284
Net book value				
Computer software - Freehold	37,709,920			55,957,723
Computer software - Leasehold	18,813,575			-
	56,523,495			55,957,723

34.2 Group

Cost / Valuation

Computer software - Freehold	70,044,017	8,655,331	25,812,658	104,512,007
Computer software - Leasehold	26,251,500	-	(26,251,500)	-
	96,295,517	8,655,331	-	104,512,007

Amortization

Computer software - Freehold	32,334,097	6,230,252	9,989,936	48,554,284
Computer software - Leasehold	7,437,925	2,625,150	(10,063,076)	-
	39,772,022	8,855,402	(73,140)	48,554,284

Net book value

Computer software - Freehold	37,709,920			55,957,723
Computer software - Leasehold	18,813,575			-
	56,523,495			55,957,723

35 RIGHT TO USE ASSETS

35.1 Cost of Right to Use Asset

	Company Rs.	Group Rs.
Balance as at 01st April 2019	-	-
Effects of adopting SLFRS 16	248,880,992	248,880,992
Restated balance as at 01st April 2019	248,880,992	248,880,992
Additions and improvements	86,740,219	86,740,219
Balance as at 31st March 2020	335,621,211	335,621,211
Accumulated Amortisation		
Balance as at 01st April 2019	-	-
Charge for the Year	75,954,501	75,954,501
Impairment loss	626,900	626,900
Balance as at 31st March 2020	76,581,401	76,581,401
Net book value as at 31st March 2020	259,039,810	259,039,810

35.2 Operating Lease Liability

Balance as at 01st April 2019	-	-
Effects of adopting SLFRS 16	228,949,484	228,949,484
Restated balance as at 01st April 2019	228,949,484	228,949,484
Additions and improvements	74,560,219	74,560,219
Accretion of Interest	34,162,923	34,162,923
Payments made during the year	(82,967,050)	(82,967,050)
Balance as at 31st March 2020	254,705,576	254,705,576

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2020

36	DUE TO BANKS	Company				Group	2019	
		2020	2019	2020				
		Rs.	Rs.	Rs.		Rs.		
	Bank overdrafts		274,242,117	147,877,806	302,517,255	147,877,806		
	Securitized borrowings and other facilities (Note 37.1)		15,150,563,912	12,439,674,565	15,150,563,912	12,439,674,567		
	Finance lease (37.2)		-	1,917,211	-	1,917,211		
			15,424,806,029	12,589,469,582	15,453,081,167	12,589,469,582		
36.1	Securitized Borrowings							
	Company and Group	As at 31.03.2019	Loans Obtained	Interest Recognized	Repayments	As at 31.03.2020	Period	Security
		Rs.	Rs.	Rs.	Rs.	Rs.		
	BOC Trust 01	-			-		30 Months	Lease receivables
	Deutsche Bank Trust - 28	31,862,255		237,161	32,099,416	-	48 Months	Lease receivables
	Deutsche Bank Trust - 30	361,611,032		16,997,051	378,608,083	-	48 Months	Lease receivables
	HNB Securitization -02	-	583,000,000	56,531,614	21,858,205	617,673,409	24 months	Lease receivables
	HNB Securitization -03	-	530,000,000	16,872,117	-	546,872,117	12 months	Lease receivables
	HNB Securitization -03 - III	-	344,600,000	4,909,625	-	349,509,625	24 months	Lease receivables
	HNB Securitization -03 -II	-	125,400,000	3,416,862	-	128,816,862	15 months	Lease receivables
	HNB Securitization -04	-	500,000,000	10,177,645	-	510,177,645	36 months	Lease receivables
	Peo-Trust 01 part 01	-	450,000,000	31,439,986	-	481,439,986	24 months	Lease receivables
	Peo-Trust 01 part 02	-	478,000,000	19,306,254	20,683,123	476,623,131	24 months	Lease receivables
		393,473,287	3,011,000,000	159,888,316	453,248,827	3,111,112,776		
	Direct Bank Borrowings							
	Term Loans							
	BOC	518,974,305	672,700,000	102,010,590	458,656,424	835,028,470	24 Months	Lease receivables
	Cargill's Bank PLC	91,898,155	-	9,545,796	56,768,016	44,675,935	60 Months	Lease receivables
	Commercial Bank of Ceylon PLC	450,000,000	475,000,000	46,284,124	521,284,126	449,999,998	36 Months	Land & buildings
	DFCC Bank	371,813,720	550,000,000	60,504,540	217,939,186	764,379,074	96 Months	Loan receivables
	DFCC Bank - PCI Loan	69,641,542	-	5,764,676	10,519,631	64,886,587	180 Months	Nil
	Hatton National Bank	4,010,000	500,000,000	23,670,656	97,130,658	430,549,998	48 Months	Lease receivables
	National Savings Bank	-	250,000,000	-	-	250,000,000		
	Nations Trust Bank PLC	250,000,000	-	29,140,537	179,140,539	99,999,998	6 Months	Lease receivables
	NDB Bank PLC	1,197,512,500	2,500,000,000	198,738,553	2,018,165,404	1,878,085,649	03 Months	Lease receivables
	Public Bank	278,056,143	300,000,000	46,899,969	132,237,872	492,718,240	60 Months	Lease receivables
	Reverse repo on treasury bills	183,284,372	463,510,974	3,657,312	580,328,482	70,124,176	7 Days	Treasury bonds
	Sampath Bank PLC	1,438,300,000	900,000,000	161,701,642	1,512,901,644	987,099,998	36 Months	Lease receivables
	Seylan Bank PLC	454,378,019	-	49,100,645	203,478,664	300,000,000	48 Months	Lease receivables
	Syndication loan	-				-	48 Months	Lease receivables
	Union Bank of Colombo PLC	1,120,833,338	2,825,000,000	147,448,475	2,636,719,511	1,456,562,302	03 Months	Lease receivables
		6,428,702,094	9,436,210,974	884,467,515	8,625,270,157	8,124,110,425		
	Foreign Currency Borrowings							
	DWM	559,336,213	66,516,850	56,117,042	60,505,549	621,464,556	36 Months	Lease receivables
	FMO	1,843,292,636		100,098,056	93,992,592	1,849,398,100	60 Months	Lease receivables
	IFC	819,053,973	-	220,474,298	320,950,217	718,578,054	60 Months	Lease receivables
	Symbiotic - USD	891,050,216	-	57,382,111	948,432,327	-	36 Months	Nil
	Symbiotic Index	770,804,673	-	95,547,250	866,351,923	-	36 Months	Nil
	Tridos Investment Management	733,961,473	-	159,190,794	167,252,267	725,900,000	36 Months	Lease receivables
		5,617,499,184	66,516,850	688,809,551	2,457,484,875	3,915,340,710		
		12,439,674,565	12,513,727,824	1,733,165,382	11,536,003,859	15,150,563,912		

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
As at 31st March 2020

36.2 Finance Lease

Company and Group

	As at 31.03.2019 Rs.	Repayments Rs.	As at 31.03.2020 Rs.
Finance leases	1,917,211	(1,917,211)	-
	<u>1,917,211</u>	<u>(1,917,211)</u>	<u>-</u>

36.2.1 Repayable with in one year

	2020 Rs.	2019 Rs.
Gross liability	-	1,941,671
Less: Finance charges allocated for future periods	-	(24,460)
Net liability	<u>-</u>	<u>1,917,211</u>

37 DUE TO DEPOSITORS

	Company 2020 Rs.	2019 Rs.	Group 2020 Rs.	2019 Rs.
Fixed deposits	11,978,777,299	11,954,633,010	11,978,777,299	11,954,633,010
Savings deposits	368,519,550	539,049,798	368,519,550	539,049,798
	<u>12,347,296,849</u>	<u>12,493,682,808</u>	<u>12,347,296,849</u>	<u>12,493,682,808</u>

38 DEBT INSTRUMENTS ISSUED AND OTHER BORROWED FUNDS

	Company 2020 Rs.	2019 Rs.	Group 2020 Rs.	2019 Rs.
Unsecured Debentures				
Face value	-	800,000,000	-	800,000,000
Accrued interest	-	19,062,771	-	19,062,771
	<u>-</u>	<u>819,062,771</u>	<u>-</u>	<u>819,062,771</u>

38.1 Quoted - Debentures

Company and group

The debentures include 10,000,000 Unsecured Redeemable Listed Rated Debentures of Rs. 100/- each issued by the Company in December 2014. Debenture type B of LKR Rs.800,000,000 was redeemed on 29th December 2019 and redeemed debenture details are given below.

Category	Period	No of Debentures	Face Value Rs.	Interest payable	Rate of Interest
Type ' B '	05 Years	8,000,000	800,000,000	Annually	9.35% per annum
		<u>8,000,000</u>	<u>800,000,000</u>		

39 OTHER FINANCIAL LIABILITIES

	Company 2020 Rs.	2019 Rs.	Group 2020 Rs.	2019 Rs.
Accrued expenses	46,278,303	97,827,572	63,242,279	77,994,219
Trade creditors	280,657,989	549,608,436	280,657,989	549,608,436
Others	464,767,621	134,497,232	466,453,649	153,934,924
	<u>791,703,913</u>	<u>781,933,240</u>	<u>810,353,917</u>	<u>781,537,579</u>

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	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
40 OTHER NON FINANCIAL LIABILITIES				
FVAT payable	9,996,165	29,239,871	9,996,165	29,239,871
Other taxes payables	16,270,418	27,291,881	16,270,418	27,291,881
	<u>26,266,583</u>	<u>56,531,752</u>	<u>26,266,583</u>	<u>56,531,752</u>
41 DERIVATIVE FINANCIAL LIABILITIES				
Foreign currency swaps	59,836,277	99,770,779	59,836,277	99,770,779
	<u>59,836,277</u>	<u>99,770,779</u>	<u>59,836,277</u>	<u>99,770,779</u>
42 INCOME TAX LIABILITY				
Receivable from Inland Revenue Department	(356,056,928)	(75,428,912)	(356,056,928)	(83,158,437)
ESC paid	(29,055,201)	(27,019,662)	(38,005,263)	(27,393,234)
Current tax liability	407,126,185	245,322,833	418,996,411	256,492,414
Provision for contingent tax liabilities	130,125,458	-	130,125,458	-
	<u>152,139,514</u>	<u>142,874,259</u>	<u>155,059,678</u>	<u>145,940,743</u>
42.1 Movement of Income Tax Liability				
Balance as at 01st April	142,874,259	25,004,302	145,940,743	26,636,671
Current tax based on profit for the year	407,126,185	245,322,833	418,996,411	256,492,414
Previous year WHT written-off	-	10,546	-	10,546
(Over)/under provision in respect of previous years	(130,125,458)	(5,788,748)	(130,125,458)	(5,788,748)
Provision for tax appeals	130,125,458	-	130,125,458	-
Payment of tax	<u>(397,860,929)</u>	<u>(121,674,674)</u>	<u>(409,877,470)</u>	<u>(131,410,140)</u>
Balance as at 31st March	<u>152,139,515</u>	<u>142,874,259</u>	<u>155,059,683</u>	<u>145,940,743</u>
43 RETIREMENT BENEFIT OBLIGATIONS				
Gratuity Liability				
43.1 Liability Recognized in the Statement of Financial Position				
Balance as at 01st April	30,699,249	64,596,330	32,643,265	66,191,109
Amount charged/(reversed) for the year (Note - 44.2)	16,858,000	24,011,758	17,315,155	24,360,995
Transfer to gratuity trust fund	(33,714,921)	(31,843,394)	(33,714,921)	(31,843,394)
Payments made during the year	<u>(14,889,015)</u>	<u>(26,065,445)</u>	<u>(14,998,915)</u>	<u>(26,065,445)</u>
Balance as at 31st March	<u>(1,046,687)</u>	<u>30,699,249</u>	<u>1,244,584</u>	<u>32,643,265</u>
43.2 Amount charged/(reversed) for the year				
Current service cost for the year	25,579,558	25,599,139	25,850,242	25,852,227
Interest cost for the year	30,483,220	28,674,750	30,659,202	28,850,176
Expected return on plan assets	<u>(27,118,127)</u>	<u>(21,580,704)</u>	<u>(27,118,127)</u>	<u>(21,580,704)</u>
	<u>28,944,651</u>	<u>32,693,185</u>	<u>29,391,317</u>	<u>33,121,699</u>
Amount Recognised in Other Comprehensive Income				
Net actuarial gains/ (losses)	<u>(12,086,651)</u>	<u>(8,681,427)</u>	<u>(12,076,162)</u>	<u>(8,760,704)</u>
Amount Charged for the year	<u>16,858,000</u>	<u>24,011,758</u>	<u>17,315,155</u>	<u>24,360,995</u>

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43.3 Changes in the Present Value of Obligation

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Present value obligation as at 01st April	277,227,678	260,784,547	277,227,678	262,379,326
Interest cost	30,483,220	28,674,750	30,483,220	28,674,750
Current service cost	25,579,558	25,599,139	25,579,558	25,948,376
Benefits paid / payable	(14,889,015)	(26,065,445)	(14,889,015)	(26,065,445)
Actuarial (Gain) / Loss	(22,619,892)	(11,765,313)	(22,619,892)	(11,765,313)
Present value obligation as at 31st March	295,781,549	277,227,678	295,781,549	279,171,694

43.4 Movement in the Present Value of Plan Assets

Value of plan assets as at 01st April	246,528,429	196,188,217	246,528,429	196,188,217
Expected return on the plan assets for the period	27,118,127	21,580,704	27,118,127	21,580,704
Contribution paid to the plan	33,714,921	31,843,394	33,714,921	31,843,394
Actuarial gain/(loss) on plan assets	(10,361,437)	(3,083,886)	(10,361,437)	(3,083,886)
Value of plan assets as at 31st March	297,000,040	246,528,429	297,000,040	246,528,429

43.5 Assumptions

Discount rate	10%	11%	10%	11%
Salary scale	6.0%	8.5%	6.0%	8.5%
Mortality table	A 67/70	A 67/70	A 67/70	A 67/70
Staff turnover	18%	18%	18%	18%

Retirement age Normal retirement age, or age on valuation date, if greater.

An actuarial valuation of the gratuity was carried out as at 31st March 2020 by Actuarial & Management Consultants (Pvt) Limited, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the "Projected Unit Credit Method", recommended by LKAS 19.

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

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44 DEFERRED TAX ASSETS AND LIABILITIES

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Deferred tax liability				
Balance as at 01st April	607,383,605	914,909,474	607,459,177	914,952,510
Recognised in profit & loss	(77,108,229)	(307,525,869)	(77,175,380)	(307,493,333)
Balance as at 31st March	<u>530,275,376</u>	<u>607,383,605</u>	<u>530,283,797</u>	<u>607,459,177</u>
Deferred tax asset				
Balance at 01st April	291,123,246	647,838,785	291,667,571	648,285,324
Deferred tax on SLFRS 9 transitional adjustments	-	7,803,726	-	7,803,726
Adjusted balance as at 01st April	291,123,246	655,642,511	291,667,571	656,089,050
Recognised in profit & loss	7,017,957	(362,088,465)	7,023,538	(361,990,679)
Recognised in other comprehensive income	(2,900,796)	(2,430,800)	(2,900,796)	(2,430,800)
Balance as at 31st March	<u>295,240,407</u>	<u>291,123,246</u>	<u>295,790,313</u>	<u>291,667,571</u>
Net Deferred tax liability / (asset)	<u>235,034,969</u>	<u>316,260,359</u>	<u>234,493,484</u>	<u>315,791,606</u>

44.1 Composition of Deferred Tax Assets and Liabilities

Liabilities

Accelerated depreciation - Own assets	(2,952,390)	21,800,638	(2,943,970)	21,876,210
- Leased assets	-	4,724,133	-	4,724,133
Lease rentals	274,231,725	321,862,792	274,231,725	321,862,792
Recognised in revaluation surplus	258,996,042	258,996,042	258,996,042	258,996,042
	<u>530,275,377</u>	<u>607,383,605</u>	<u>530,283,797</u>	<u>607,459,177</u>

Assets

Defined benefit obligation	-	8,595,790	549,905	9,140,114
Others	295,240,407	274,723,730	295,240,407	274,723,731
Deferred tax on SLFRS 9 transitional adjustments	-	7,803,726	-	7,803,726
	<u>295,240,407</u>	<u>291,123,246</u>	<u>295,790,312</u>	<u>291,667,571</u>

45 STATED CAPITAL

	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
45.1 Issued and Fully Paid-Ordinary shares				
Ordinary shares	613,980,000	613,980,000	613,980,000	613,980,000
	<u>613,980,000</u>	<u>613,980,000</u>	<u>613,980,000</u>	<u>613,980,000</u>

45.2 Number of Shares

Balance as at 01 April	33,696,000	33,696,000	33,696,000	33,696,000
	<u>33,696,000</u>	<u>33,696,000</u>	<u>33,696,000</u>	<u>33,696,000</u>

45.3 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

Shares in the Alliance Finance Company PLC are quoted in the Colombo Stock Exchange.

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46 RETAINED EARNINGS

As at 31st March	Company		Group	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
As at 01st April	1,655,299,368	1,499,994,909	1,691,251,482	1,518,272,964
Impact of adopting SLFRS 9	-	(20,066,724)	-	(20,066,724)
Impact of adopting SLFRS 16	(19,953,757)	-	(19,953,757)	-
Dividend paid	(33,696,000)	(75,816,000)	(33,696,000)	(75,816,000)
Profit for the year	208,633,599	306,171,556	228,931,908	323,766,338
Adjustment on actuarial gain / (losses) on defined benefit plan	9,185,855	6,250,627	9,175,366	6,329,904
Transfers to statutory reserve fund	(41,726,720)	(61,235,000)	(41,726,720)	(61,235,000)
As at 31st March	<u>1,777,742,345</u>	<u>1,655,299,368</u>	<u>1,833,982,280</u>	<u>1,691,251,482</u>

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used absorb future possible losses or dividends payable.

47 RESERVES

As at 31st March	Company			Group		
	2019	Transfers	2020	2019	Transfers	2020
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Fair Value Through OCI	-	(61,455,160)	(61,455,160)	-	(61,455,160)	(61,455,160)
Capital reserve (Note 48.1)	1,018,409,546	-	1,018,409,546	1,018,409,546	-	1,018,409,546
General reserve	388,258,055	-	388,258,055	388,258,055	-	388,258,055
Statutory reserve fund (Note 48.2)	834,309,800	41,726,720	876,036,520	834,309,800	41,726,720	876,036,520
	<u>2,240,977,401</u>	<u>(19,728,440)</u>	<u>2,221,248,961</u>	<u>2,240,977,401</u>	<u>(19,728,440)</u>	<u>2,221,248,961</u>

47.1 Capital Reserve - Revaluation Reserve

The Capital Reserves represents the increase in the fair value of the land & buildings at the date of revaluation. The Company revalues its freehold lands and buildings in every three to five years, unless significant changes in fair values indicate it may be necessary to revalue freehold lands and buildings on an earlier date, to ensure that the carrying amounts do not differ materially from the fair values at the end of the reporting date.

The Company treats 50% of the revaluation surplus as supplementary capital in the Total Capital Base in the computation of the Risk Weighted Capital Adequacy Ratio in accordance with the Central Bank of Sri Lanka, Finance Companies (Risk Weighted Capital Adequacy Ratio) Direction No.03 of 2018 on Capital Adequacy Requirements.

47.2 Statutory Reserve Fund

20% of profits after tax of 2020 is transferred to the Statutory Reserve Fund to fulfill the minimum requirement of the Section 3 (b) of Finance Companies (Capital Funds) Direction No.1 of 2003. This balance in the Statutory Reserve Fund will be used only for the purposes specified in the Finance Business Act, No.42 of 2011.

48 COMPARATIVE FIGURES

The following comparative figures have been reclassified in 2019 financial statements to maintain comparability of financial statements in order to provide better presentation.

Company & Group

Nature	Previous year classified under	Current year classified under	Amount (Rs.)
Statement of Financial Position			
Eco Tuk project	Other non financial assets	Other trading stocks	562,543

Statement of Profit or Loss

Fair value gain/(loss) on financial investments - FVTPL	Net Gains /(Losses) From Trading	Other Operating Income	(40,281,703)
Fair value gain on treasury bond reclassified to profit or loss	Net Gains /(Losses) From Trading	Other Operating Income	9,539,227

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49 CONTINGENT LIABILITIES AND COMMITMENTS

In the normal course of the business, the Company makes various commitments and incurs certain contingent liabilities. The company has made a provision against contingent liabilities.

Financial guarantees

Tax Appeal Commission	26,984,181
Sri Lankan Airlines	826,200
	<u>27,810,381</u>

No material losses are anticipated as a result of these commitments.

Tax assessments

Following tax assessments received by the Company are outstanding and have been duly appealed.

Income Tax 2014/15	123,000,000
Income Tax 2015/16	95,000,000
Income Tax 2016/17	50,200,000
FVAT, NBT 2016/17	43,900,000
	<u>312,100,000</u>

49.1 Litigations Against the Company

Litigation is a common occurrence in the Finance Industry due to the nature of the business undertaken. The Company has formal controls and policies for managing legal claims. No material losses are anticipated as a result of there transactions

There were no any other capital commitments or contingent liabilities as at the end of reporting date which requires separate disclosure to these financial statements.

Alliance Finance Company PLC
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50 EVENTS AFTER THE REPORTING PERIOD

The outbreak of COVID 19 in the country during the month of March resulted disruptions to the business operations of the Company. In support of government efforts to contain the spread of pandemic, the Company adopted to a work from home policy w.e.f 20th of March.

With the relaxation of curfew in some parts of the country, operations of the Company was opened up for public ensuring measures for health and safety of employees and customers. With the lifting of curfew in the other parts of the country, the Company recommenced its normal business operations gradually with strict adherence to the social distancing and precautionary measures.

In terms of Central Bank Circular, No. 05 of 2020, the Company is in the process of providing a debt moratorium to the customers which includes waiving off accumulated overdue interest, restructuring and rescheduling of loans. The disruptions to the normal conduct of the business during the pandemic and availing of the debt moratorium by eligible customers is expected to have a negative impact on the revenue streams of the Company.

The Management has assessed the existing and anticipated effects of COVID-19 on the Group Companies and the appropriateness of the use of the going concern basis. The group has evaluated the resilience of its businesses considering a wide range of factors under multiple stress tested scenarios , relating to expected revenue streams, cash flow streams , cost management, profitability, the ability to defer non-essential capital expenditure, debt repayment schedules, potential sources of financing facilities if required and the ability to continue services to ensure businesses continuity. Having considered the outlook of the company and after due consideration of the range and likelihood of outcomes, the Directors are satisfied that the Company, its subsidiaries and associates have adequate resources to continue in operational existence for the foreseeable future and continue to adopt the going concern basis in preparing and presenting these financial statements. In determining the above significant management judgements, estimates and assumptions the impact of the COVID 19 pandemic has been considered as of reporting date and specific considerations have been disclosed under the relevant notes.

Given the volatile and evolving landscape, the Group will continue to monitor the impacts on its operations and proactively take measures to ensure the business continuity as flawlessly as possible.

Other than that no circumstances have arisen which would required adjustment to or disclosure in the Financial Statements.

Alliance Finance Company PLC

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For the year ended 31st March 2020

51 SEGMENT REPORT

51.1	31st March 2020 - Group	Leasing	Hire Purchase & Consumer Durables	Loans	Gold Loans	Hire of vehicles	Investing in Shares	Investing in Government Securities	Collaboration Finance	Others	Total
		Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
	REVENUE										
	External sales	15,402,838,706	9,265,813	1,115,365,293	487,475,177	31,522,368	53,830,441	153,599,731	11,466,694	311,224,805	17,576,589,028
	Total revenue	15,402,838,706	9,265,813	1,115,365,293	487,475,177	31,522,368	53,830,441	153,599,731	11,466,694	311,224,805	17,576,589,028
	Total income	5,591,963,071	5,461,447	1,114,704,987	487,475,177	31,522,368	25,872,811	186,538,349	16,939,978	278,286,187	7,738,764,375
	RESULTS										
	Segment results	3,550,013,243	4,202,130	558,552,300	325,753,542	11,490,778	(22,430,026)	133,891,227	16,939,978	192,195,764	4,770,608,938
	Unallocated company expenses										(871,420,278)
	Operating profit										3,899,188,661
	Interest expenses	(2,188,655,836)	(494,137)	(448,030,529)	(226,877,237)	(10,596,286)	(30,106,778)	(216,151,447)	(3,955,745)	(196,301,322)	(3,321,169,317)
	Share of profits of associates before tax										(2,842,382)
	Income taxes										(334,797,494)
	Net Profit										240,379,468
	OTHER INFORMATION										
	Segment assets	20,055,543,842	4,527,976	4,105,486,008	2,078,968,421	97,098,082	275,880,660	1,980,683,647	36,248,097	1,798,788,873	30,433,225,605
	Investment in associates										94,434,188
	Unallocated company assets										3,566,204,019
	Total assets										34,093,863,812
	Segment liabilities	17,779,410,213	3,889,289	3,526,392,530	1,785,722,493	83,402,050	236,966,706	1,701,301,138	31,135,173	1,545,063,272	26,693,282,865
	Unallocated company liabilities										2,690,139,986
	Total liabilities										29,383,422,851

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2020

51 SEGMENT REPORT

51.2	31st March 2019 - Group	Leasing	Hire Purchase & Consumer Durables	Loans	Gold Loans	Hire of vehicles	Investing in Shares	Investing in Government Securities	Collaboration Finance	Others	Restated	Total	Restated
		Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.		Rs.		Rs.
	REVENUE												
	External sales	13,772,592,971	38,099,735	1,727,362,883	372,628,650	37,006,705	(29,169,745)	144,197,530	9,555,901	254,162,014		16,326,436,645	
	Total revenue	13,772,592,971	38,099,735	1,727,362,883	372,628,650	37,006,705	(29,169,745)	144,197,530	9,555,901	254,162,014		16,326,436,645	
	Total income	4,806,176,442	9,014,348	1,726,832,570	372,628,650	37,006,705	(37,593,331)	144,197,530	11,635,261	254,162,014		7,324,060,190	
	RESULTS												
	Segment results	3,641,831,390	(6,239,725)	872,918,236	315,163,513	24,473,724	(70,988,967)	108,071,931	11,635,261	188,614,901		5,085,480,264	
	Unallocated company expenses											(1,194,492,996)	
	Operating profit											3,890,987,268	
	Interest expenses	(2,086,530,632)	(1,367,512)	(575,979,020)	(145,164,231)	(12,395,091)	(18,258,644)	(205,189,478)	(4,566,766)	(194,582,794)		(3,244,034,168)	
	Share of profits of associates before tax											(8,893,804)	
	Income taxes											(304,370,093)	
	Net Profit											333,689,203	
	OTHER INFORMATION												
	Segment assets	18,842,072,665	12,349,092	5,201,284,072	1,310,881,784	111,931,839	164,881,693	1,852,929,930	41,239,434	1,757,148,004		29,294,718,513	
	Investment in associates											84,731,550	
	Unallocated company assets											2,822,639,436	
	Total assets											32,202,089,499	
	Segment liabilities	16,621,445,714	10,499,447	4,422,236,728	1,114,538,158	95,166,709	140,185,744	1,575,398,436	35,062,599	1,493,962,709		25,508,496,245	
	Unallocated company liabilities											2,117,602,210	
	Total liabilities											27,626,098,455	

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NOTES TO THE FINANCIAL STATEMENTS

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52 FAIR VALUE OF FINANCIAL INSTRUMENTS

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the instruments. The amounts are based on the values recognised in the Statement of Financial Position.

52.1 Determination of Fair Value and Fair Value Hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation techniques.

Level 1 : Quoted (unadjusted) prices in active markets for identical assets or liabilities.

Level 2: Other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly.

Level 3: Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy.

Company

As at 31st March 2020	Level 1	Level 2	Level 3	Total
Financial Assets	Rs.	Rs.	Rs.	Rs.
Financial assets- recognised through profit or loss				
Government of Sri Lanka treasury bills / bonds	-	1,492,933,580	-	1,492,933,580
Investments in Unit Trusts	57,349,322	-	-	57,349,322
Financial Investments - fair value through other comprehensive income				
Unquoted equities	-	-	579,250	579,250
Quoted equities	137,361,082	-	-	137,361,082
Total Financial Assets	194,710,404	1,492,933,580	579,250	1,688,223,234

As at 31st March 2019	Level 1	Level 2	Level 3	Total
Financial Assets	Rs.	Rs.	Rs.	Rs.
Financial assets- recognised through profit or loss				
Government of Sri Lanka treasury bills / bonds	-	1,605,602,480	-	1,605,602,480
Quoted equities	137,361,082	-	-	137,361,082
Financial Investments - fair value through other comprehensive income				
Unquoted equities	-	-	579,250	579,250
Total Financial Assets	137,361,082	1,605,602,480	579,250	1,743,542,812

Group

As at 31st March 2020	Level 1	Level 2	Level 3	Total
Financial Assets	Rs.	Rs.	Rs.	Rs.
Financial assets- recognised through profit or loss				
Government of Sri Lanka treasury bills /bonds	-	1,492,933,580	-	1,492,933,580
Investments in Unit Trusts	57,349,322	-	-	57,349,322
Financial Investments - fair value through other comprehensive income				
Unquoted equities	-	-	579,250	579,250
Quoted equities	137,361,082	-	-	137,361,082
Total Financial Assets	194,710,404	1,492,933,580	579,250	1,688,223,234

As at 31st March 2019	Level 1	Level 2	Level 3	Total
Financial Assets	Rs.	Rs.	Rs.	Rs.
Financial Investments - Held for Trading				
Government of Sri Lanka treasury bills	-	1,642,876,644	-	1,642,876,644
Quoted equities	164,302,443	-	-	164,302,443
Financial Investments - fair value through other comprehensive income				
Unquoted equities	-	-	579,250	579,250
Total Financial Assets	164,302,443	1,642,876,644	579,250	1,807,758,337

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FAIR VALUE OF FINANCIAL INSTRUMENTS (Continued.)**52.2 Determination of Fair Value and Fair Value Hierarchy**

Set out below is the comparison by classes of the carrying amounts of fair values of the Company's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of non- financial assets and non- financial liabilities.

Company	2020		2019	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	986,553,659	986,553,659	281,584,736	281,584,736
Repurchase agreement	350,388,985	350,388,985	210,053,286	210,053,286
Placement with banks & other financial institutions	915,617,034	915,617,034	732,163,843	732,163,843
Loans and advances	6,184,304,979	6,068,718,518	6,512,027,536	7,380,980,222
Lease rentals receivables	20,055,543,842	18,634,820,905	18,842,072,665	17,958,902,651
Hire purchase receivables	4,527,976	4,527,976	12,349,092	12,349,092
Other financial assets	459,367,873	459,367,873	405,850,825	405,850,825
Total Financial Assets	28,956,304,348	27,419,994,950	26,996,101,983	26,981,884,655
Financial Liabilities				
Due to banks	15,424,806,029	15,424,806,029	12,589,469,582	12,589,469,582
Due to customers	12,347,296,849	12,372,197,246	12,493,682,808	12,470,005,460
Debt instruments issued and other borrowed funds	-	-	819,062,771	819,062,771
Financial liabilities	791,703,913	791,703,913	781,933,240	781,933,240
Total Financial Liabilities	28,563,806,791	28,588,707,188	26,684,148,401	26,660,471,053
Group	2020		2019	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	1,027,324,614	1,027,324,614	290,719,999	290,719,999
Repurchase agreement	350,388,985	350,388,985	210,053,286	210,053,286
Placement with banks & other financial institutions	915,617,034	915,617,034	732,163,843	732,163,843
Loans and advances	6,184,454,429	6,068,718,518	6,512,165,856	7,380,980,222
Lease rentals receivables	20,055,543,842	18,634,820,905	18,842,072,665	17,958,902,651
Hire purchase receivables	4,527,976	4,527,976	12,349,092	12,349,092
Other financial assets	535,032,270	535,032,270	446,862,407	446,862,407
Total Financial Assets	29,072,889,150	27,536,430,302	27,046,387,147	27,032,031,500
Financial Liabilities				
Due to banks	15,453,081,167	15,453,081,167	12,589,469,582	12,589,469,582
Due to customers	12,347,296,849	12,372,197,246	12,493,682,808	12,470,005,460
Debt instruments issued and other borrowed funds	-	-	819,062,771	819,062,771
Financial liabilities	810,353,917	810,353,917	781,537,579	781,537,579
Total Financial Liabilities	28,610,731,933	28,635,632,330	26,683,752,740	26,660,075,392

FAIR VALUE OF FINANCIAL INSTRUMENTS (Continued.)

Fair Value of Financial Assets and Liabilities not Carried at Fair Value

The following describes the methodologies and assumptions used to determine the fair values for those financial instruments which are not already recorded at fair value in the Financial Statements.

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. This assumption is also applied to fixed deposits and savings deposits without a specific maturity.

Long term deposits accepted from customers for which periodical interest is paid and loans and advances granted to customers with a variable rate are also considered to be carried at fair value in the books.

Fixed rate financial instruments

Carrying amounts are considered as fair values for short term credit facilities. Loans and Advances with fixed interest rates were fair valued using market rates at which fresh loans were granted during the fourth quarter of the reporting year. Conversely, fixed deposits with original tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the fourth quarter of the reporting year. For quoted debt issued the fair value are determined based on quoted market prices.

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53 RELATED PARTY TRANSACTIONS

The Company carried out transactions in the ordinary course of business on an arm's length basis at commercial rates with parties who are defined as Related Parties as per the Sri Lanka Accounting Standard - LKAS 24 'Related Party Disclosures', except for the transactions that Key Management Personnel (KMPs) have availed under schemes uniformly applicable to all staff at concessionary rates.

Details of related party transactions which the Company had during the year are as follows,

53.1 Transactions with Key Managerial Personnel (KMPs)

Related party includes KMPs defined as those persons having authority and responsibility for planning, directing and controlling the activities for the Company. Such KMPs include the Board of Directors of the Company (include executive and non executive directors), executives who directly report to Board sub committees and other key executives who meet the criteria described above.

53.2 Compensation to Key Management Personnel		2020 Rs.	2019 Rs.
KMP's Emoluments (other than directors)			
	Short term	73,993,451	71,946,875
	Long term	13,439,171	13,851,705
		<u>87,432,622</u>	<u>85,798,580</u>
Remuneration and other expenses of directors			
	Short term	55,825,251	51,895,158
	Long term & post employment benefits	17,189,896	9,974,815
		<u>73,015,147</u>	<u>61,869,973</u>

53.3 Transactions, Arrangements and Agreements Involving KMPs, and their Close Family Members (CFMs)

Close Family Members (CFMs) of a KMPs are those family members who may be expected to influence, or be influenced by, that KMP in their dealing with the entity. They may include KMPs domestic partner and children of the KMP, the children of KMP's domestic partner and dependents of KMP and KMPs domestic partner.

53.4 Transactions involving Key Management Personnel (KMPs) and their Close Family Members (CFMs)

Statement of Financial Position - Company and Group

	2020 Rs.	2019 Rs.
Liabilities		
Financial Liabilities measured at amortised cost - due to depositors		
Fixed deposits	158,827,805	118,323,703
Savings Deposits	11,278,094	6,868,045

Assets - Company and Group

Financial assets measured at amortised cost - Loans and advances to customers	4,606,181	11,358,779
Financial assets measured at amortised cost - Lease rentals receivable & stock out of hire	-	-

Statement of Profit or Loss - Company & Group

Interest income	756,479	1,844,436
Interest expenses	20,599,180	16,073,410

No of Shares held by KMPs

Ordinary shares	8,952,925	8,950,033
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- 53.5 Transaction, arrangements and agreements involving with Entities which are controlled, and /or jointly controlled by the KMP's and their CFMs .

	Nature of the Relationship	Nature of Transaction / Facility	Company	
			2020 Rs.	2019 Rs.
Alfinco Insurance Brokers (Pvt) Ltd.	Subsidiary	Reimbursement of expenses	-	42,797,582
		Saving deposits	675,333	634,375
		Insurance referral income	48,915,399	10,500,519
Alliance Management Services (Pvt) Ltd	Other related parties	Fixed deposits	2,536,288	2,456,288
		Secretarial fees	812,368	918,940
		Saving deposits	41,552	85,366
Alliance Travel Services Ltd	Other related parties	Fixed deposits	3,788,064	3,788,064
		Saving deposits	299,119	155,807
Alliance Tech Trading (Pvt) Ltd.	Other related parties	Fixed deposits	13,675,092	11,955,033
Alliance Ventures Pvt Ltd	Other related parties	Fixed deposits	1,043,945	1,055,481
		Saving deposits	27,413	43,416
M/S.Alliance Graphic Services (PVT) Limited	Other related parties	Fixed deposits	4,464,788	-
Virtusa (Pvt) Ltd	Other related parties	Consultation fee	-	12,951,291
Destination CC Consultants (Pvt) Ltd	Other related parties	Consultation fee	-	5,200,000
		Reimbursements	-	640,297

53.6 Parent and Ultimate Controlling Party

The Company does not have an identifiable parent of its own.

54 FINANCIAL RISK MANAGEMENT

54.1 Introduction

Constantly assessing and being cognizant of the concept of risk is fundamental to the managerial philosophy of Alliance Finance Company PLC.

Consequent to the global, economic and financial crises, companies are placing greater emphasis on risk management by adopting comprehensive risk management framework to increasingly safeguard stakeholder interest. Due to diversified and geographic spread of the portfolio of businesses, Alliance Finance maintains a holistic risk management system that continuously monitors primary risk factors. Risk mitigation actions are also built in to the day - to day operations of the Company. The Company's business divisions are closely monitored through a comprehensive computerized information system and employees, ranging from managerial credit and other officers, have been apprised and trained to adopt risk management practices as an integral part of their decision making.

The outbreak of COVID 19 has caused disruption to business and economic activities, and uncertainty to the global and local economy. Subsequent to the outbreak of COVID 19 in Sri Lanka, the Company has strictly adhered to the guidelines and directions issued by both Government and Central Bank of Sri Lanka (CBSL) when conducting its business operations. Accordingly, the Company is currently in the process of providing relief for the affected businesses and individuals in line with the directions issued by the CBSL. These relief measures include deferment of repayment terms of credit facilities, offering concessionary rates of interest to eligible loan products and waiving off certain fees and charges. The Company is continuously assessing possible disruptions to its operations due to COVID 19 pandemic. However, the Company is of the view that, it is too early to quantify the impact considering the fact that COVID-19 crisis is far from over and the Company is still processing applications for reliefs.

Risk Coverage

The Company's Comprehensive risk management framework covers three major areas that comprise credit risk, liquidity risk, and market risk management.

Risk is inherent in the Company's activities but it is managed through a process of ongoing identification, analysis, measurement and continuous monitoring, subject to the risk limits and their controls.

54.2 Credit Risk

Credit risk is the risk that the company will incur a loss because its customers or counterparties fail to discharge their contractual obligations and arises principally from the loans and advances to the customers. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

54.21 Credit quality analysis

The Company has established a credit quality review process to provide early identification of possible changes in the credit worthiness of counter parties, including regular collateral revisions. Counter party limits are established by the use of a credit risk classification system, which assigns each counterparty a risk rating. Risk ratings are subject to regular revision. The credit quality review process aims to allow the Company to assess the potential loss as a result of the risks to which it is exposed and take corrective action.

Impairment assessment

For accounting purposes, the Company uses an expected loss model for the recognition of losses on impaired financial assets. The measurement basis generally depends on whether there has been a significant increase in credit risk since initial recognition. Triggering events include the following:

- ☐ Significant financial difficulty of the customer
- ☐ A breach of contract such as a default of payment
- ☐ Where the Company grants the customer a concession due to the customer experiencing financial difficulty
- ☐ It becomes probable that the customer will enter bankruptcy or other financial reorganisation
- ☐ Observable data that suggests that there is a decrease in the estimated future cash flows from the loans

Allowances are assessed collectively for losses on loans and advances that are not individually significant (including hire purchases, lease receivables, other loans and advances and consumer lending) and for individually significant loans and advances that have been assessed individually and found not to be impaired.

Company include macroeconomic factors within its expected credit loss assessments. The Company relies on a broad range of forward looking information as economic inputs, such as GDP growth, unemployment rates, interest rates, treasury bill rate, inflation rate and etc.

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Credit quality by class of financial assets

A loan is considered past due when a counterparty has not made a payment by the contractual due date. The following table presents the carrying value of loans that are contractually past due but not classified as impaired because they are less than 180 days past due. Loans past due more than 180 days are not presented in this analysis.

Company

As at 31st March 2020.	Notes	Neither Past Due Nor Impaired	Past Due But Not Impaired	Total
		Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	21	986,553,659	-	986,553,659
Repurchase agreements		350,388,985	-	350,388,985
Placements with banks & financial institutions		915,617,034	-	915,617,034
Financial assets recognised through profit or loss	22	1,550,282,902	-	1,550,282,902
Loans and advances - at amortised cost	23	2,544,519,705	2,962,385,428	5,506,905,133
Lease rentals receivable & stock out on hire - at amortised cost	24	7,156,181,142	12,732,936,410	19,889,117,552
Hire purchase rentals receivable & stock out on hire - at amortised cost	25	4,527,976	-	4,527,976
Financial assets- fair value through other comprehensive income	26	137,940,332	-	137,940,332
Other financial assets	28	459,367,873	-	459,367,873
Total Financial Assets		14,105,379,608	15,695,321,838	29,800,701,446

Aging Analysis of past due (i.e. facilities in arrears of 1 day and above) but not impaired loans by class of financial assets.

	Past Due But Not Impaired				Total
	Less than 30 days	31 to 60 days	61 to 90 days	More than 91 days	
	Rs.	Rs.	Rs.	Rs.	Rs.
Loans and Advances	995,796,754	973,781,667	426,125,350	566,681,658	2,962,385,429
Lease rentals receivable & stock out on hire	3,695,281,253	4,828,732,850	1,966,464,932	2,242,457,374	12,732,936,409
	4,691,078,007	5,802,514,517	2,392,590,282	2,809,139,032	15,695,321,838

Group

As at 31st March 2020	Notes	Neither Past Due Nor Impaired	Past Due But Not Impaired	Total
		Rs.	Rs.	Rs.
Assets				
Cash and cash equivalents	21	1,027,324,614	-	1,027,324,614
Repurchase agreements		350,388,985	-	350,388,985
Placements with banks & financial institutions		915,617,034	-	915,617,034
Financial assets recognised through profit or loss	22	1,550,282,902	-	1,550,282,902
Loans and advances - at amortised cost	23	6,184,454,429	2,962,385,429	9,146,839,858
Lease rentals receivable & stock out on hire - at amortised cost	24	20,055,543,842	12,732,936,409	32,788,480,251
Hire purchase rentals receivable & stock out on hire - at amortised cost	25	4,527,976	-	4,527,976
Financial assets- fair value through other comprehensive income	26	137,940,332	-	137,940,332
Other financial assets	28	535,032,270	-	535,032,270
Total Financial Assets		30,761,112,384	15,695,321,838	46,456,434,222

Aging Analysis of past due (i.e. facilities in arrears of 1 day and above) but not impaired loans by class of financial assets

	Past Due But Not Impaired				Total
	Less than 30 days	31 to 60 days	61 to 90 days	More than 91 days	
	Rs.	Rs.	Rs.	Rs.	Rs.
Loans and advances	995,796,754	973,781,667	426,125,350	566,681,658	2,962,385,429
Lease rentals receivable & stock out on hire	3,695,281,253	4,828,732,850	1,966,464,932	2,242,457,374	12,732,936,409
	4,691,078,007	5,802,514,517	2,392,590,282	2,809,139,032	15,695,321,838

Due to the proposed relief packages to affected customers from COVID -19, credit repayment periods will be extended to certain customer groups. However those indicators will not considered as Significant increase in Credit Risk. Further, concessions under moratorium could enable affected borrowers to resume regular payments with the three to six months period.

Alliance Finance Company PLC

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54.22 Concentrations of Credit Risk

The Company monitors concentration of credit risk by sector exposures.

Industry wise concentration

The following table shows the risk of concentration by industry for the financial assets measured at amortised cost

Sector wise Breakdown	Cash and Bank Balances	Financial assets - fair value through profit or loss	Loans and Advances	Financial assets - fair value through OCI	Other financial assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture & fishing	-	-	6,323,454,985	-	-	6,323,454,985
Construction	-	-	725,230,881	-	-	725,230,881
Food, beverages & tobacco	-	-	4,873,670,656	-	-	4,873,670,656
Financial services	986,553,659	-	242,212,693	-	915,617,034	2,144,383,386
Industry	-	-	17,082,471	-	-	17,082,471
Tourism	-	-	14,814,906	-	-	14,814,906
Government	-	1,492,933,580	2,222,819,194	-	350,388,985	4,066,141,759
Transport	-	-	2,180,206,783	-	-	2,180,206,783
Services	-	-	3,041,337,170	-	459,367,873	3,500,705,043
Consumption	-	-	761,806,391	-	-	761,806,391
Other	-	-	5,841,740,667	137,940,332	-	5,979,680,999
Total	986,553,659	1,492,933,580	26,244,376,797	137,940,332	1,725,373,892	30,587,178,260

Geographical concentration

Concentration of loans and advances by location is given below.

Province	Balance	%
Western	9,592,850,941	37%
Central	3,188,807,838	12%
North Western	2,523,336,380	10%
Sabaragamuwa	2,232,916,204	9%
Southern	2,119,210,672	8%
Northern	2,026,331,160	8%
Uva	1,751,834,100	7%
Eastern	1,608,855,247	6%
North Central	1,200,229,004	5%
	26,244,371,546	

Concentration by location for loans and advances is measured based on the location of the customer centre that granted the facility, which has a high correlation with the location of the borrower.

COVID -19 adversely impacted to Tourism, hospitalization and certain export industries. However exposure to such industries are comparatively low. Therefore the company will not expect significant impact to financial assets.

Alliance Finance Company PLC

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54.23 Risk limit control and mitigation policies

The Company manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and groups, and to industries and geographical locations.

The Company structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or groups of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to quarterly or more frequent review, when considered necessary. Limits on the level of credit risk by product and industry sector are approved monthly by the Credit Committee.

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default.

Collateral and other credit enhancements

The Company employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of security for funds advances, which is common practice. The Company implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation. The principal collateral types for loans and advances are:

- Mortgages over residential properties.
- Charges over business assets such as premises, inventory and accounts receivable.
- Charges over financial instruments such as debt securities and equities.

Longer-term finance and lending to corporate entities are generally secured; revolving individual credit facilities are generally unsecured. In addition, in order to minimise the credit loss the Company will seek additional collateral from the counterparty as soon as impairment indicators are identified for the relevant individual loans and advances.

Collateral held as security for financial assets other than loans and advances depends on the nature of the instrument. Debt securities, treasury and other eligible bills are generally unsecured, with the exception of asset-backed securities and similar instruments, which are secured by portfolios of financial instruments.

The amount and type of collateral required depends on an assessment of the credit risk of the counterparty. Guidelines are in place covering the acceptability and valuation of each type of collateral. The general Management monitors the market value of collateral and will request additional collateral in accordance with the underlining agreement. The company pursue timely realisation of the collateral in an orderly manner. The proceeds are used to reduce or repay the outstanding claim.

54.3 Liquidity Risk

Liquidity risk refers to the unavailability of sufficient cash balances to meet new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments, debt obligations associated with its financial liabilities due to lack of funds or having to meet these obligations at excessive cost. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if its credit rating falls, it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity.

COVID -19, disrupted the cash flows of the certain business segments. Due to the credit relief offered to customers by deferring their payments and existing customers drawing additional facilities to manage their working capital it is evident to maintain excess liquidity to meet unexpected circumstances. Therefore mismatches of contractual cash flows are expected in financial services industry.

Management of Liquidity Risk

The objective of the Company liquidity and funding framework is to ensure that funding commitments and deposit withdrawals can be met when due and that market access remains cost effective. The Company's liquidity management process, as carried out within the Company and monitored by a separate team in Company Treasury, includes:

- Maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow.

- The Company also has committed lines of credit that it can access to meet liquidity needs.

- The Company maintains the liquidity ratio prescribed by Central Bank of Sri Lanka.

- Day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met. This includes replenishment of funds as they mature or are borrowed by customers.

- Maintaining a portfolio of highly marketable assets that can easily be liquidated as protection against any unforeseen interruption to cash flow;

- Monitoring the liquidity ratios of the Statement of Financial Position against internal and regulatory requirements and gaps are reviewed at Assets and Liability Committee.

- Managing the concentration and profile of debt maturities.

- Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets.

- Company Treasury also monitors unmatched medium-term assets, the level and type of undrawn lending commitments, the usage of overdraft facilities and the impact of contingent liabilities such as standby letters of credit and guarantees.

- To Manage the expected liquidity drains due to COVID-19 , the company closely monitor the funding and recovery plans on daily basis. Respectively, the Central Bank of Sri Lanka relaxed the statutory liquid assets requirements until 30th September 2020 therefore excess cash flows to the Company. Further, the company used unutilised credit line to manage the liquidity requirements. A freeze on all non-essential capital expenditure and implemented Stringent expense control measures.

54.3 Statutory Liquid Asset Ratio

As per the requirements of Finance Companies (Liquid Assets) Direction No. 01 of 2009, Company has to maintain minimum liquid assets, not less than the total of,

(i) Ten per cent of

(a) The outstanding value of the time deposits received by the finance company at the close of the business on such day,

(b) the face value of certificate of deposits issued by the finance company; as appearing on the books of the finance company at the close of the business of such day and

(ii) Fifteen per cent of the outstanding value of savings deposits accepted by such company, at the close of the business on such day.

As at 31st March 2020, the Company maintained Statutory Liquid Asset ratio at 24.65% (2019 : 15.22%).

Regulatory measures taken by the Central Bank of Sri Lanka to provide Flexibility to Licensed Finance Companies to support business and individuals affected by the outbreak of COVID-19. The CBSL reduced the requirement of maintenance of liquid asset for time deposits and nontransferable certificates of deposits to six percent, savings deposits to ten per cent, borrowings to five percent and approved government securities to five percent which shall be maintained by LFC until 30th September 2020.

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54.3 Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarizes the maturity profile of the undiscounted cash flows of the Company's financial assets and liabilities as at 31 March 2020.

The table does not reflect the expected cash flows indicated by its deposit retention history and loan recovery patterns

As at 31st March 2020	On Demand	Less than 03 Months	3-12 Months	1 to 3 Years	3 to 5 Years	Over 5 Years	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets							
Cash and cash equivalents	986,553,659	-	-	-	-	-	986,553,659
Repurchase agreements	350,388,985	-	-	-	-	-	350,388,985
Placements with banks & financial institutions	-	721,335,674	194,281,360	-	-	-	915,617,034
Financial assets recognised through profit or loss	-	274,485,398	1,021,006,324	154,791,180	100,000,000	-	1,550,282,902
Loans and advances - at amortised cost	-	2,505,216,250	1,328,759,244	2,105,651,687	244,677,798	-	6,184,304,979
Lease rentals receivable & stock out on hire - at amortised cost	-	3,729,366,229	4,825,836,493	9,031,516,955	2,468,577,624	246,541	20,055,543,842
Hire purchase rentals receivable & stock out on hire - at amortised cost	-	4,527,976	-	-	-	-	4,527,976
Financial assets- fair value through other comprehensive income	-	137,940,332	-	-	-	-	137,940,332
Other financial assets	-	459,367,873	-	-	-	-	459,367,873
Total Financial Assets	1,336,942,644	7,832,239,732	7,369,883,421	11,291,959,822	2,813,255,422	246,541	30,644,527,582
Financial Liabilities							
Due to banks	-	2,568,484,478	5,394,360,277	5,633,626,046	1,781,392,612	46,942,616	15,424,806,029
Due to depositors - at amortised cost	-	3,398,609,306	5,639,724,447	2,990,713,376	318,249,720	-	12,347,296,849
Other financial liabilities	-	791,703,913	-	-	-	-	791,703,913
Derivative financial liabilities	-	35,867,792	23,968,485	-	-	-	59,836,277
Total Financial Liabilities	-	6,794,665,489	11,058,053,209	8,624,339,422	2,099,642,332	46,942,616	28,623,643,068
Total Net Financial Assets/(Liabilities)	1,336,942,644	1,037,574,243	(3,688,169,788)	2,667,620,400	713,613,090	(46,696,075)	2,020,884,514
As at 31st March 2019							
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets							
Cash and cash equivalents	281,584,736	-	-	-	-	-	281,584,736
Repurchase agreements	210,053,286	-	-	-	-	-	210,053,286
Placements with banks & financial institutions	-	411,040,880	321,122,963	-	-	-	732,163,843
Financial assets recognised through profit or loss	-	987,179,090	570,000,000	-	250,000,000	-	1,807,179,090
Loans and advances - at amortised cost	-	2,807,023,397	2,216,182,789	1,263,611,945	224,547,752	661,653	6,512,027,536
Lease rentals receivable & stock out on hire - at amortised cost	-	2,798,279,057	5,197,347,909	8,693,075,412	2,151,395,090	1,975,197	18,842,072,665
Hire purchase rentals receivable & stock out on hire - at amortised cost	-	11,317,300	1,031,792	-	-	-	12,349,092
Financial assets- fair value through other comprehensive income	-	-	-	-	-	579,250	579,250
Other financial assets	-	295,349,473	106,868,896	-	-	-	402,218,369
Total Financial Assets	491,638,022	7,310,189,197	8,412,554,349	9,956,687,357	2,625,942,842	3,216,100	28,800,227,866
Financial Liabilities							
Due to banks	147,877,803	2,150,432,699	3,198,084,942	4,410,483,846	2,594,508,742	88,081,550	12,589,469,582
Due to depositors - at amortised cost	539,049,798	2,912,622,945	4,783,906,910	3,118,977,000	1,139,126,155	-	12,493,682,808
Debt instruments issued and other borrowed funds	-	-	819,062,771	-	-	-	819,062,771
Other financial liabilities	-	781,933,240	-	-	-	-	781,933,240
Derivative financial liabilities	-	29,715,146	70,055,633	-	-	-	99,770,779
Total Financial Liabilities	686,927,601	5,874,704,030	8,871,110,256	7,529,460,846	3,733,634,897	88,081,550	26,783,919,180
Total Net Financial Assets/(Liabilities)	(195,289,579)	1,435,485,167	(458,555,907)	2,427,226,511	(1,107,692,055)	(84,865,450)	2,016,308,686

Assets held for managing liquidity risk

The Company holds a diversified portfolio of cash and high-quality highly-liquid securities to support payment obligations and contingent funding in a stressed market environment. The Company's assets held for managing liquidity risk comprise:

Cash and balances with central banks;

Government bonds and other securities that are readily acceptable in repurchase agreements with central banks; and

Secondary sources of liquidity in the form of highly liquid instruments in the Company's trading portfolios.

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54.4 Market Risk

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates, commodity prices and equity prices. The Company classifies exposures to market risk into either trading or non-trading portfolios and manages each of those portfolios separately. Trading portfolio includes financial assets and liabilities that are managed on a fair value basis. Non trading portfolio is managed in accordance with the purpose and strategic benefits of such investments, rather than purely on fair value basis.

54.41 Interest Rate Risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments.

To manage the interest rate risk, company has established limits on the non-trading interest rate gaps for stipulated periods. The Company's policy is to monitor positions on a daily basis and hedging strategies are used to ensure positions are maintained within the established limits. Which is supplemented by monitoring the sensitivity of the company's financial assets and liabilities to various rate scenarios. Net interest yields are also calculated for each product to ensure adequate margins are kept.

Interest Rate Sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the company's Income Statement & Equity. Impact on Net Interest Income due to a parallel rate shock of 100 basis points (bps) on the rate sensitive assets and liabilities is shown below.

Currency of Borrowings/ Advance	Increase (Decrease) in 100 basis points	Sensitivity of Net Interest Income	
		2020	2019
		Rs.	Rs.
Long term loans linked to AWPLR	+100/ (-100)	(62,296) / 62,296	(52,294)/52,294

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54.42 Interest rate risk exposure on non trading financial assets & liabilities

The table below analyses the company's interest rate risk exposure on financial assets & liabilities. The company's assets & liabilities are included at carrying amount and categorized by the earlier of contractual repricing or maturity dates.

As at 31st March 2020	Up to 03 Months	03-12 Months	01-05 Years	Over 05 Years	Non Interest Bearing	Total as at 31/03/2020
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and cash equivalents	925,947,982	-	-	-	60,605,677	986,553,659
Financial assets recognised through profit or loss	274,485,398	1,021,006,324	254,791,180	-	-	1,550,282,902
Loans and advances - at amortised cost	2,505,216,250	1,328,759,244	2,350,329,485	-	-	6,184,304,979
Lease rentals receivable & stock out on hire - at amortised cost	3,729,366,229	4,825,836,493	11,500,094,579	246,541	-	20,055,543,842
Hire purchase rentals receivable & stock out on hire - at amortised c	4,527,976	-	-	-	-	4,527,976
Financial assets- fair value through other comprehensive income	1	-	-	-	137,940,331	137,940,332
Other financial assets	315,913,269	-	-	-	143,454,604	459,367,873
Total Financial Assets	7,755,457,105	7,175,602,061	14,105,215,244	246,541	342,000,612	29,378,521,563
Financial Liabilities						
Due to banks	2,568,484,478	5,394,360,277	7,415,018,658	46,942,616	-	15,424,806,029
Due to depositors - at amortised cost	3,398,609,306	5,639,724,447	3,308,963,096	-	-	12,347,296,849
Other financial liabilities	-	-	-	-	791,703,913	791,703,913
Derivative financial liabilities	-	23,968,485	-	-	35,867,792	59,836,277
Total Financial Liabilities	5,967,093,784	11,058,053,209	10,723,981,754	46,942,616	827,571,705	28,623,643,068
Interest Sensitivity Gap	1,788,363,321	(3,882,451,148)	3,381,233,490	(46,696,075)	(485,571,093)	754,878,495

Alliance Finance Company PLC

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54.43 Exchange rate risk

Exchange rate risk is the risk of loss as a result of unhedged exposure to volatility in the local exchange rate with other major currencies

The following significant exchange rates were applied during the year

	Average Rate 2020	Reporting date spot rate	
		2020	2019
USD/ LKR	179.26	192.75	175.25

The Company's exposure to foreign currency risk is as follows;

As at 31st March 2020

	Rs.	USD Converted to Rs.	Total
Cash & Cash Equivalents	23,770,238	192.75	123,322
Borrowings	25,642,246	192.75	133,034
	49,412,484		256,356

Foreign Currency Sensitivity

An estimation of the impact of the currency risk with respect of financial instruments with a 5% change in US Dollar exchange rate is given below. In calculation of risk it is assumed that all other variable factors are held constant. The calculation of sensitivity has been performed only on the assets and liabilities denominated in foreign currency of the Company as at 31st March 2020.

	Effect on profit or loss (Rs.)	Effect on equity (Rs.)
USD depreciated against LKR by 5%	2,470,624	2,470,624
USD appreciated against LKR by 5%	(2,470,624)	(2,470,624)

Driven by the volatility surrounding the COVID-19 outbreak, the exchange rate depreciated by 4.5 percent in March 2020. However the volatility of exchange rate managed though currency swap engaged with a commercial bank.

54.44 Commodity price risk

Commodity price risk refers to the uncertainties of future market values and of the size of future income, caused by the fluctuation in the prices of commodities. Given the significance of the Gold Loans business to the Company's overall loan book, sharp fluctuations to the gold prices could have an adverse impact to earnings. Gold price fluctuations lead to market risk is the primary source of credit risk associated with this product. The company manages gold commodity risk by concentrating short term products and revises LTV on routine intervals.

54.45 Equity price risk

Equity price risk is the risk that the fair value of equities decreases as a result of changes in the levels of equity indices and the value of individual stocks

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2020

54.5 Operational Risk

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.

Due to the COVID-19 pandemic from mid-March 2020 government announced work from home for general public. Based on company business continuity plan, required resources allocated to staff with IT resources. When the curfew gradually eased off in many parts of the country, branch network started its operations. The Company fully functioned by 01st June 2020 with respect to individual health guidelines issued by the Government. Further, suitable working arrangements provided to employees, customers and other stakeholders.

Business were stress tested with multiple operating scenarios to ascertain the impact on the ability to sustain its operations with liquidity reserves in place. With the assumptions and different levels of operations the company satisfied of the ability of the business manage its operations even an extreme tested scenarios.

The key focus of the Company will be to manage the liquidity, particularly given the debt moratorium announced by the Central Bank.

54.6 Capital

The Company maintains an activity managed capital basis to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

Capital Management

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

The Company's objectives when managing capital, which is a broader concept than the 'equity' on the face of the consolidated statement of financial position, are:

- To comply with the capital requirements set by the regulators of the financing markets where the entities within the Company operate;
- To safeguard the Company's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- To maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored monthly by the Company's management, employing techniques based on the guidelines developed by the Central Bank of Sri Lanka, for supervisory purposes. The required returns is filed with the Authority on a monthly basis.

The Company maintains a ratio of total regulatory capital to its risk-weighted assets above a minimum level agreed with the Authority which takes into account the risk profile of the Company.

The regulatory capital requirements are strictly observed when managing economic capital. The Company's regulatory capital is managed by each month by board of directors and comprises two tiers:

Capital Management

For a financial institution capital is a buffer against insolvency. It is available to absorb unforeseen losses which asserts the Company's ability to continue operations in to the foreseeable future. The more capital the company has relative to the risks it takes, the more confident the stakeholders are that it will meet its obligations to them. Company's capital management process is steered with the aim of holding sufficient capital to support the Company's risk appetite whilst maintaining adequate capital to meet minimum regulatory capital requirements.

Tier 1 Capital is capital which is permanently and freely available to absorb losses without a finance company being obliged to cease trading. Tier 1 Capital consists of paid up ordinary share capital, free reserves, statutory reserve fund and audited retained earnings. Tier 1

Capital is important because it safeguards both the survival of a finance company and stability of the financial system.

Tier 2 Capital is capital which generally absorbs losses only in the event of a winding up of a finance company, and so provides a lower level of protection for depositors and other creditors. Tier - 2 Capital includes revaluation reserve, general provisions and hybrid capital instruments and approved subordinated term debts.

Credit Risk

Total Amount of on balance sheet items, risk weighted CRMs and total amount of credit equivalent of off balance sheet items after applying the specific risk weight assigned is considered as credit risk.

Operational risk

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events.

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

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As at 31st March 2020

Measures taken to consider capital adequacy requirements of the Company

- ¹ The Company prepares the Corporate Plan and Budget on a rolling basis covering a period of 5 years which includes the computation of Capital Adequacy ratios (CARs).
- ² The Company carefully analyses the CARs against increases in risk-weighted assets underlying the budgeted expansion of business volumes.
- ³ The Company has set up an internal guideline on minimum CARs and ensures that appropriate measures are employed to improve the CARs are also built into the budget. Budgeting process of the Company encapsulates all future capital requirements and this process invariably captures estimated capital expenditure and the business growth in determining the optimum level of capital to be maintained.
- ⁴ The Company has addressed all material risk exposures when formulating strategic plan and has a well-diversified assets portfolio which is neither overly exposed to any counterparty nor to any sector. Ways and means of improving the CARs are being monitored on an ongoing basis.
- ⁵ The Company always strives to achieve a reasonable growth in profit and is ever mindful to pay a consistent stream of dividends to the shareholders. Part of the profit generated is retained for future business expansion. Given the size of the Company, capital generated through retained profits over the years could be considered as one of the primary sources of internal capital to the Company.

Capital management objectives

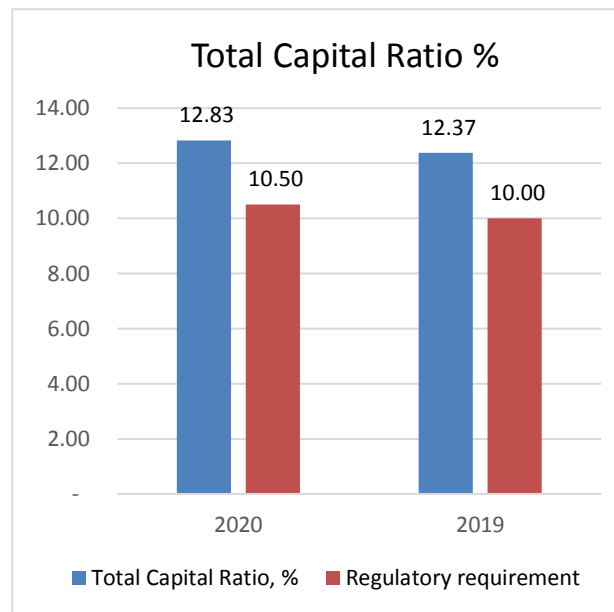
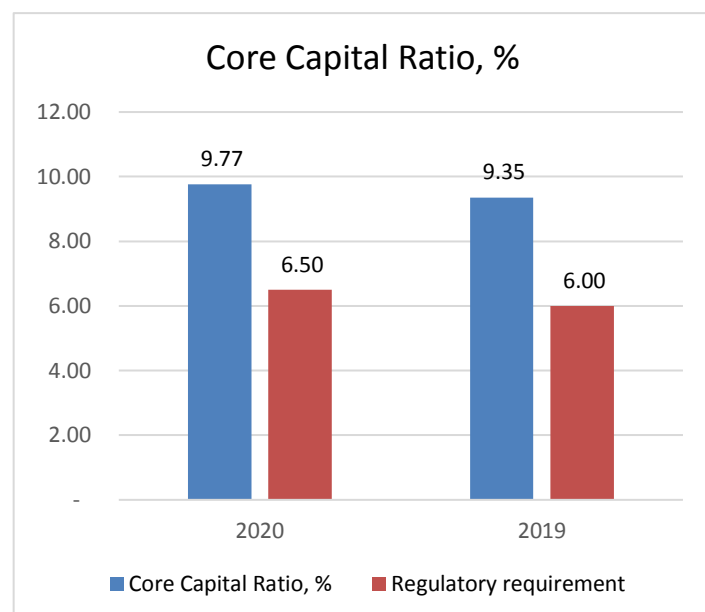
The objectives of the Company's Capital Management efforts include:

- Compliance with the regulatory requirements
- Maintaining internal capital targets which are more stringent than the regulatory requirements
- Optimum capital usage for maximum profitability (which meets investor expectations)
- To safeguard the Company's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- To maintain a strong capital base to support the development of its business.

The table below summarises the composition of regulatory capital and the ratios of the Company for the years ended 31 March 2020 and 2019. During those two years, the Company has complied with all of the externally imposed capital requirements to which they are subject.

Capital Adequacy Ratios

As at 31st March	2020 Rs.000	2019 Rs.000
Tier 1 Capital	3,427,321	3,121,021
Total Capital	4,501,752	4,129,546
Total Risk Weighted Amount	35,086,226	33,375,360
Risk Weighted Amount for Credit Risk	29,208,513	28,996,052
Risk Weighted Amount for Operational Risk	5,877,713	4,379,308
Core Capital Ratio, %	9.77	9.35
Regulatory requirement	6.50	6.00
Total Capital Ratio, %	12.83	12.37
Regulatory requirement	10.50	10.00



Regulatory measures taken by the Central Bank of Sri Lanka to provide flexibility to Licensed Finance Companies to support business and individuals affected by the outbreak of COVID-19. The CBSL defer the maintenance of Capital Adequacy requirement by LFCs, which will be to meet the minimum Capital Adequacy Requirement by 01.07.2020 and 01.07.2021 in terms of the Finance Business Act Direction No.03 of 2018 – Capital Adequacy requirements until 01.07.2021 and 01.07.2022 respectively.